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Preface To get an office job, we mostly accept going through 12 years of high school, 4- 5 years of university with so much pressure of exams, projects, dissertations and sleepless nights running to meet deadlines. We have had to "scratch and peel" just to get a diploma and a starting job points with a salary... tens of millions of dong. Yet on the stock exchange, we like to play systems "catch the enemy barehanded". Holding tens of millions poured into a trading account lightning fast, without needing one A day of both intellectual and psychological preparation. We always see someone "buying low and selling high" and think this is what it is The easiest "gold mine" to dig in the universe. That mindset is like watching an engineer uncle come every day The company pressed a few buttons and then received their salary at the end of the month, immediately concluding that the engineering profession was too easy. You forgot It took him so much time to press the right button without blowing up the whole factory before that! And moreover, who designed that system, and who fixed errors when that system encountered problems problem, or who is working to improve that system? Investing is the same, it actually is an extremely serious profession. But ironically, this is the only job in the world... I don't want it Entrance interview, no qualifications required, not even experience required. Just think about it, If the market doesn't open its arms to welcome the "naive gods of war" who bring money, then where will it be? provide liquidity for the "sharks" to take profits, right? Of course, that doesn't mean you have to hold books and chant for several years to get it door to win on the stock exchange. The market does not require you to be a "know-it-all professor". Love The only requirement for you to stand here is very real: You know what you are doing to make money, and most importantly, you know how to proactively repeat that victory. Make money by working Luckily, it's just people walking by who smell the fragrant flowers. Make money with your ability and being able to confidently repeat it at any time using your own thinking is what differentiates one "a real investor" and a "gambler who likes to listen to stories". I am not a good investor yet, but I believe I am a serious student of yours school. That's why I took the time to write this guide. First of all, it is a handbook my own, is something I always carry with me to alert myself when greed arises, to contemplate Experience after each fall, to update new lessons and to improve yourself every day...And I want to share it with you, hoping that you don't need to step on the "potholes" I saw or have stumbled on the journey of "conquering the numbers". Son Nga – Korea June 2026

Chapter 1: The “original sin” in

stock investment The stock market has a very cruel way of "teaching" us. That's even at the level of understanding No matter what, it always has different types of traps to challenge us. I will divide the chain of mistakes that A new investor can make mistakes based on their time in the market, and their psychological journey of an investor. I want to emphasize why this guide chose to expose the mistakes first fairy. Simply because in the stock market: As long as you don't make mistakes, you have a solid grasp half win.

1.1. Only when you are stupid do you enter the market (The "Deaf No

afraid of guns") I just opened a securities account, I'm as excited as I've just found gold. Before that, me I've heard and read about legends like Warren Buffett, George Soros... even proud I'm excited to buy biographies of old people to put on my bedside table. But at that time my mind was still clear, I thought They are simply outstanding geniuses, their extraordinary success is obvious I probably won't be able to touch it. However, everything completely turned upside down when the market entered the "uptrend season". Everywhere Online world from Facebook, Zalo to YouTube, from groups, forums to personal pages From all walks of life, everyone enthusiastically took screenshots to show off their profits. Look at the dancing numbers, mind My logic began to shake violently: "Oh, so it turns out being a genius is so easy? Everyone in the world can become an investor." With such an excellent mindset, I should be able to do it too!" So as soon as the account was activated, the blood was more than the brain. The only thing I The only thing I was frantically trying to figure out was: Which is the fastest way to top up and where is the "BUY" button? to click in time? I absolutely do not think about whether the market is at its peak or at its bottom, whether it is green or red My heart is about to collapse. The only navigation map I had at that time was the "row key" songs of "network experts" on Facebook, even without knowing who they are. The only weapon I carry to venture into the market at that time... was just greed and naivety! Every lesson Investment books are all fairy tales.

Below is a summary of classic mistakes that can be made during this period. If you can avoid it The more you make these mistakes, the more "tuition fees" you will save when entering the stock market contract. 1) Thinking that you own the market

- Mistake: You think you will buy and sell good stocks (good companies, sentences

good news, stocks are growing well...etc) short term by day, by hour or by minutes, enter an order and win 5% or 10% then exit... because you believe the stock is good Just go up, and keep repeating every day, no need to research or invest long-term What... Just like that, you'll soon be rich.

- Technical reality: You are trying to predict short-term random fluctuations

of the market. Trading without a risk management system means You are in direct confrontation with computer algorithms (Trading Bots) and "sharks". in the market. And the actual win/loss ratio is always close to 50/50, so true is essentially gambling.

- Consequence: The profit earned from 9 "short" winning orders (5% each) will be blown away

In just 1 losing order because you refused to cut your losses. Not only are you not rich increased, but the account is also silently eroded by transaction costs, taxes, and accompanying fees with mental and time exhaustion due to addiction to looking at the electrical panel. 2) Consider the stock exchange as a place to "try your luck" instead of a serious job

- Mistake: You enter the market with the mindset of someone buying lottery tickets or going to the casino

post. You think the stock market is a place where "luck is better than wisdom", as long as your mood is good today, choose big An emotional or feng shui code, date of birth, beautiful name will bring money.

- Business reality: The stock market is a barometer of the global economy

bridge. Behind every stock is a machine that operates in flesh and blood with goods thousands of people, directly affected by interest rates, macro inflation, and supply chains physics and the fierce competition of technology.

- Consequence: Because you consider this a game of chance, you will never take the time to learn

Seriously ask about the structure of the chart, how the price lines work or read understand a financial statement. The market can give you luck on the first 1 or 2 orders (called "via". gambling for newbies"), but will then wipe out both your capital and profits when you confront with the cold, stone heads of Wall Street.

3) Buy stocks based on "rumors" and exaggerated expectations (Story Stocks)

- Mistake: Buying a stock just because of hearing "goods" on groups, or because

That company just changed its name, adding trendy labels (such as AI, Clean Energy, Technology quantum technology) without any internal research.

- Business reality: Many companies run purely on "storytelling" to attract

Speculative cash flows of retail, while financial statements still report chronic net losses, lines Negative money and no real contracts yet.

- Consequences: When the rumor fever passes, the speculative bubble collapses and stocks will be lost

Liquidity and value return to zero. 4) Entrust assets to "Network Experts" and Groups (Psychological Manipulation Trap)

- Mistake: You participate in too many stock groups, from open groups to groups

Private rooms, from free rooms to VIP rooms. In the midst of a chaotic information forest, you suddenly place a bet Absolute faith in a certain "expert" or "KOL" because you see them talking religiously The logic is very good or there are a few orders that were correctly guessed before. You consider their words as holy orders, enter command and command absolute obedience to this person without any criticism or measurement against the risks behind.

- Technical & Psychological Reality: You are suffering from "delegating responsibility" syndrome

(Delegation of Responsibility) to avoid one's own fear. Actually, you It is completely impossible to verify whether the person is telling the truth or not, they are enough knowledge and practical experience with what they are talking about or not. More scary, There are always teams in the market that specialize in setting up VIP rooms to "herd chickens". They create trust virtual with a few winning codes, then use your own loyalty as a force Reciprocally, forcing you to buy and push up the price (Pump) so that they silently dump goods (Dump) at the peak.

- Consequence: You turn yourself into a puppet with strings pulled on the market, your account increases

or decrease entirely depends on the mood and morals of a stranger. When "experts" get it wrong or their account gets burned, they just delete the post and disband room or block your account and you're done. You stay with a portfolio of heavy losses It's hard to lose real money, but the most painful thing is that your mind is still empty and you can't accumulate anything Some real combat experience for yourself. 5) Deadly naivety with junk stocks and micro-cap stocks

- Mistake: When opening the app during premarket trading time, you will see stocks

"First time seeing" is increasing by a few hundred percent and you think you can get in quickly salvaged a few dozen percent more without even knowing who that stock was or where it came from Which gender?

- Technical reality: These are mostly junk stocks with micro capitalization (Micro-cap/Penny)

The crew performed the "Pump and Dump" trick during the time frame low peak. The Premarket time frame is a place with extremely thin liquidity and clear cash flow I can easily use a small amount of capital to push the opening price up to create excitement virtual. When you see a gain of a few hundred percent and place a buy order, the RSI They often reach an unimaginable level (90 - 95), which is a bubble state Speculation is about to explode.

- Consequences: As soon as the official trading session begins, the big players will "bounce" all at once.

Discharging large quantities of cheap stocks they had collected in advance. You will execute the order immediately at the price highest of the day, then saw the stock plummet 50% - 70% after just a few minutes. What's more scary, this type of stock will immediately fall into a state of losing value account (losing the buyer), making it impossible for you to press the sell button even if you want to cut your losses to withdraw money okay.

6) Buy newly listed stocks at any cost

- Mistake: Similar to junk stocks or micro-cap stocks above, stocks

Newly listed stocks also have an increase chart of several hundred percent like that. Especially if it is The better the company, the easier it is for you to fall into this trap. Even though you know the stock price like That's already high, but when you look at the numbers dancing non-stop, you think to yourself If you enter quickly, you may still have time to increase by tens of percent.

- Technical reality: Newly listed stocks (IPOs) are completely non-existent entities

Historical data for technical analysis. The initial increase of a few hundred percent was essentially a "play" staged by underwriters and banks founding shareholders to create scarcity and push up virtual prices. Because there is no technical support area Which technique below is the foundation? Stock prices are now completely manipulated by cash flow pure speculation.

- Consequence: You will accidentally become a "liquidator" for venture capital funds

insurance and internal shareholders, who have collected these shares at original price for many years in advance and just waiting for the day to go public to realize profits. When your FOMO demand is small If the retail price weakens, the big guys will withdraw their support orders, causing the stock to suddenly reverse and plummet freely. Friend

will suffer losses of 40% to 70% in just a few weeks, and more painfully It takes from a few months to a few years of accumulation to create a foundation for that stock to have a chance to rotate Return to the price level at which you peaked. 7) Fomo (fear of missing out) and Buying to chase stocks that have steep increases

- Mistake: When you see a stock continuously increase to the ceiling, it increases by the same amount as a bamboo tree

(Parabolic), newbies are often blinded by greed and rush to buy degrees any price.

- Technical reality: By the time you see it, the price has already gone too far from the support lines (eg MA20) and the RSI index has jumped to the maximum overbought zone (75 - 80+). This is the status "too much" technically.

- Consequence: You can easily "swing at the short-term peak". Just need the shark money flow to trigger the order

Taking profits, the stock will reverse and pullback by 15% - 30% in just a few sessions. causing you to panic and cut your losses right at the bottom. 8) "Catching a falling knife" on stocks that are falling freely

- Mistake: In contrast to FOMO, many people immediately see a stock falling sharply in price gold rushed to buy because they thought it was "cheap".

- Technical reality: A stock is falling with long, dense red candles and volume

A large discharge (Volume soars high) shows that the sellers are completely in control of the game. Trend The decline has just begun and there is no signal of a bottom yet (Phase 1 of the Golden Cross).

- Consequences: Stock prices keep finding new bottoms, your account is eroded and you fall into a state of "infinite loss". 9) No risk management plan and incorrect capital allocation

- Mistake: Putting all 100% of your money into a single stock, especially

High-risk small-cap group (Small-cap / Penny). When you lose money, don't cut your losses because Hope the price will recover.

- Rules of battle: A disciplined investor always divides cash into battle boxes

Strategy: long-term safe position, short-term bottom-hunting position, and group weight limit Small-cap less than 10% - 15% of the portfolio.

- Consequences: When the portfolio goes in the wrong direction, "loving stocks" and holding on to losses will be undisciplined

causing you to crash heavily and possibly lose all of your accumulated achievements. 10) Thinking that the market "owes" you and bitterly takes revenge (Revenge Trading)

- Mistake: After pressing the stop loss button on a stock following someone's advice, or

After market manipulators dump shares on you and you lose tens of percent, you feel angry and resentful. You immediately deposit more money or put your remaining capital into another stock, thinking: "I must win it back today."

- Technical reality: When you are emotionally agitated and hurt, the rational part of your brain effectively shuts down. You will enter orders based on betting and revenge, not compliance

according to any technical principles. You will usually choose stocks with extremely wide price swings, RSI is in the risk zone for "all or nothing".

- Consequence: Mistake after mistake. Trading in a state of loss of control feels emotional

exposure always leads to heavier losses (double losses). You fall into the ring vortex: Initial loss -> Revenge-trading impulse -> Careless entries -> Larger losses, until the account is completely cleared burn cleanly. 11) Cannot distinguish between "Price" and "Value" of stocks

- Mistake: You think a stock priced at \$1 or \$2 is "cheap" and can easily double

\$2, \$4; And stocks priced at \$100 or \$200 are "too expensive" and have no room to increase. chief. From there, you put all your money into buying thousands of "iced tea" shares instead Some stocks of leading companies in the industry.

- Technical reality: The price or cheapness of a stock does not depend on the market price displayed above electricity board, which depends on valuation (capitalization, P/E, P/B ratio) and upside potential actual revenue growth. Stocks priced at \$1 are often businesses on the rise Bankruptcy, high debt or reckless dilution, making the long-term graph one The road heads down to the ground (long-term Death Cross). Meanwhile, the stock price is still \$100 can continuously break the peak if that business monopolizes the technology.

- Consequence: You hold a basket of junk penny stocks with the illusion of "holding many numbers of stocks

then get rich quickly". As a result, when the general market corrects, this group of junk stocks will suffer sell off first and split 5 to 10 accounts, while high value stocks are fast quickly recovered and continued to grow.

12) Illusion "The market is only one way to get rich" and fear of keeping Cash (Cashphobia)

- Mistake: You enter the market with a fixed mindset: Stocks are the place to go

Get rich, not poor. You look at the cash sitting idle in the same account as a failure and always haunted by the fear of missing out on opportunities to increase wealth. So, You must disburse all your money at all costs, constantly looking for stocks to buy Regardless of the general trend (Trend) of the market being a fierce Downtrend Sideways risk.

- Technical & Macro Reality: In financial markets, "Cash is also a position"

(Cash is a position), and sometimes it is the only winning position. When the common market entered the macro downtrend (Death Cross in Daily frame), with up to 80% - 90% of codes Stocks will be swept away in free fall. The fact that you stubbornly go against the tide, trying to find 1-2 "Trading" code to "Trading" is essentially mathematical suicide, because of probability The win has now been choked to less than 10%.

- Consequences: By always keeping your account in 100% stock status, you are doing it yourself

Deprives an investor of his strongest "weapon": Purchasing power when the market bottoms. When The market collapsed deeply into beautiful Fibonacci support zones, and super stocks were overvalued cheap, then your account is stuck at the peak, even liquidated (Margin Call). Not only will you not get rich, but you will also have to look bitterly at your assets being "made poor" quickly just because they couldn't stand looking at cash for a few days lie still.

1.2. When you have a little understanding of the market (Stage "Danger of arrogance

dangerous") Congratulations to those who have paid the least "tuition", preserving capital to move on to the next stage new to the investment journey. I define this next phase as the milestone where you start to have curiosity and proactive approach to analytical tools. You already know the names of trendy terms, know how to open graphs to see indicator lines, know how to listen for macro information, know how to find the information about financial statements... However, this "knowing" is only at the surface level, you still don't know really dig deep into studying their nature or backtesting their operating rules. You still have the mentality of depending on the opinions of "reputable network experts". But the danger is there place: because you know a little bit of basic knowledge, your ego grows and you start to be conceited that I was able to "read" the money flow of Wall Street.

Below is a summary of typical, sophisticated and much more "damaging" mistakes this stage: 13) Addicted to the electricity board, lowering the time frame too small and falling into the "Whipsaw" trap

- Mistake: Knowing a little about moving averages (EMA/SMA) or RSI,

You are confident that you can optimize profits by continuously surfing (Overtrading). You lowered the chart time frame to too small (like 5-minute, 15-minute chart) to catch the numbers. The rate is released each session to capture the price difference within the same day.

- Technical reality: At time frames of less than 1 hour (<1H), the noise level of the line

petty cash is extremely large. The short-term moving averages will continuously cross over cross over creates a Whipsaw Trap (False Signal). An indicator just said buy on the possible 5-minute frame immediately reversed the sell signal at the 15-minute frame because there was no base to support the frame's trend. Daily charts.

- Consequence: You are "twisted" by the market at both ends. The price has just triggered a buy signal, you rush

When you enter, it collapses; If you are afraid to cut your losses, it will increase again. Your account is eroded one quickly because of transaction fees, taxes and losses that are constantly cut short before they can catch up see a big trend. 14) "Excuse" for mistakes by switching from surfing to long-term investing

- Mistake: You enter a buy order for a stock based on a short-term technical filter (want

eat quickly 10-15%). But when the market goes in the wrong direction, stock prices plummet. Penetrating hard support levels (like MA20, MA60), instead of coldly cutting losses, you catch them. First, look for good basic information (FA) of the business to comfort yourself and declare Dad: "This code is good, I will keep it long-term as a strategic shareholder!".

- Business reality: This is an undisciplined act of changing strategy to escape

Avoid the pain of cutting losses. A stock with a severely broken chart structure will take many months, even years to accumulate. Your stubborn holding on (and worse than average down) a falling speculative stock will bury the entire your cash flow.

- Consequence: You fall into a state of "extremely exhausted". That money could have been withdrawn

Reinvesting in stocks that are creating beautiful arc bottoms, now you have to lie still and watch your account evaporates every day, turning you into a "reluctant long-term investor".

15) Confirmation Bias Trap - Only looking for supportive information its position

- Mistake: After using a little TA/FA knowledge to choose and buy a stock, you

Start searching all the groups and forums. However, you actively ignore and ignore it All the analysis articles warn of risks, articles criticize the code as bad. You just click Read, comment and enjoy articles and videos that share the same point of view and praise and your stock valuation will increase by times.

- Technical & Psychological Reality: This is a classic psychological trap called Confirmation Bias

taste. The cocky ego of someone who doesn't want to accept that he might have analyzed wrong. The fact that you only receive information one way makes you blind to the signs Clear danger signs on the chart (like the price has created a 2-peak model, negative RSI divergence, or the business has its profit margin cut).

- Consequence: You build a wall isolating yourself from the objective reality of the market.

Instead of being alert and realizing that the trend has reversed to exit to preserve capital, you continue Continue to confidently add more money to buy and increase your position. As a result, you end up with a category that is "Rotting" gradually just because of the narcissistic caresses of "fellow believers" on social networks. 16) Accepting too much risk in small-cap stocks (Small-Cap / Penny)

- Mistake: Because you know a little about how to read Fibonacci bands or Bollinger Bands, you think you are

Qualified enough to hunt down small-cap "super stocks" to win in equal shares. You accumulate shares Large portfolios (50% - 70% of capital) fall into this group because they think there are technical tools to protect them.

- Actual combat reality: Small-cap and Penny groups have extremely fierce fluctuations

and it is easy to have the graph distorted by a few internal shark money flows. Support levels Fibonacci or MA of this group is very easy to penetrate (stop-loss sweep) before pulling jerked back. The mandatory money rule is that this group can only account for a maximum of 10% - 15% of the total portfolio size to protect common assets.

- Consequences: When the general market shakes due to macro news (such as inflation or interest rates

rate), the Small-cap group will be the first to have cash flow discharged. The capital ratio is too high Investing in this group will cause your portfolio to decline dramatically, your margin of safety The account is completely destroyed even though the other Blue-chip codes you choose are still operating good. 17) The "Beautiful Financial Statements" Trap and the Fundamental Analysis Illusion

- Mistake: You begin to know how to read basic indicators on financial reports such as Revenue,

Net profit, P/E, ROE... You see a company has just released its quarterly financial report With record growth numbers, heavy profits, and low P/E, immediately put money to buy out of confidence This is the "value stock" that experts often refer to.

- Business reality: The stock market is a market of expectations and futures

hybrid. When a company releases extremely pretty financial numbers to the public, it does This means that all the most quintessential things about the business have happened in the past and have been reversed It's all reflected in the price many months ago. On technical charts, good news is usually when it comes out The stock has been at the end of a steep growth trend, RSI is overbought and about to exit Current death cross (short-term Death Cross).

- Consequence: You become the person "cleaning up the battlefield" for large cash flows. Funds

Investors and sharks will take advantage of news sessions with good business results (bar retail purchases reached a maximum) to take profits and sell shares. You swing the long-term peak with one The stock is "good on paper" but the price is constantly falling. 18) Use technical indicators mechanically, ignoring the volume filter (Volume)

- Mistake: You open the daily chart and trade in a stereotypical way according to the textbook: just

If you see the short-term MA line crossing the long-term MA line (Golden Cross), you buy; or Whenever you see the RSI index falling back to 30, you will go all out to catch the bottom.

- Technical reality: Moving averages (MA) are essentially lagging indicators

(Lagging Indicators) because they are calculated based on past price data. If one shot The cross occurs but the trading volume is low, which proves the money flow The shark's giant was not involved at all, it was just a virtual technical pullback. On the contrary, RSI is below 30 (oversold) on a stock that is in a complete downtrend (Death Cross). could "further oversold" and continue to free fall.

- Consequence: You continuously buy short-term peaks or catch the bottom right halfway up the mountain slope.

Using the TA tool like a parrot without understanding the resonance of mass making you easy prey for the market maker's bull-traps school. 19) Using "half-baked" knowledge to be arrogant and confront market trends (Anti trend again)

- Mistake: You see that the general market index or a stock has increased continuously

session and set a new historical peak. Based on basic knowledge, RSI is in the 75-80 zone, friend arrogantly said that "it must collapse" and decided to sell off the good portfolio it held hold, or even execute a short sell order to stop the train.

- Technical reality: Trend is an investor's best friend. When a neck

Strong growth momentum with solid macro momentum, complete RSI index It is possible to "anchor" in the overbought zone for several weeks or months, continuously breaking these Common Fibonacci resistance levels. Intentionally predicting the top of an uptrend Aggressiveness is the riskiest behavior in trading.

- Consequence: You lose the strongest super stocks in your portfolio right at the base of the wave

grows, and then have to sadly watch it continue to fly high. Worse, if you do it on purpose Take head-on (anti-trend) positions, your account will be crushed as the market's crazy cash flow continues to push prices up. 20) "Indicators Overload" syndrome and analysis paralysis

- Mistake: Because you know a little about TA, you start cramming all the indicators you learn

same chart. Your chart is filled with moving averages, Bollinger Bands, Fibonacci, etc to MACD, Ichimoku, RSI, Stochastic... You think the more indicators agree the higher the win rate.

- Technical reality: The nature of technical indicators is divided into many functional groups

different functions (trend group, momentum group, volatility group). When If you turn on too many indicators at the same time, they will start fighting each other. In a penny strong uptrend, the trend following group (MA) will report BUY, but the momentum group (RSI) reports overbought/oversold.

- Consequence: You fall into a state of analysis paralysis (Analysis Paralysis). Where are you looking?

I also see risks or everywhere I look I see simulated opportunities. As a result, you hesitate dare to decide to enter orders at the buying points that create the best bottom, or vice versa, you Press the buy/sell button haphazardly because of "chaotic" signals. 21) Sanctifying "Price Models" and inflexible trading

- Mistake: You memorize the price models in textbooks such as: Shoulders - Head - Shoulders,

Two bottoms, Bull Flag, Cup and Handle... Just see the candles running out in similar shapes

order on the chart means you immediately enter an order with absolute confidence that the price will be 100% correct. as the model describes.

- Technical reality: The price pattern is not a set of magic, it is just a fact

reflects the psychological behavior of the crowd at a time. A real only pricing model is valid when it completes the Breakout that accompanies Block Confirmation Volume and located within a suitable macro trend structure. The purchase in advance When the model is completed (preemptive buying), it is easy to encounter failed models (Failed Patterns).

- Consequence: You are constantly lured by drivers who "break the chart". They deliberately draw a pattern

Rising flags or double bottoms are very beautiful to attract investors to rush in to buy, then suddenly sell out The product breaks the model, causing you to constantly cut losses because your thinking is too stereotypical and mechanical. 22) "Listening" to the Sharks/Large Fund portfolio for blind imitation blind

• Mistake: You start to look up investment portfolios of large funds (such as ETFs, venture capital fund) or report changes in ownership of major shareholders and management. Seeing that a large fund or a famous "shark" has just disbursed and bought a stock, You immediately use your half-assed knowledge to boast: "The shark is in line, let's just swing." According to it, it is 100% safe.

- Actual reality: Large financial institutions have huge capital scale and strategy

Making money is completely different from small individuals. They buy stocks together, sometimes it takes several months. willing to accept seeing that position lose 20% - 30% in the short term because they allocate capital accordingly 3 - 5 year vision. Worse, their buying position is sometimes just part of the battle Hedging strategy with complex derivative products that you do not didn't know.

- Consequence: You use high financial leverage (Margin) or accumulate short-term capital to buy

Chasing the shark's price. When the market fluctuates in the short term, your account suffers Margin Call or you cannot stand the psychological pressure so you have to cut losses right at the bottom, while large funds still leisurely continue to accumulate goods for their cash flow is infinite.

1.3. When you become more afraid (Stage "Crisis of Confidence

& Survival")

Congratulations on surviving the two most fierce periods of the market to reach the pole milestone of maturity. After several up and down cycles of the market, you experience the feeling of losing things. With real hard-earned money, you start to fear the market. At this time, the worldview of You completely turn it upside down: the mentality shifts from "How to make the most money" to "How so as not to lose money". However, fear if not controlled and directed by a system of iron discipline will turn into shyness, leading to new types of mistakes. At this stage, you are no longer losing money. Because of naivety or conceit, you lose money and opportunities because of your own inner panic. Below is a summary of mistakes that can be made during this stage. 23) "Eat short" long-term growth super stocks

- Mistake: Because you are too afraid of the feeling of profits evaporating like the previous losses

the past, when you were lucky enough to own a "rough diamond" with a macro and macro foundation. Breakthrough technology, you just saw the price increase by 15% - 20% and have to rush to sell all the products to save money. "preserving results".

- Psychological & Technical Reality: This is the syndrome of "Post-Traumatic Stress in trading". You are haunted by the "turns" of the market

should act purely to relieve the pressure of inner fear. Technically, you're sold right at the foot of a large macro wave, when the stock has just completed an accumulation pattern. Long-term bottom and MA50 just crossed MA200 (Golden Cross on Daily frame).

- Consequence: You take away the opportunity to achieve breakthrough profits instead

change account size (like a 10x strike). You violate the most important rules of actual combat: Only surf a maximum of 50% of the position, the remaining 50% of the core shares must be locked in the safe iron to fully capture the long-term trend of super stocks. 24) Missed the golden opportunity at the "Bottom Area" because of fear

- Mistake: When the market experiences fierce ups and downs, squeezing the prices of stocks

Stocks with extremely good intrinsic properties retreated to the picturesque long-term arc bottom, you again Too timid, not daring to press the disbursement button to buy and sell for fear that the price will continue fall again.

- Technical reality: You are looking at the market through the lens of panic instead

objective numbers. At this bottom zone, the core technical indicators are all in sync. Signaling a safe reversal: The RSI has been forced into the oversold area, approaching 30-35. The price touches the hard Fibonacci support levels or the MA200 Daily frame, and blocks. The volume of sales has been exhausted, showing that the selling side is exhausted.

- Consequence: You accept to let your large amount of cash fall into a "sleeping" state.

too long in the account because of fear. You lose the biggest opportunity cost of a cycle market. When the storm passed, the stock skyrocketed 30% - 40% from the bottom, you fall into a state of dilemma: if you buy, you'll be afraid of going to the top, if you don't buy, you'll feel resentful. 25) Falling into the trap of "Birds are afraid of bent branches" before short-term shaking

- Mistake: Just need the general market to have a small fluctuation during the session, or

Financial newspapers headline about bad macro news (like rising PPI inflation index), You immediately panic, imagining a scenario where history collapses and takes everything Healthy Blue-chip stocks in the portfolio are sold off at all costs

- Technical reality: You cannot distinguish between a "good technical adjustment".

"Healthy Pullback" and what is a "macro trend break". On the graph, these The healthy stock you are holding is actually still operating very well: the price just retested MA20 dynamic support line or old peak just passed on low volume (Volume shallow).

- Consequence: You accidentally sell right at the "lowest candlestick" of the shaking period, offering stocks

Its best stocks for large cash flows to accumulate shares at low prices. Right after you sell After that, the market absorbed all the bad news, stocks immediately withdrew and rebounded steeply leaving you with regret and deep psychological damage. 26) The trading system is completely paralyzed (Analysis Paralysis)

• Mistake: Due to fear of making mistakes and losing money, you start rushing to install dozens more indicators different techniques, read all the analysis articles from East to West, listen to all forum. You try to find a "perfect risk-free" state before you get off buy or sell order.

- Technical reality: Perfection does not exist in the financial markets, every instrument only

probabilistic. Loading too much conflicting information causes the system's indicator You have a serious conflict: a short-term MA line indicates an uptrend, a band Bollinger Bands say overbought, macro news says economic recession. The result is the The fighting signals are ringing in your head.

- Consequence: Your mind is overloaded and paralyzed by analysis. You stood completely still

board, it is impossible to make any definitive decision. You watch the opportunity pass by

through helplessness, or when forced to act, you make decisions based on spontaneous panic instead of a predetermined plan. 27) Constantly changing trading methods because of impatience

- Mistake: After a few short-term losing orders (completely normal in probability

trading), you immediately doubt the system you are using. You left out. Analyze carefully technique (TA) to switch to value investing (FA), then abandon FA to switch to follow trading cash flow, the cash flow school is not effective so you turn to Wealth Astrology main...

- Technical reality: Every mainstream trading method in the world has a billion

certain win/loss ratio (Win rate) and there are always periods that are not suitable for the scene market situation (for example, following the trend will result in losses in sideways markets). One system A good system needs time to test through at least 100 commands to optimize, but it is not possible evaluated through a few short trading sessions.

• Consequence: You become a "ploughman in the middle of the road", knowledge is confused and non-existent any disciplinary fulcrum. You are constantly using a new method right now The period when the market is about to eliminate it, leading to the loop: Try the method new □ Meeting a correction rhythm □ Losing money □ Changing methods. You lose money constantly just because lack of core patience. 28) Syndrome "It's good to make losses, it's bad to make profits" (Distorted R:R ratio)

- Mistake: This is the pinnacle of psychological conflict in the fear stage. When a neck

If you lose money, because you are afraid of having to face the truth that you were wrong, you bravely bear the loss That's up to 30% - 40%. But when another stock has profits, the fear of losing some The change makes you rush to take profits when you only get 3% - 5%.

- Mathematical fact: You are operating a trading system with a Risk/Part ratio

Risk / Reward - R:R is extremely toxic. You accept the risk of losing 40 coins only in exchange for a reward of 5 coins (R:R = 8:1). At this rate, even if you Even if you guess the trend correctly 80% of the time, your account will still be in good shape in the long run is a downward chart.

• Consequence: You fall into a state of slowly depleting your assets. Your directory always in a state of "plucking flowers and planting weeds" - selling off healthy stocks

strong growth, to retain and nurture weak, rotten stocks that are sinking dead my account. 29) The trap of "Average price increase" too early for fear of losing position

- Mistake: When you buy a good stock at the bottom and the price starts to increase

3% - 5%, the fear "the stock will fly away without me having enough stock" makes you immediately put all remaining capital to buy orders (increase position) at all costs.

- Technical reality: You are letting the fear of "missing the wave" drive behavior instead of waiting

Wait for a healthy Retest (Retest of support). Technically, after the breakthrough After leaving the bottom, the price always tends to return to test the MA20 or line Old resistance has just been overcome. The fact that you filled the order too early when the price was rising (RSI short-term frame is overbought) will push your average capital price very high.

- Consequences: As long as there is a small technical correction in the general market, stocks will

When you go back to retest the price base, your account will immediately change from profitable status Heavy losses due to high cost of capital. The "fear" mentality reappears, forcing you to press the button Cut your loss right at that healthy correction, right before the stock really enters the big stage rising waves. 30) Fear of "Upper Channel" stocks (Breaking the peak) and only be loyal to stocks "Lower channel" (Bottom accumulation)

- Mistake: When the market is in an uptrend, you absolutely never dare to buy stocks

Stocks are continuously breaking historical peaks (ATH - All Time High) for fear of swinging to the top. Instead That is, you only search for "lower channel" stocks that are still lying flat at the bottom, not increasing at all with the thought: "This code is at the bottom, not going down Yes, buy it safely."

- Technical reality: You are choosing a falsely safe position. In a market

price increases, stocks that continuously break peaks (Upper channel) are strong Super Stocks leader, has no barrier on his head and is protected by a crazy stream of money. Inverted On the other hand, the stocks that stay flat at the bottom (Lower Channel) are the weakest codes in the market. are suffering from long-term Death Cross lines or the business has serious internal problems should be estranged from smart money.

- Consequence: Your capital is buried in a completely "immovable" portfolio. While marketing

The market rose loudly, the leading codes increased by 50% - 100%, then the lower channel stocks of

You still stand still, even turning to fall deeper when the general market has fluctuations. You are both unprofitable and severely psychologically depressed. 31) "Partial profit taking" is too small, leading to a reverse loss scenario

- Mistake: Learning from textbooks on "partial profit taking" risk management rules (Scale

out), when the stock increases a short distance, you quickly lock in 10%, then increase a little more close another 10% for fear of price collapse. But when the stock reverses and falls, you hold on Leave 80% or 50% of the remaining position to suffer losses because of regret at the old peak.

- Mathematical & Engineering Reality: You are distorting the rules of governance. The profit taking is too much Being thin on the upside causes your position sizing to shrink very quickly in the high price range, but the size of the position with a loss on the downside is too large. When the price falls Penetrating the MA20 line with high volume, the short-term trend has been completely broken but you still refuse to settle the remaining position.

- Consequences: All the small profits gained from profit taking 10% - 20%

Initially, it was completely insufficient to compensate for the severe decline in the position remaining large. The final result of that deal, you are still the loser and right reverse loss on total initial capital size. 32) "Sell cows to buy plastic frogs" - Sacrifice strong stocks to save weak stocks

- Mistake: When your portfolio has 3 stocks: Stock A is earning 20% (strong super stock), Code

B is breaking even, and Stock C is losing 15% (junk code, broken foundation). For fear of code C's losses continuing bloated and want your account to look "beautiful", you decide to sell all the profitable code A to Use that money to average down the price for code C, or simply keep code C and wait Anise.

- Actual combat reality: This is a classic mistake called "Plucking flowers and planting weeds". You is proactively cutting off its strongest "money printing machine" (Stock A - current stock keep the MA50 line pointing up) to put resources into a "money-sucking black hole" (Stock C

- The stock is below the MA200 line). You act because you want to avoid redundancy

getting code C was a wrong decision.

- Consequence: Stock C, after being averaged by you, the price continues to fall freely because of the macro trend

Its tissue has broken down. Meanwhile, code A, after being sold by you, continuously took off new peak. You end up with a portfolio made up entirely of weak, rotten stocks rot and assets are irreparably dragged down.

Conclusion of chapter 1: Self-portrait of maturity Really congratulations to those of you who have read this page but haven't seen your silhouette in real life any of the above mistakes. If so, you are truly a person with great investment talent period of luck. Before we move on to the next section, let's get into the core concepts for understanding the language of the market, I want to redraw a self-portrait of "me" (and maybe yours) through 3 columns. The milestone of psychological maturity is fierce. 1) Newcomer (F0): Fear of a bearish market - Fear of Greed

- Essence: For F0, the market is like a pink ATM machine and they step

Come in with the mindset of "only having dinner in the afternoon". Therefore, any red session is considered an insult to their get-rich-quick scheme.

- Symptoms: When the market declines, F0 does not see opportunities for cheap pricing but only sees wealth

Your assets are dwindling. This fear pushes them to fall into two extremes: Either run away in panic and cut your losses right at the bottom, or stubbornly try to lose money blindly Just because I don't dare to accept reality.

- Root: They are afraid of the market falling because they have never understood the rules of the cycle. They see the market as

an opposition, an enemy trying to rob him of his money. 2) People with little understanding (F1): Fear of guessing wrong - Fear of Ego

- Nature: Entering the F1 stage, investors have equipped themselves with a number of knowledge

certain consciousness. You know how to draw lines and read technical indicators. Right now, the most precious thing The need to protect is no longer money, but "Ego". You always want to prove that you are smart smarter than the market and other experts.

- Symptoms: When the market goes against individual technical analysis, instead of accepting

Admitting that you are wrong and cutting your losses, you stubbornly search for every reason to defend your point of view (Trap confirmation bias). You're afraid of the feeling of being slapped in the face by the market and saying, "You're wrong already!"

- Root: The fear of guessing wrong makes F1 trading extremely stressful and tiring. God friend

sanctified probability while forgetting the core philosophy of Wall Street: "In trading, work It doesn't matter if you're right or wrong, what matters is how much you earn when you're right money and how much you lose when you are wrong."

3) Mature investors: Only afraid of being undisciplined - Enlightenment

- Nature: Mature investors deeply understand that "The market is always right" and everything

Short-term fluctuations are random, no one can predict it 100%. Stuff The only thing we can control in this market is not the road of price, but of "one's own behavior".

- Symptoms: You are no longer sad when the market crashes (because you have a cash bunker prime). You are not angry when the order is hit by Stop-loss (because you understand that it is the insurance cost). forced to survive). The only thing that makes you lose sleep is when you realize you've entered Trading with emotions, buying and chasing because of excitement, or moving the stop loss point because of regret.

- Root: You realize that: An undisciplined order, even if you are lucky and win big, is still the same

"poison" gradually seeps into thinking, creating the premise for a huge account burn in the future future. When the mind is steady, the fear has been shaped into discipline, we are ready to move to a new page. Let's unpack each of the most basic concepts together to understand the rules of the game school.

Chapter 2: Basic indicators and terms

When I first entered the stock market, it confused me and kept me on edge. That heart is a "sea" of terms that sound full of academic flavor. Concepts such as P/E, ROE, P/B, then RSI, support, resistance... keep surrounding a new person, making it feel like you have to have a degree. Only if you have an economics degree are you qualified to enter this world. I used to wonder where these indicators or terms came from? They really have a scientific basis. Does any school or psychology support it? And the biggest, most practical question is an investor. A successful investor, to be precise, is an investor who can make money from the stock market. Is it necessary to understand all these concepts? Looking at large investment funds or "wolves" on Wall Street, we know for sure that they all understand all these concepts. They have a team of mathematicians programming algorithms to wipe them out all indicators from the past to the future. Economists still write thesis day and night to supplement theory for them. However, it is a fact that if you memorize many formulas you will be rich. Economics professors are already the richest people on the planet. But reality is not always like that so. Reality shows that there are times when the market fluctuates beyond all theory, simply because it is operated by humans - creatures inherently full of greed and fear, not rational numbers. So if you're a newbie facing this maze, the million dollar question is: Do you need to turn yourself into an expert to make money in the stock market? The short answer is: No. You don't have to know it all to be a winner. You just need to understand deeply and do well with the tools that are suitable for the method you have chosen. Nature of making money in this market is that you need a little bit of index knowledge, but most of it lies in the ability to manage risks and manage the psychology of "when you see an increase, you want it, if you see it decreases, then you want it." "fear" of yourself. Let's strip away the academic veneer of these concepts, and you will see that this world is actually much simpler than you think.

2.1. Decoding the skepticism of new people

1) The terms "Market Maker", "Algorithmic Bot" or "Shark" have meanings. What is it? And are we fighting them?

- Meaning: If we consider the stock market as an ocean, then there are millions more

"Fish" like us, the stock ocean is run by a triumvirate of powers force, but each character plays a completely different role:

- Market Maker: Many "witnesses" often blame the Market

Maker every time the market is red. But in reality, they are not enemies, they are groups Large financial institutions (investment banks, securities companies) are properly licensed method to do one task: Keep the market open and always stocked. They are always available buy and sell orders at any price. You want to sell off? They give up their own capital and Huge credit limit for purchase. You want to buy? They withdrew available inventory Or borrow shares to sell to you. They make money from huge trading volume huge fees and price difference (Bid-Ask Spread), but they do not have free time to stalk your own account. Without them, the market would freeze and you wouldn't What can you buy and sell?

- Sharks (Big Boys): These are large investment funds, proprietary companies, or super elites

Rich walked into the market with sacks of money. Unlike Market Maker, which only takes the difference difference, the Shark's goal is to make large profits from the price difference (Capital Gain). Just like us, they want to buy cheap and sell expensive. Because of my body suffering and cash flow are so great, every time the Sharks move, they accidentally (or intentionally) create uptrend or downtrend of the market. There is a "deviant" branch of Fish are called "Market Manipulators or Speculators". Different from Sharks The government buys stocks for long-term business value, the steering team cooperates with internal staff businesses, create fake rumors, create virtual liquidity to trap your cash flow, item The goal is to transfer money from your pocket to theirs in the short term before doing anything else the "great dunk".

- Algorithmic bots (Algo-Trading): These are algorithms of certain investment funds

quants, proprietary trading firms, or programmed, high-frequency trading firms with strict mathematical rules: "If condition X happens then buy, if condition Y happens When it comes out, sell it". They can place thousands of orders in just microseconds. Them trading purely on data, without fatigue, without doubt, no know how to tremble and absolutely never press the wrong command because of an accident. They are Tech warriors dominate the majority of short-term trades in the market.

- Are they dominating the market?

Certainly yes, but their dominance is only short-term and always exists technology blind spots. With huge financial potential and equal computing speed Microseconds, Market Makers, Sharks and Algorithmic Bots easily manipulate prices in a few minutes or several sessions. They actively create fake slumps, activating the mind Panic causes traders to cut losses at the bottom to accumulate shares at low prices. However, point

The vital point of these forces is operating according to past data and emotional reactions getting too caught up in short-term news, unintentionally forcing stock prices down to mispriced levels. Added That is, because of its oversized body, the Shark cannot "turn around" quickly and it takes a whole month to do so collect or distribute shares, unintentionally leaving huge "footprints" on the graph through the block transaction volume. That is the wonderful gift that Mr. Market gave me alert investors.

- Do you have to fight them?

Yes, you are trading with them, but there is absolutely no need to "sword fight" hand to hand with them. Plunge into short-term surfing to speed race with Bots or spend tens of millions to do it Stopping the Sharks' momentum is a game of financial suicide. It's like trying to run Race with a bear in the forest: the fool will run, but the wise will stand Hold your position or take a leisurely detour, because computers need energy to run Human patience is limitless. The ultimate advantage of "young fish" is the flexibility and security. It takes sharks a whole month to move the cash flow, and you just It takes 1 second to turn off the app and go to sleep. Instead of hatred or fear, the golden key is to grab silver is to be a smart remora: quietly clinging to the shark's belly, reading the footprints of them to follow the current, taking advantage of Bot's panic and avoiding his trap The crew to be patient on the long haul. 2) Where are these indicators created? Is there a scientific or psychological basis? They are not random numbers invented by someone. They are built Built on three solid foundations:

- Mathematics & Commercial Accounting: Indicators such as P/E, ROE, P/B... are actually

Simple fraction calculation (Cash divided by Assets, or Price divided by Profit). They are created to "compress" data. Instead you have to read a financial report At 200 pages long, these metrics summarize the health of that business in just a few words number.

- Behavioral Psychology: After Kahneman & Tversky announced Prospect

Theory in 1979 (later won the Nobel), an entire industry of "Behavioral Finance" (Behavioral Finance) was born to explain why people do not behave rationally in the market. Concepts such as FOMO, loss aversion, anchoring all have an empirical basis in psychology study seriously.

- From market practice: Most technical indicators such as RSI, MACD, Bollinger

Bands, support/resistance,... are created from actual daily market observations and also

explained through the lens of Psychology. That is the map that measures group psychology east. The stock market operates by two main emotions: Greed and Fear. For example, when RSI > 70, behavioral science proves that the crowd is too greedy (overbought). When the price touches the support zone and then bounces up, it is because of consensus among the majority that "this price is a bargain, let's buy it". 3) Do experts fully understand and use them all?

- Do they know everything? Wall Street experts, large investment funds: Yes, they know

over. They have a team of mathematicians and economists to program algorithms to scan everything this index.

- Did they use it all? Are not! Even legends like Warren Buffett

Even among prominent fund managers, they only choose 3 to 5 core indexes that are consistent with their philosophy their logic and use it over and over again for the rest of their lives. Stuffing too many stats will lead to a situation "analysis paralysis" (too many conflicting signals, not knowing which one to listen to). 4) Do large investment funds always make good money?

- This is the most interesting part. Short answer: they know a lot more than you do, but they

doesn't necessarily make better money than you.

- Research by S&P Dow Jones (SPIVA Report) published each year shows that: after 15

year, more than 90% of US active funds fail to beat the S&P 500 index. They have PhDs, There is a Bloomberg terminal, an algorithm, and an analysis team, but it still loses to the passive index dynamic. The main reason is:

- First, the market is a mechanism for synthesizing information from millions of people. When everyone

know a piece of information, it is already reflected in the price. For example, a low P/E ratio is not Secret opportunity everyone sees it.

- Second, scale is the enemy of high profits. The \$10 billion fund cannot buy stocks

small without pushing up the price. With 100 million VND, you can move in and out more flexibly they are many.

- Third, fees and short-term pressure. The Fund is evaluated quarterly. If this quarter loses to the index, investors withdraw money. This forces them to act in the short term even though they know the long term is new right.

- Do economists continue to research? Continuous. Every year there is stock thousands of new financial articles. But most of the actual results agree on one thing:

The market is quite efficient in the long run, and the "edge" is really hard to find more difficult to maintain. 5) Does knowing many indicators make money better than beginners?

- The harsh answer is: Not sure. If the stock market were only simple

is: Who knows more formulas = That person is richer, then all Economics professors The student and chief accountant are both USD billionaires. But that's not the case.

- Newcomers to the market lose because they do not have knowledge and act on emotions (FOMO),

If you see an increase then buy, if you see a decrease then cut your losses at the bottom. Professionals can still lose because Be too confident in your mathematical model and forget that the market operates by humans, and humans are not always rational. The nature of making money on 20% of the market comes from index knowledge, the remaining 80% comes from risk management (capital investment including much) and psychological management (patience and discipline).

- There is an interesting paradox: people who know little sometimes do better than people who know a lot, because they don't

being paralyzed by information and constantly looking for reasons to complicate the application decision simple. Warren Buffett just needs to understand: is this business good, is this price cheap, Do I have enough patience to wait? He is notoriously uninterested in technical analysis. Peter Lynch managed the Magellan fund with a return of 29%/year for 13 years by buying what he understands in everyday life. There are people who only use DCA in ETFs every month, no matter what index, in the long term it still beats 80-90%. Active funds are run by experts who know everything. 6) To make good money, do you need to become a "professional"? The answer is: No need. You don't need to become an economics professor to make money. You just need to become an "expert in the method you choose". For example If you choose to invest in assets/dividends, you only need to have a deep understanding of 3 corporate indexes. If selected For short-term surfing, you just need to master candlestick charts and volume. If you choose to invest only index (ETF), you don't even need to know any index, just make regular monthly payments.

2.2. Dissecting basic indicators and terms

In this section, I will present basic indicators and terms commonly encountered in the stock market Divided into groups so you can easily follow. □ Group 1: Fundamental analysis - Is this business good, is the price reasonable? 1) P/E - Price to Earnings (Price to Earnings Ratio)

- Calculation method:

$P/E = \text{Current stock price} / \text{EPS (Earnings Per Share)}$

- Meaning: P/E is the answer to the question: "How many years will it take me to break even?"

when buying this stock. P/E = 15 means you pay 15 VND to make 1 VND profit per year. If the company continues to do business regularly, the capital will be returned after 15 years. The higher the P/E means you are buying expensive (or you expect this company to grow even stronger should accept high prices).

- Popular P/E milestones (Positioning expensive or cheap)
- Low (< 5 - 8): It sounds cheap, but it is often a dangerous area. The market does

Maybe you smell a big risk from a business or industry that is out of date, no can grow further.

- Average (From 10 - 18): This is a popular and quite safe valuation level for businesses

The business operates normally and stably.

• High (> 25): Expensive valuation. Often appears in technology stocks or growth. Investors accept high prices because they expect public profits The company will explode in the future, helping to pull the actual P/E down very quickly afterward.

- Two variations to know: Past and Future

When you look at the electronic board, you will see that P/E is divided into two categories to avoid being deceived by numbers:

• Trailing P/E (historical P/E): Use actual profits of the past 12 months. It's for you know what the company has actually done, but the downside is that this number already belongs past.

• Forward P/E (Forecast P/E): Use next year's forecast profit. It shows future, but the downside is that this number is based on a pie or calculation of the analyst, may not be accurate.

- Important note when using P/E

- Low P/E is not necessarily cheap (Value trap): Never see stocks with P/E equal to 3

or 4 but rush in because you think it's a good buy. Businesses may be on the decline and hit by scandals financial situation or is at the peak of the business cycle (preparing to enter a down cycle).

- P/E is meaningless when the business is losing money: If the company is doing poorly, EPS will be negative (profit

profit is negative), the P/E calculation will not be valid and will usually display as blank or undetermined.

- Only compare within the same industry, absolutely do not compare across industries: A technology company has

A P/E of 25 may still be reasonable because it is growing fast. But an electric company Water or cement production with a P/E of up to 25 is too expensive. You can only compare P/E of a code with its competitors in the same industry or with that industry average. 2) P/B (Price-to-Book Ratio) - Ratio of price to book value

- Calculation method:

$P/E = \text{Current stock price} / \text{BVPS (Book value per share)}$

- Meaning: P/B is the answer to the question: "Is the price on the market expensive or cheaper than the price

The company's true value? If the company has to close down and liquidate assets that day now. This index compares a stock's market value to its actual net asset value of the company based on accounting books (after subtracting all liabilities from total assets).

- Common P/B milestones (Determining asset value)

- Potentially cheap (< 1): Meaning you are buying the business at a much lower price

assets they own (like buying a house for 1 billion while the land and bricks are already paid for). worth 1.5 billion). However, this can also be a sign that the business is doing well losses and assets are losing value.

- Reasonable (From 1 - 2): The valuation level is reasonable and popular for a group of stocks with fundamentals

Stable operating platform.

- High (> 3): Expensive valuation compared to tangible assets. Often appears in the

Leading enterprises in the industry, with huge competitive advantages or possessing commercial value strong signal, causing investors to accept to pay more for that reputation.

- Important notes when using P/B

- This is a "heavy weapon" for the banking, insurance, and real estate industries: P/B

works extremely accurately for industries where assets are mainly cash, the loans, or land, factories (tangible assets that are easy to measure).

- Meaningless for technology and service companies: For companies such as software,

AI, or service, their biggest asset is the brainpower of human resources, algorithms, files customers and intellectual property (intangible assets). These are not recorded fully on the accounting books, causing the BVPS value to be very low and the P/B index always highest artificially sharpened.

- Low P/B is not necessarily good: Don't rush to be happy when you see a stock with $P/B < 1$.

If that business owns a pile of old, outdated machinery that cannot be liquidated, or there is a risk of bankruptcy, then that book value is just a "dead" number on paper. 3) PEG (Price/Earnings-to-Growth Ratio) - P/E ratio on growth rate

- Calculation method:

$PEG = P/E \text{ Growth rate over the years } (\%)$

- Meaning: PEG is the answer to the question: "Is this expensive price worth it?"

How fast is the business growing? This is the index used by the legendary Peter Lynch common to overcome the biggest weakness of P/E is that it is easy to miss super stocks. When A company with a P/E of 30 looks expensive. But if that company is big lightning fast with a profit growth rate of 30% per year, then $PEG = 30/30 = 1$. This number 1 proves that the high price is completely reasonable and worth the money.

- Common PEG Milestones (Measuring Merit)

- Cheap ($PEG < 1$): The stock is in an extremely ideal state. That means the speed increases

Corporate profit growth is running faster than market prices The school sets a price for it. You are buying a strong growth company at a price bargain.

- Reasonable (PEG approximately 1): Price and growth value are balanced and commensurate together.

- Expensive ($PEG > 2$): Growth expectations have been pushed too far compared to business reality

business. The profit growth rate began to slow down and could not keep up with the stock price bonds, the risk of adjustment is very high.

- Important notes when using PEG

- This is the "ultimate weapon" for growth stocks: PEG was born for

technology stocks, semiconductors, electric vehicles, clean energy... where the P/E is always towering. It helps you bravely buy stocks with P/E equal to 30-40 Don't be afraid of making mistakes, as long as their growth rates are similar.

- Meaningless for businesses going sideways or going backwards: If a company doesn't grow

growth rate (Growth rate is zero or negative), the PEG calculation will error or output The results are negative, completely worthless for analysis. Therefore, do not use PEG for defensive stocks, utilities or dividends.

- Be careful with the "Growth rate" number: This growth number is often used

taken from future forecasts of securities companies. If the board of directors draws up a plan The plan is too rosy but in reality it is not achieved, your PEG index will immediately be wrong misaligned and turned from "cheap" to "too expensive" after just one financial reporting season. 4) EV/EBITDA – Enterprise-wide valuation ratio

- Calculation method:

Coefficient = $\frac{EV}{EBITDA}$ (Enterprise Value) EBITDA (Earnings before interest, taxes and depreciation) In which:

- $EV = \text{Market capitalization} + \text{Total debt Cash and cash equivalents}$

(Simplified understanding: The actual amount of money you have to spend to buy out a company).

- $EBITDA = \text{Profit before tax} + \text{Interest expense} + \text{Depreciation expense}$ (Simple understanding

Simplified: The pure amount of money a company's operating system generates from core operations core, not affected by accounting factors, taxes or bank loan interest).

- Meaning: EV/EBITDA is the answer to the question: "If I buy out the entire business

this business (including paying off debt and holding on to all their cash), cash flow is active How many years will it take for the company's core operations to help me recover capital?". This is the tool favorite of large investment funds and M&A (merger and acquisition) experts because of it reflects a much more realistic picture than P/E.

- Popular EV/EBITDA milestones (Positioning expensive or cheap)

- Potentially cheap (< 8): The valuation is generally considered attractive to most investors

manufacturing and industrial sectors. The business is generating very strong cash flow compared at the cost of its acquisition.

- High (> 15): Expensive valuation. The market is paying too high a price for current cash flow of the business, or the business is falling into the operating cash flow stage strongly declined.
- Important notes when using EV/EBITDA
- This is the "ultimate weapon" to compare competitors with different capital structures: P/E can be squeezed distortion if the company borrows too much (because interest expenses reduce after-tax profits). EV/EBITDA completely solves this problem. It helps you compare the two fairly companies in the same industry, even if one person prefers to borrow from the bank to do business, The other guy only used his own capital.
- Absolutely meaningless for banks and insurance: The financial industry group operates based on capital mobilization and lending, so debt is the "raw material" for production and They do not have a clear concept of depreciation of fixed assets like real factories export. Therefore, never use EV/EBITDA to value a good bank insurance company.
- Very strong when valuing capital-intensive industries (large assets): This index is extremely effective effective when used for industries that require huge investments in machinery and factories export (steel, cement), energy (electricity, oil and gas), telecommunications, logistics (seaports, aviation). Because the depreciation costs of these industries are very large, the P/E is pushed up Virtually, EBITDA will add back this depreciation to return your real cash flow reviews.

- Calculation method:

$$\text{ROE} = \frac{\text{Net profit (Profit after tax)}}{\text{Average equity}} \times 100\%$$

- Meaning: ROE is the answer to the question: "The company's management uses its own money

Are the shareholders doing well in business? How many dollars of profit does one dollar of capital generate? This is one The most important indicators to evaluate the quality of a business, helping you analyze distinguish between a real "money printing machine" and a company that is not doing well spot. If you and other shareholders contribute capital to the company for a total of 100 VND, at the end Five years the company does business and brings in 20 VND of clean profit, the company's ROE is 20%. No The higher this percentage shows that management is using capital more effectively.

- Common ROE milestones (Measuring earning capacity)

- Weak (< 10%): The business is inefficient. This level of profitability is even just

equal or slightly better than if you put money into a savings account products, not worth the risks when investing in stocks.

- Good (15% - 25%): This is a milestone for healthy businesses with advantages

good competition. Legendary Warren Buffett always prioritizes finding unique companies Maintained ROE > 15 continuously for many years.

- Excellent (> 25%): The top "money printing machines" on the market. Doanh

Businesses often have monopoly positions, powerful brands or business models Absolute dominance helps them make very sweet money.

- Important note when using ROE

- Be wary of "virtual high ROE" due to huge debt: Look at the formula, to do it

To increase ROE, businesses have two ways: either increase Profit (Good), or Reduce Equity by borrowing debt instead of using equity (Dangerous). A company with an ROE of 30% but heavily in debt is never as good as one The company has an ROE of 20% but a healthy financial foundation with no debt. You always must also check the accompanying Debt/Equity (D/E) ratio.

- Analytical pinnacle - Look deeply with the Dupont Model: To know if a high ROE is "real"

or "virtual", professionals use a method called Dupont Analysis. This method breaks ROE in half or three to see where it comes from: from work high profit margin sales, from fast asset turnover (super fast sales), or from the abuse of leverage.

- Stability is the key: One year the ROE spiked to 40% due to the company selling one

land or asset liquidation (one-time profit) is meaningless. You need to find these businesses whose ROE remains stable or grows steadily over the course of 3 to 5 years consecutive years. 6) ROA (Return on Assets) – Return on total assets

- Calculation method:

$$\text{ROA} = \frac{\text{Net profit (Profit after tax)}}{\text{Average total assets}} \times 100\%$$

- Meaning: ROA is the answer to the question: "The enterprise owns a large pile of assets

So (including both own and borrowed money), how much dong can be generated in a year? words?" If ROE only measures efficiency on shareholders' pocket money, then ROA is the view

more comprehensive. It forces businesses to be fair: even if you use debt tricks No matter how beautiful ROE is, when standing in front of ROA, all assets must "up". sound". This index shows that for every 100 VND of assets (including land, factories, machinery, cash...) that the business is holding will generate how much profit net. The higher the ROA, the more streamlined and streamlined the business's operating system is Efficient, no wasted assets.

- Popular ROA milestones according to each industry's characteristics

Unlike ROE, which has a general measure, ROA must be looked at specifically industry because each industry has completely different needs for using assets:

- Banking and finance (0.5% - 1.5%): It sounds very low, but for the industry

bank, this is already a dream level and extremely healthy. The reason is because of total assets of the bank is extremely huge (including all customer deposits). They just Needing to earn a very small interest rate difference on that huge asset scale is too successful public.

- Manufacturing and heavy industry (5% - 10%): Average and good level. Businesses

This requires spending a huge amount of capital to build factories, buy machinery and wires production line (asset-intensive industry). Because the asset department is so large, ROA is at this level proving that they optimize factory capacity very well.

- Technology and services (> 15%): Excellent level. This is a "light butt" industry group (little

tangible assets). They don't need vast land or trillions of machinery or assets they are mainly office, computer and brain matter. Due to small total assets but profit margin High profits, their ROA easily jumped to very impressive numbers.

- Important notes when using ROA

- This is the "love mirror" to catch the leverage trick: As mentioned in the ROE section, ban

Leaders can push ROE to sky-high levels by borrowing heavily. But ROA cannot fool anyone, because total assets include that debt. If A company has a very high ROE but a very low ROA, which proves that the company is... This person is "living on heart medication" (borrowing too much debt to make a profit), risky extremely large finances.

- The perfect combination of ROE and ROA: An ideal business to invest in

The business has both ROE and ROA that are both high and have remained stable over many years. The gap between ROE and ROA tells you the level of financial leverage of the business is under control or not.

- The trend of ROA is more important than a single number: Pay attention to the direction of ROA

This index over the years. If ROA is decreasing, it warns that the business is failing invest in a lot of assets (buy land, build a new factory) but those assets This product has not generated adequate profits, or the business is operating poorly be effective. 7) Profit Margin – A measure of profitability

- Meaning: Profit margin is the answer to the question: "For every revenue of 100 VND

revenue from sales, how much profit the business actually retains in each stage?" If financial statements are a living organism, then revenue is the bloodstream flow in. A series of 3 profit margin indicators (Margin) will help you monitor closely "Wherever this blood flows, it is lost" and check the health of your business Is the business strong or weak?

- Profit Margin Trilogy: "Where does the blood flow to?"
- Gross Profit Margin - The strength of the product

Gross profit margin = $(\text{Revenue} - \text{Cost of goods sold}) / \text{Revenue} \times 100\%$ Revenue Subtract the costs of raw materials and direct production, how much is left for the business? It demonstrates product strength and competitive advantage. For example: Gross profit margin Apple's price is always extremely high because they sell expensive iPhones but low input component costs (thanks to its exclusive position and strong brand). Businesses with high gross margins will have it ability to raise selling prices or squeeze input supplier prices.

- Operating Profit Margin (Net profit margin from operating activities) - Operating efficiency

Operating profit margin = $\text{Operating profit (EBIT)} / \text{Revenue} \times 100\%$ After taking gross profit, subtract sales costs (advertising, premises) and expenses Business management fees (employee salaries, office space). It shows management capacity Whether the management's management and operating apparatus are streamlined or not.

- Net Profit Margin – Final result

Net profit margin = $\text{Profit after tax} / \text{Revenue} \times 100\%$

This is the final destination. After deducting all expenses, including taxes Up to bank loan interest, how much do businesses actually "pocket"? bring back to shareholders.

- Important notes when using Profit Margin
- "Catching" businesses through the difference between Margins: If a company has

Gross margin is very high but Net margin is very low: This proves that the product is sold very well good, but the management system is too cumbersome, advertising costs eat up all profits, or The company is struggling to pay interest on bank loans.

- Trends over time are more important than absolute numbers: A company has

The current net profit margin is only 10% but has increased steadily over the years very good sign. It shows that businesses are increasingly optimizing costs. On the contrary, the continuous decline in profit margin is a warning bell for the company must engage in a devaluation war or input costs are skyrocketing.

- Virtual Growth Trap from "Other Profits": Sometimes you see Net Profit Margin of

a company suddenly jumps to unusually high levels in one quarter. Be careful! Most likely that profit does not come from the sale, but from the company that just sold it a subsidiary, liquidation of land or exemption of a debt (recorded in financial enterprise or other income). This money only comes once disappeared, not reflecting the core competencies of the business. 8) EPS (Earnings Per Share) – Profit per share

- Calculation method:

$$\text{EPS} = \frac{\text{Net profit after tax (excluding preferred stock dividends)}}{\text{Number of outstanding shares}}$$

- Meaning: EPS is the answer to the question: "If all clean profits are divided equally

The company gives each piece of stock paper, how much money is divided into each piece? Here is the first foundation brick of fundamental analysis. All great stats Other major factors such as P/E or PEG must use EPS as a raw material for calculation. EPS can shows the direct earning power of a stock. For example, a company's EPS is

5,000 VND, meaning that for every share you own in that company, you have "rights" on

5,000 VND in profit that the business makes during the year.

- Sign of a high quality business

A business is considered a "warhorse" when it has a stable EPS growth index (usually > 15%/year) for 3 to 5 years or more. This proves the machine Their business is scaling up and making money more and more effectively, not must only be lucky for a quarter or two.

- Distinguish between 2 types of EPS: Basic vs Diluted

When reading an analysis report, you will see two very confusing concepts:

- Basic EPS (Basic EPS): Only calculated based on the number of shares running on the market

current school.

- Diluted EPS (diluted EPS): This is a more realistic and safer number. It's gross

including "potential" stocks that will appear in the future (like convertible bonds exchange, ESOP bonus shares for employees, stock options). Note: Always use Diluted EPS for valuation. If diluted EPS is much lower than With basic EPS, it warns that your profit pie is about to be divided five-seven to others in the future.

- EPS "manipulation" tricks that investors need to be wary of
- Trick to buy back treasury shares (Reduce the denominator): Look at the formula again, to increase it

EPS, businesses have two ways: either make more profit (Increase the numerator - Here good core), or reduce the number of shares outstanding by using cash to buy back own shares as treasury shares (Reduce the denominator). As the denominator decreases, EPS will automatically jump up and look very nice, even though the core revenue and profit of The company did not grow a single penny.

- Inventory and accounting tricks: The company can "cook" profit after tax

by short-term accounting tricks such as reducing provisions and changing methods Depreciate assets or push expenses to the next period to increase EPS virtually. So, To avoid being scammed, you should always cross-check your revenue and cash flow from operations Does the CFO (CFO) grow in agreement with EPS? EPS increased If revenue is flat or cash flow is negative, you have to be careful. 9) FCF (Free Cash Flow) – Free cash flow

- Calculation method:

FCF = Cash flow from operating activities (CFO) Fixed capital expenditure (CapEx)

- Meaning: FCF is the answer to the question: "After deducting all expenses

How much money is left to operate and buy machinery, factories, and businesses? How much cash in the safe to distribute to shareholders?" If Net Income is compared to an artistic picture that chief accountants can "paint" with their operations FCF is the actual amount of cash in the business's wallet. Cash is don't know how to lie. FCF represents the financial autonomy of an enterprise. When there is positive and abundant FCF, businesses can comfortably pay dividends in cash for you, confidently pay off bank loans, or buy back treasury shares to increase their value shareholders without having to borrow from anyone.

- The Power of FCF: The Nature Between "Accounting Profit" and "Actual Cash"

In accounting there is a principle called Accrual Basis. That means the company only needs to sign the contract Successful sales and invoice issuance are entitled to record "Net Profit" on the report, even though the customer is still in debt and has not paid a penny. Main Therefore, a business can report hundreds of billions of dong in profit (Very high net profit) But in the bank account there is not a penny, not even a penny facing the risk of bankruptcy due to misappropriation of capital. FCF was born to expose this truth. Because FCF is only calculated on actual cash coming in and going out, making it extremely difficult for management to use Accounting tricks to falsify this number.

- Important notes when using FCF
- This is the "love mirror" to catch virtual business growth: If you see one

The company has EPS and Net Profit growing steadily over the years, but FCF constantly having loud sounds, put a giant question mark. This proves merit The company is profitable on paper, but its real cash is stuck in accounts receivable (customers owe money) or unsold inventory.

- Understand correctly when FCF is negative (Don't rush to throw it away): Negative FCF is not always bad.

For businesses that are in a period of strong scale expansion (such as construction building new factories, buying super AI servers), they have to spend a lot of money huge for fixed assets (large CapEx). At this time, FCF will be negative. What you need The test is: Will this short-term cash sacrifice help the business boom revenue and bring huge FCF in the next few years or not.

- Large FCF is the foundation of the Dividend Investing school: If you are an investor who likes to eat dividends

That is, sustainable cash, FCF is the number one important indicator. Businesses only can maintain regular dividend payments over many years if they have free cash flow

(FCF) is abundant and stable. If the company pays dividends by borrowing from banks instead from FCF, that machine will soon collapse. 10) D/E (Debt to Equity) & Interest Coverage – The duo measures debt health

- Meaning: In the most practical sense, this duo is the answer to the question: "Business

How much debt are they carrying on their shoulders compared to how much money they have out of pocket, and how much money they earn? to pay interest to the bank or not? If a person buys a house for 1 billion but has to borrow up to 800 million from the bank (leverage 80%), when interest rates increase or jobs are reduced, they will immediately fall into crisis panic. Businesses are the same way. This pair of indicators helps you check your business Is the business at risk of "insolvency" when the market experiences turmoil?

- D/E (Debt-to-Equity Ratio) – Debt to Equity Ratio:

$D/E = \frac{\text{Total liabilities (or Total loans)}}{\text{Equity}}$ D/E indicates the company's capital structure. For example, $D/E = 2$ (or 200%) means the company is borrowing 2 dong for every 1 dong of equity capital. Reference landmark:

- Safety ($D/E < 1$): Enterprises mainly live on their own capital and financial foundation

Extremely stable, less vulnerable when market interest rates increase.

- Risk ($D/E > 2$): Enterprises are abusing leverage. When the economy goes into recession or revenue decline, this debt will become a suffocating burden.

- Interest Coverage Ratio – Interest payment ratio:

$\text{Interest coverage ratio} = \frac{\text{Profit before interest and tax (EBIT)}}{\text{Loan interest expenses}}$ To save businesses with high D/E, one must look at earning capacity money to pay off their debt through Interest Coverage. It indicates the core business machine The core of the business makes an amount of money that is many times greater than the amount of interest paid to the bank. Reference landmark:

- Dangerous (< 1.5): The amount of money the business makes is only enough to pay interest borrowed, no money left to reinvest or pay dividends.
- Safety (> 3): Enterprises are completely comfortable controlling their debts.
- Important notes when using the Leverage duo

- High D/E is not always bad: For industries such as Real Estate and Construction

Construction, Solar Power/Hydropower, borrowing large amounts of debt to do projects is mandatory (industry capital intensive). What matters is not how much debt they owe, but what the project has bring in a steady cash flow to pay off debt or not. Let's take Interest Coverage to check cross-check.

- Especially avoid when D/E increases combined with Interest Coverage decreases: This is a signal

The most obvious red move of a business about to enter a financial crisis. It shows that businesses are having to continue to borrow new debt to leverage old debt (leverage increases) while core business activities are increasingly poor (ability to pay interest decrease).

- Required to compare according to industry characteristics: A Technology or Service company

usually have a D/E close to 0 because they do not need to borrow money to buy machinery. But one For commercial banks, D/E can be up to 8 or 10 because of the nature of their business Banking is "borrowing money from depositors to lend it back to others" (customer deposits goods are accounted for as debt). Therefore, do not compare the bank's D/E compared to the company's production. 11) Liquidity index duo: Current Ratio & Quick Ratio - Health filter corporate finance

- Meaning: In the most practical sense, liquidity indices are "a measure of liquidity

immediate survival" of a business. If revenue and profit are considered sources Nutrition nourishes the body, then liquidity is the blood vessel. A business can reported record profits on paper, but otherwise had no cash available to repay debt When the time comes, that business can still "suddenly die" as usual. In fundamental analysis, the duo Current Ratio and Quick Ratio is the mirror that helps you analyze the ability to pay short-term obligations (less than 1 year) of the enterprise.

- The nature and rigor of the two metrics

- Current Ratio - Overview: This index measures

Measure whether all assets can be converted into cash within 1 year of the business is enough to cover the debts payable within that year no.

- Quick Ratio - Extreme challenge: This index increases

level of inspection up a notch in difficulty by completely eliminating Inventory warehouse. The reason is very simple: In an unstable macro environment or the industry enters a phase Sector Rotation, inventory (such as unfinished real estate, iron and steel, outdated components...) are extremely difficult to sell quickly to get money back. Quick Ratio just keeps Back to assets with ultimate liquidity: Cash, financial investments short-term and Receivables from customers.

- Calculation: Calculation to measure debt coverage

Both indexes take Short-term Debt as the denominator, the only difference lies in the level "distill" assets in the numerator: 1) Current Ratio (Current Ratio) $\text{Current Ratio} = \frac{\text{Current assets}}{\text{Short-term debt}}$ Standard safety benchmark: $\text{Current Ratio} > 1.5$. This means business There are 1.5 VND of short-term assets to guarantee 1 VND of due debt, creating a sheet safety cushion to prevent the risk of cash flow blockage. 2) Quick Ratio / Acid-test Ratio $\text{Quick Ratio} = \frac{\text{Cash \& Cash Equivalents} + \text{Short-term investments} + \text{Short-term receivables}}{\text{Short-term debt}}$ Standard safety benchmark: $\text{Quick Ratio} > 1.0$. That means if tomorrow all creditors all come knocking on the door, businesses just need to use available cash and demand payments Debt from customers is enough to pay fairly, no need to reduce liquidation inventory price.

- How to track: Filter data from the Balance Sheet
- Quick lookup on financial platforms: You can find these two indexes

Pre-calculated in the "Financial index" or "Financial health" section of the business career on tool sites such as FireAnt, Wichart (in Vietnam) or Yahoo Finance, TradingView (international).

- Monitor trends over quarters: A single number does not say much.

You need to record these indicators in your fundamental analysis table to monitor trends. If Current and Quick Ratio continuously decline for 3 consecutive quarters, that is a signal warning that liquidity risks are accumulating.

- Vital note: The trap of "too beautiful" numbers

- The index is too high - The dark side of less than optimal capital management: New people often think only

The higher this number the better (eg Current Ratio > 4.0). In fact, this is a minus point big under the lens of financial sharks. It proves that the business is in control Extremely poor working capital management: they leave too much "dead" cash in their accounts do not reinvest to expand production, or they are being occupied by customers Too much capital (Huge receivables), or goods are stagnant and cannot be sold (Inventory ballooning). This will indirectly reduce ROE and profit margin of business in the future.

- Capital-intensive characteristics of each industry: Absolutely do not apply machinery

Standard milestone of 1.5 or 1.0 for all industries. o Retail/Consumer Essentials Industry: Businesses such as supermarkets are common Current Ratio < 1.0 but they still live extremely well. The reason is that they collect cash directly from everyday shoppers, while allowing appropriation capital, deferred payments to suppliers (High short-term debt). Their cash flow rotates very fast. o Real Estate / Construction Industry: Due to product characteristics, it takes many years to complete good, inventory accounts for a huge proportion. For this group, you are required must keep an eye on Quick Ratio. If Current Ratio is very nice but Quick Ratio again flat below 0.3, which proves that the entire assets of the business are suffering "detention" in the form of land, unfinished bricks and stones. When Interest Rates Rise, Group This will immediately fall into a cash shortage crisis.

- Filter "Counterfeit Goods" in Short-Term Receivables: When analyzing Quick Ratio,

Be careful with businesses with very high indexes but essentially free cash flow FCF is empty again. Let's turn back to the Notes to the Financial Statements to examine the column "Accounts receivable". If accounts receivable accounts for 80% of the numerator, the business is likely is doing the act of "drawing virtual revenue" by issuing sales invoices to customers subsidiary companies, backyard companies of the board of directors. The actual money has never arrived in the safe, and it's dangerous The chance of having bad debts is extremely high.

□ Group 2: Technical analysis - Where is the price going, when to buy, when to sell 12) Moving Average (MA/EMA) – A thread that shows trend direction

- Meaning: In the most practical sense, a moving average is a "filter glass".

"noise" helps you see through the daily ups and downs of your business price to find out the true trend of cash flow. That is the answer to the question: "Quit Through the erratic fluctuations of each day, the general trend of stock prices is determined Are the votes going up or down? If one day's stock price jumps because of a false rumor, it's like one A sudden stormy day causes the temperature to drop sharply. Moving averages act as average weekly/monthly temperature, helping to smooth the data so you can clearly see the actual weather Whether it is summer (Uptrend) or winter (Downtrend) without being fooled by weaknesses short-term confounders. In technical analysis, this is considered a fundamental indicator and is an "introductory weapon" that any investor must know by heart.

- The nature of SMA vs EMA classification

The market uses two most common types of moving averages with two operating philosophies different actions:

- MA (Moving Average - Simple moving average): Calculated by average

pure addition of the specified number of sessions. MA moves slowly, smoothly and there Very high reliability when identifying large, long-term trends.

- EMA (Exponential Moving Average): Apply

Mathematical formula to give more weight to recent trading sessions. Because Therefore, EMA reacts extremely quickly, following the price path more closely than SMA. Here is a favorite weapon of short-term scalping traders to catch early reversal signals.

- How to calculate: Add up the total closing price of the last N days and divide by N. Every day

new number passes, the oldest number is removed and the newest number is added, forming A soft line follows the price on the chart. Numbers get smaller and smaller (like 9, 20), The MA line curves closer to the price (sensitive but noisy). The number gets bigger and bigger (like 50, 200), the MA line is flatter and less volatile (slow but extremely reputable). Popular N milestones (Time frame positioning):

- MA9/MA20: Represents the short-term trend. The path guides the warriors

Swing trade strategy. The price sticks along MA20 and goes up, proving the trend. The upward trend is extremely rapid.

- MA50 (50 days): Represents the medium-term trend. The boundary protects the trend medium term of stocks. This is a favorite ambush area for large funds to buy stocks increase position.

- MA200 (200 days): Represents the long-term trend. Great trend positioning map.

Price is above MA200 = Bull Market. Price is below MA200 = Market Bear Market.

- How to use MA lines to hunt for buy/sell points

1. Used as a "Borderline" to determine the trend

- Uptrend (Uptrend): When the price is above the MA line and the MA line is pointing up. At this time, the maximum priority is Buy and Hold.

• Downtrend (Downtrend): When the price is below the MA line and the MA line is rising head down. At this time, it is best to stay out of the market to preserve capital. 2. Use as "mobile" Support or Resistance Instead of being a fixed horizontal line, MA lines act as signals dynamic support/resistance zone: During a strong uptrend, every time the price corrects. If it falls to the MA20 or MA50 line and then bounces back up, that MA line is a point Ideal incremental purchase. 3. Crossover signal - The meeting of trends

- Golden Cross (Golden Cross): When the short-term line crosses the long-term line (For example: MA20 cuts MA50, or MA50 cuts MA200). This is signal one A strong price increase cycle begins.

- Death Cross (Death Cross): On the contrary, when the short-term line cuts down to the road long term. This is a warning bell to sell immediately before going to market. The school plummeted deeply.

- Important note when using the MA line

- Beware of the "Table Leg Saw" trap when the market is Sideway: The nature of MA is A Lagging Indicator – it only confirms a trend that has already occurred unable to predict the future.

o When the market has a clear trend (strong trend), MA is the god who shows the way to export color. o But when the market falls into a sideways state with an unclear trend (Sideway in the box), the MA lines will be intertwined like a spider web. Prices will be continuous Cut up and then cut down MA, if you mechanically just cut up to buy, cut down to sell, You will incur transaction fees and short cuts that will destroy your account in time short time.

- MA lines act as dynamic Support/Resistance zones: Don't just look at the landmarks

intersection, look at how the price reacts when it touches the MA line. In a trend increases sharply, every time the price adjusts back to touch the MA50 or MA200 line Withdrawal and rebound with high volume, this proves that the MA line is increasing acts as an extremely stiff support base. That's the point of buying at a rate The most optimal Risk/Reward instead of chasing at the top of the tree.

- Filter noise by combining the pair of Volume indicators (OBV / Volume): One shot

A price breakout above the MA200 line is only considered a real Breakout if and Only if the OBV line slopes up strongly and the Volume bar that day is high MA20 session average of volume. If price exceeds MA200 that volume Damn it, 90% of it is a technical scam (Fakeout), the price will soon return to its heart. land. 13) Bollinger Bands – Bollinger Bands

- Structure: Bollinger Bands are made up of 3 lines:
- Center line: This is the moving average MA20 (main line).
- Upper Band: MA20 line plus 2 times the standard deviation (Side guardrail

above).

- Lower Band: MA20 line minus 2 times the standard deviation (Lower Band).
- Meaning: Bollinger Bands are the "fast lane" of stock prices. The car (price)

It can launch quickly and curve continuously, but most of the time (about 95%) it catches forced to run inside this lane. Every time the car goes too far, it falls off the guardrail (strip edge), it will tend to automatically steer to return to the road.

- 3 classic states of Bollinger Bands help you "catch" the price path

1. "Bollinger Bounce" Strategy - Playing in a sideways market When the market is not trending strongly (Sideway), Bollinger bands act like one Extremely flexible Support and Resistance zones:

- Whenever the price increases and touches the upper band, it often retreats (Opportunity to take profit/Sell).
- Whenever the price falls and touches the lower band, it often pulls back and bounces up (Opportunity to catch the bottom/Buy).

2. "The Squeeze" phenomenon - Signaling that a storm is about to arise This is a unique feature of Bollinger Bands. When the market goes through a phase During the gloomy sideways period, the upper and lower bands will automatically contract, squeezing the price like a bottleneck.

- Meaning: It shows that price fluctuations are being compressed to the maximum level. The more compressed the "spring" becomes

The tighter it is, the stronger it will be when it comes out. A price explosion is about to take place.

- How to use: You just need to sit still and observe. As soon as the price punches through one of the two

Breakout: If the upper band breaks through, buy immediately because the price will enter Super Uptrend. If the lower band is breached, sell off immediately because the price will fall into a deep hole. 3. Walking the Bands – Follow the super trend In a market with an extremely strong trend (strong Uptrend or strong Downtrend), The price will no longer turn around when touching the band, but it will "stick" and push the Bollinger band to expand out.

- If the price continuously increases and sticks closely to the upper band, the uptrend is extremely strong.

Absolutely do not sell early or jump in to block short selling.

- Important notes when using Bollinger Bands
- Touching the outer band does not mean buying or selling immediately: Mistake

The life of a newbie is to see the price just sticking out of the upper band and quickly place a sell order because think it will decrease. During a bullish super wave, the price can "walk above the upper band" a lot consecutive sessions. You need to wait for other confirmation signals (like candlestick reversal, RSI too buy first) then decide to take action.

- Standard deviation changes according to the "mood" of the market: Bollinger Bands are not fixed

determined. When the market is panic or excited (high volatility), the two bands will automatically bulges out to make room for the price to run. When the market is calm (low volatility), The two bands will automatically narrow. Always look at the width of the strip to judge the center General principles of the market before making money.

14) Support & Resistance – The Floor and Ceiling of the price

- Meaning: Support and Resistance are the "Floor" and "Ceiling" of the above stock price

graph. These are the core psychological zones where the Buyers and Sellers will rush into one life and death battle to decide whether the price will turn around or continue to break out. 1. Support – Solid "Floor".

- Definition: A low price area at which the downtrend is expected to slow down

or reverse to increase.

- The psychology behind: When the price falls to this area, investors standing outside the market agree

My heart commented: "This price is too cheap, what a bargain!" Demand (Buy side) immediately rushed Buying at the bottom completely overwhelms the supply force (Sellers), preventing the price from falling further.

- How to use: This is the ideal "Buying area". You should wait for the price to fall near support,

Candlestick signals appear to withdraw or bounce back to open a buying position. 2. Resistance – The solid "Ceiling".

- Definition: A high price area at which the uptrend is expected to slow down

or turn down.

- The psychology behind: When the price increases and reaches this area, those who buy at cheap prices stay

There will be a desire to take profits to realize profits. At the same time, people Having been "stuck at the peak" of product congestion in this area in the past, I also wanted to sell it to break even light debt. The supply force (Sellers) rushed out, forcing the Buyers to death, causing the price to retreat and go down.

- How to use: This is the Profit Selling Zone. Absolutely avoid chasing (FOMO)

when the price has increased close to the resistance zone. 3. "Role Reversal" phenomenon - When the floor becomes the ceiling and the ceiling becomes the floor This is an extremely important conversion rule on the graph that every trader must know by heart:

- Resistance turns into Support: When the Buyers gather enough strength (usually accompanied by block

trading volume - Large volume) to punch through the ceiling (Breakout Phenomenon), then In the future, when the price has a downward trend, it will return to test that old ceiling will turn into a new floor (new support) protecting the price.

- Support turns into Resistance: Conversely, if the price breaks through the floor (pierces Support

Support), then that floor will immediately turn into a new ceiling (New Resistance). In In subsequent recovery periods, every time the price touches this area, it will be pushed down.

- Important notes when using Support and Resistance
- It is a price range, not an exact price: Beginner's mistake is

Draw a straight line (for example, price 50.0) and nail it there. In fact, the market There is always noise. Support/Resistance is a range (for example from 49.5 to 50.5). Look at past high/low clusters and candle shadows to identify one safe area.

- The more times you are tested, the more important that area is: A floor or a ceiling

If the price touches it 3-4 times and bounces back, it is an extremely strong zone. However, Be careful: if the price keeps "approaching" and hitting the resistance too many times in a row not retreating deeply, which shows that the sellers are starting to weaken and a ceiling blows up (Breakout) is about to happen.

- Always use Volume as a referee: A breakout passes

A Support or Resistance zone is only considered "real" if it is accompanied by a pillar Volume is unusually high (1.5 - 2 times higher than average). If the price exceeds the peak/breaks the bottom with Volume is low, most likely it is a fake trap to sweep stop loss orders your car then turn around. 15) RSI (Relative Strength Index) – Relative strength index

- Meaning: RSI is the "blood pressure monitor" of stocks. It shows cash flow

Is it pushing stock prices too fast and steeply beyond normal tolerance? The scale runs from 0 to 100. When a person exercises too much, blood pressure increases and they need rest. The same goes for stocks, when they increase or decrease too quickly, the RSI will touch entering the maximum areas, warning that the upward/decreasing momentum is about to run out of steam.

- How it works: RSI compares the price increase of green days with the level

Reduce the price of red days for a certain period of time (usually 14 days).

- Core boundary zone of RSI
- Overbought zone - RSI > 70: The market is in a "fever" state

high", the crowd's psychology was extremely excited, everyone was competing to buy it at all costs price. At this time, the stock's "blood pressure" was too high, warning of the risk that buyers would run out of steam The price can easily experience a sharp decline. Avoid buying new in this area.

- Oversold zone - RSI < 30: The market is falling into a "depressed" state

panic" prevailed, investors competed to sell their goods and sell them off. At this time, the stock price was compressed too deeply, the selling force was about to be exhausted, opening up opportunities A technical recovery appears. This is a good area to buy at a bargain price.

- Advanced technique: RSI Divergence (Divergence) - Top/bottom catching weapon

This is the phenomenon of the price chart and the RSI indicator line "saying two different words", forecasting one Extremely strong direction of the trend:

- Negative divergence (Signal of creating a Peak): The stock price continues to rise to create a high peak

higher than the previous peak, but the RSI line turns to create the next peak lower than the previous peak. This proves that rising prices are just an outer cover, actually the cash flow momentum The inside has been weakened. The price could easily collapse immediately afterwards.

- Positive divergence (Signal of bottom formation): The stock price is continuously pushed down to create the next bottom

lower than the previous bottom, but the RSI line points up, creating a higher bottom than the previous bottom. This signal shows that the selling force has lessened, and buyers are silently accumulating shares. The market can easily reverse from decrease to increase.

- Important notes when using RSI

- RSI can be "paralyzed" in a trend that is too strong: This is a fatal mistake that people

It's very common to get it. In a crazy bull market (Strong Uptrend), RSI can jump above 70 and stay "anchored" in the overbought area for a whole month while the price is ancient Shares continue to increase continuously. If you are in a hurry to sell, take profits or jump in Selling short just because you see RSI > 70, you will be crushed by the market.

- Always combine with Trend and Support/Resistance: RSI is just a momentum indicator

auxiliary. An RSI signal < 30 (Oversold) will have the highest winning rate if the price is stock at that time The vote also just fell into a strong Support area on the chart. Never Trade alone based on the RSI alone. 16) MACD (Moving Average Convergence Divergence) – Convergence divergence line moving average

- Calculation: MACD is created by taking a short-term moving average

(fast) minus a long-term (slow) curve.

- Meaning: MACD is "a compass that measures price momentum". It helps you see

see whether the strength of the current trend is strengthening or weakening, thereby discovering the changes the moment the cash flow begins to change direction to make a decision to buy or sell. When these two lines separate from each other (Divergence), it means the trend is increasing or very strong decrease. When they shrink together (Convergence), it means momentum The increase/decrease is weakening and is about to have a reversal.

- Main components displayed on the MACD chart

When you turn on the MACD indicator, you don't need to worry about complicated mathematical formulas, Just need to clearly see the following 3 components:

- MACD line (Usually blue): The line runs fast, sensitive to fluctuations current price.

- Signal Line - Usually red: The line runs slower, plays a role data smoothing game for comparison purposes.

- Histogram chart (Green/red columns pulsing around the 0 line): Measure distance between the MACD line and the Signal line. The higher the column, the stronger the upward momentum. Column The deeper below the line, the more aggressive the downward momentum.

- How to use MACD to hunt for buy/sell points

1. Crossover - Follow the money

- BUY signal: When the MACD line (Green) crosses above the Signal line (Red) from below

up. In particular, if this cut occurs below the zero line, it signals a recovery period strength is about to begin.

- SELL signal: On the contrary, when the MACD line crosses below the Signal line from above

down. This is when the upward momentum is exhausted, you should proactively take profits or reduce your stock exposure votes. 2. Divergence - Catch the price trick Similar to RSI, MACD divergence is a heavy weapon for detecting Top/Bottom zones:

- Positive Divergence (Creating a Bottom): The stock price continuously decreases, creating a lower bottom than the bottom

before, but the MACD histogram (or Histogram) creates a higher bottom than the previous bottom. This proves that the selling force is just trying to push forward, the downward momentum has essentially dried up. Price is very easy skyrocketing reversal.

- Negative Divergence (Creating Peak): Price rises to create a higher peak than the previous one, but

MACD again creates a lower peak than the previous peak. Warning of virtual price increase, large cash flow is withdrawing, the risk of a strong collapse is very high.

- Important notes when using MACD

- MACD is an indicator with quite a large lag: Because it is naturally composed of moving averages

(MA), MACD will give buy/sell signals slower than the actual volatility of price and RSI indicator. You will not be able to buy immediately at the lowest candlestick, but change On the other hand, MACD's signals are more reliable and safe, helping you avoid many short-term "trick".

- The position relative to the Zero Line is very important:

When both the MACD and Signal lines are above the 0 line: The market is in On the Bull side (Uptrend), buy signals will have a very high probability of being won. When the two lines are below the 0 line: The market is in the Bear side (Downtrend), The uptrends are only short-term technical recoveries, so buying is necessary at this time extremely risky. 17) Stochastic Oscillator – Stochastic Oscillator

- Meaning: Stochastic is the "battery percentage scale" of stock prices. It's for you

Know where the current price is in the fluctuation zone (top - bottom) of a range the most recent short period of time (usually 14 sessions). If your phone battery says 80% – that is Almost full, you can comfortably unplug the charger and use it (be prepared to discharge your goods). If the battery drops to 20% - meaning it's almost empty, it's time for you to find a charger to recharge (prepared to buy).

- Components: Stochastic includes 2 lines running in amplitude from 0 to 100:
- K line (Blue/fast): Reflects the current closing price compared to the low price range

highest/highest of the cycle.

- Line D (Red/slow): Is the moving average of line K, plays a role

make signal lines.

- 2 Stochastic charging/discharging boundary areas

Unlike RSI (taken as 70/30), Stochastic is more sensitive in the short term and uses two Wider boundary markers:

- Overbought zone - Stochastic > 80: "Battery" is overcharged, stock price

is anchored close to its nearest peak. The short-term upward momentum shows signs of being overdone, The buyers are starting to get exhausted and the price is about to enter a downward correction. Ne buy chase now.

- Oversold zone - Stochastic < 20: The "battery" has been exhausted, the stock price is

is forced close to its nearest bottom. Excessive short-term decline opens up opportunities A rebound appears (technical recovery). This is the buying area.

- Great tips for hunting buy/sell points from crossovers (Crossover)

The fact that Stochastic enters the overbought or oversold zone is just a necessary condition. To act, short-term traders will wait for the signal of the intersection of the K and D lines:

- BUY signal: Wait for Stochastic to fall below 20 (oversold area). Now

When the fast line K (Green) crosses the slow line D (Red), that is the time to "plug in and charge" – signals the return of short-term cash flow, activating a buy order.

- SELL signal: Wait for Stochastic to climb above 80 (overbought zone). As soon as

The fast line K (Green) cuts below the slow line D (Red), which is the "withdrawal" time charging and discharging the battery" – signals that the sellers are starting to dominate, triggering a sell order to lower the proportion.

- Important note when using Stochastic
- More sensitive than RSI but also much "noisier": Because Stochastic focuses on comparison

Comparing the closing price with the short-term top/bottom, it reacts extremely quickly to the path of price. This helps Swing Traders or Day Traders find entry and exit points very early. However, its weakness is that it produces many fake signals. You will see These two lines cross up and down continuously, if you just mechanically buy and sell each shot cut, your account will be eroded by transaction fees.

- Only promote maximum effectiveness in sideways markets (Sideway): When the market

There is no clear trend but just bouncing around in a box, Stochastic is that The "ultimate weapon" helps you buy at the bottom and sell at the top in an extremely sweet box. On the contrary, when marketing market enters a super trend (strong Uptrend or strong Downtrend), Stochastic will suffer from "saturation" (anchored tightly in the area > 80 or < 20 for a long time), causing Stop loss/take profit signals are completely misleading. Always combine it with the penny line MA direction or MACD indicator to check the market context. 18) Fibonacci Retracement – Measure of retracement rates

- Meaning: Fibonacci is the answer to the question: "After a stock increases (or

reduce) a circuit that is too long, it will retreat (adjust) to which rung before Get momentum and keep running? The stock market never goes straight to the sky, but it goes in a pattern zigzag. Like a mountain climber, after going a long way, they will the tendency to stop and rest at certain stair positions to recover strength before continuing the journey. Fibonacci ratios are self-referential "resting stations". Of course.

- Origin: This tool is based on the Fibonacci mathematical number sequence and the Golden Ratio (1.618 or otherwise it is 0.618). The amazing thing is that this ratio appears everywhere in the universe: magnetic structure snail shells, sunflowers, human body proportions, to... crowd psychology on financial markets.

- 3 core rest steps to remember

When you draw the Fibonacci Retracement tool from the bottom to the top of a wave recent increase, the system will automatically draw horizontal lines representing the levels Retracement percentage (how many % does the price fall back compared to the increase):

- Level 38.2% (Shallow ladder): The current uptrend is extremely strong. Stocks

Just adjust it down a bit, touch this level and it will immediately turn it back up.

- Level 50.0% (Balanced ladder): Classic psychological adjustment level. Price reduced by one half compared to the previous increase. This is not a pure Fibonacci ratio but is Very strong psychological support zone in the market.

- Level 61.8% (Golden Staircase): Decision boundary area. This is a deep support zone most and most important. If the stock falls here and then retreats and bounces back, the trend is up large is still preserved. But if the price breaks through this 61.8% level, there will be selling pressure large, the previous uptrend is considered destroyed, the market is at risk of reversing always go down.

- How to use Fibonacci to "hunt" for bottom buying points
- Identify the main wave: Find the nearest clear rising wave (clearly identify

the Bottom point begins and the Peak point ends).

- Drag the ruler: Select the Fibonacci Retracement tool on the graph panel, click from Bottom and pull straight up to the Top.

- Wait for an ambush: Don't rush to buy when the price is at its peak. Be patient sit still and wait for prices to adjust to high density areas, especially around 50%. to 61.8%. When the price touches this zone and reversal candles appear (such as candles Pinbar, withdrawal candle), that is the optimal Buy Point with high profit and risk ratio lowest.

- Important notes when using Fibonacci
- It is a self-fulfilling prophecy: Why does the price keep touching

on the Fibonacci lines are pop up? Is it because of magic? Actually, it's the mind crowd management. Because millions of traders and large investment funds around the world look at the chart that item and placed a buy order at 50% or 61.8%, accidentally creating a consensus. creating a huge demand force that really pushes prices up.

- Absolutely do not use alone: Fibonacci will easily be "crushed" if you use it alone in the empty space of the graph. This measure only really exerts its power maximum if the Fibonacci step (e.g. 61.8%) coincides perfectly with a zone

Past support or a Mid-term MA (MA50/MA200) is running over. This technical intersection point is called the Confluence area - where there is probability highest win in the market. 19) Japanese Candlestick (Candlestick) – The language of price behavior

- Meaning: In the most practical sense, each Japanese candle is a summary story

about the "life and death battle between the Buyers (Bulls) and the Sellers (Bears)" in a time frame certain period of time (1 day, 1 hour, 15 minutes...). If you compare a trading session to a competition In a soccer match, the real body of the candle is the final score of the match, while the shadow of the candle (whisker candles) are dangerous attacks that are blocked by the opposing team's goalkeeper Success at the last minute.

- 4 core numbers make up a candle

To read a candle, you just need to look at 4 important price levels (abbreviated as OHLC):

- O (Open): Opening price – The opening whistle of the session.
- H (High): Highest price – Highest position the Buyers have ever pushed.
- L (Low): Lowest price – Deepest position the Sellers have ever forced down.
- C (Close): Closing price – Final whistle. This is the most important number because

it determines which side actually wins in the end.

- 2 Color statuses: Who is mastering the game?
- Bullish Candle (Usually green): Closing price is higher than Opening price. Prove

From the opening to the end of the session, the Buyers completely dominated and pushed the price away up.

- Bearish Candlestick (Usually red): Closing price is lower than Opening price. Prove

Aggressive Sellers rushed forward, crushing the Buyers and forcing the price to decline.

- Set of 3 classic single candlestick patterns reveal market psychology

When looking at the shape of the candle, you can immediately "read" the crowd's mind No need to listen to the news: 1. Marubozu candle (Long body, almost no beard) – Absolute thrust

- Shape: A very long, solid green or red candle with both ends flat.

- Meaning: Shows 100% dominance of one side. Green Marubozu candlestick means faction

Buyers rushed in from the beginning to the end of the session, not giving the Sellers any chance to counter What resistance? The uptrend will likely continue strongly. 2. Pinbar / Hammer candle (Small body, super long wick on one side) – Classic "spin" phase

- Shape: The candle body is very small and lies completely on one side, but has a candle wick on one side

2 - 3 times longer than the body (like a hammer).

- Meaning: Shows a phase of price rejection (Price Rejection). For example: In session, faction

Aggressive selling pushes the price down extremely deeply (creating a long lower whisker). But by the end of the session, faction Buying suddenly "awakens", pouring money in and pulling the price back up to the wall to open the door. This is credit signals that the market is about to reverse strongly from decreasing to increasing. 3. Doji candlestick (Cross shape, body as thin as a thread) – Indecisive battle

- Shape: The opening and closing prices almost coincide with each other, the candle body is thin

sticky, candle whiskers on both sides are equal.

- Meaning: Shows inconclusiveness. Both sides had a rough day of fighting

misaligned, pushed up and then kicked down again, and finally had to accept a draw. It signals market The school is extremely hesitant, standing at a crossroads and waiting for a detonator news to decide the next trend.

- Important notes when using Japanese Candles

- A single candle does not say it all: The fatal mistake is seeing just one candle

Hammer means immediately rushing to place a buy order. A candle is only valuable when it is placed in the context of the market. For example: Doji or Pinbar candles will have reliability highest if it appears right at strong Support/Resistance areas or lines Long-term MA.

- Always check the accompanying Volume: Japanese candlesticks tell you "Action",

and Volume tells you the "Energy" behind that action. A bullish candle Strength is only truly reputable if the Volume column below is suddenly high - proving cash flow Big sharks have entered the fray. If the bullish candlestick is long but the volume is small, be careful. That could be a bull trap. 20) Classic price model – Crowd behavior map

- Meaning: In the most practical sense, classic price models are "signs".

"geometric marks" that crowd psychology leaves on the graph. The essence of technical analysis

It's not about finding mysterious drawings, it's about reading the life and death battle between factions Buy and Sell side. When thousands of investors experience the same emotional states as Tham Greed, Fear, Anchoring, or Herding, they will act unconsciously repetitive movements. This repetition creates probabilistic price patterns Extremely high statistics.

- Breakout Rules and How to Calculate Price Targets

Price models are divided into two main categories: Reversal models (signaling the old trend exhausted, preparing to change direction) and Continuation pattern (signaling that the price is just taking a break to gain momentum to continue the old trend).

- Neckline (Neckline / Trigger zone): This is the life and death boundary of the model.

As long as the price has not broken this line, the model is still just a hypothesis. Transaction order is only triggered when the price officially Breakout through the neckline with a candle definitely accompanied by a spike in trading volume (Volume / OBV).

- Measured Move rule: The market is symmetrical. Afternoon

The height of the pattern (distance from the deepest peak/trough to the neckline) is The "energy tank" is accumulated. On a successful breakout, the price will usually go one more The segment has a minimum length equal to the exact height (H) of that model.

- Four classic models: Real combat technical structure

1) Model 1: Head & Shoulders – Reversal from UP to DOWN Appears at the end of a Bull Market cycle or after a long increase in stocks.

- Structure: Consists of 3 consecutive peaks. The middle peak (Head) is the highest, the two peaks on both sides (Left

& Right Shoulder) is lower and has the same height. Straight line connecting the two The bottom between the peaks is called the neckline.

- Behavioral psychology: Left shoulder + Head: The uptrend is still strong, the price continuously creates the following peak

higher. Right shoulder: Buyers tried to push the price up again but exhausted, did not can surpass the old peak (Head). This signals that the uptrend structure has broken crack.

- How to play: Wait for the price to cut below the neckline. Target price reduction by approx from the top of the head to the neckline.

2) Model 2: Inverse Head & Shoulders (Inverse Head & Shoulders) – Magnetic reversal DECREASE to INCREASE Appears at the bottom of the Bear Market, when the Fear & Greed index falls into the zone extreme panic.

- Structure: Completely opposite to the forward model. Consists of 3 bottoms, the middle bottom is the deepest, the bottom and sides are shallower.

- Behavioral psychology: The Sellers tried their best to destroy the Early zone but were then defeated by the Buyers

push back. At the Right Shoulder, the Sellers tried to push the price down but the supply was exhausted exhausted, the Buy side dominated the game.

- How to play: Buy as soon as the price breaks out, punching through the upward neckline

with large volume. 3) Pattern 3: Double Top / Double Bottom (Double Top / Double Bottom) – The birth challenge death The model retests the market's maximum resistance/support areas.

- Double Top: Price increases to touch resistance (Peak 1) and then bounces back down

He tried to rise again (Peak 2) but continued to be pushed down by the Sellers. The steering wheel Penetration of the neckline (center bottom) confirms the pattern's success, activation large drawdown.

- Double Bottom: The price plummeted and hit the hard support area (Bottom 1), then rebounded

Return to check selling pressure (Bottom 2). When Bottom 2 holds and the price bounces past it A central peak forms -> The market confirms a successful bottom. 4) Pattern 4: Cup & Handle – Super bullish continuation pattern Known as the machine that hunts for super growth stocks (Growth Stock), The CANSLIM method was applied at its peak by the legendary William O'Neil.

- Structure: Cup part: Has a rounded "U" shape (representing the process of eliminating

Leave weak investors slowly and calmly).

- Handle part: A short adjustment span, gently sloping down with a narrow amplitude

and Volume is exhausted.

- Behavioral psychology: Part Coc is a long-term accumulation period. The Handle part is the "shake off" shot.

finally (Shakeout). The Sellers are lazy and don't want to sell anymore, just need a force The shark's small demand means the price can easily skyrocket.

- How to play: Buy when the price breaks out above the top edge of the Handle. Section

The cost is equal to the depth of the Cup.

- How to monitor: Set up a filter and set up a warning system
- Use automatic scanning feature (Chart Pattern Recognition): On charting platforms

With a modern display like TradingView, you don't need to strain your eyes to draw it yourself. Let's get into the section Indicators -> Search for the phrase "Auto Chart Patterns". AI system of The software will automatically scan, connect the tops and bottoms and draw the neckline for you Model is ready to be completed.

- Synchronize sentiment data: Always compare price patterns with momentum indicators.

For example: When the price creates a Double Top pattern, but the RSI or Stochastic indicator is at Peak 2 lower than Peak 1 (Negative Divergence) -> The model has extremely high reliability.

- Survival note: The trap of "Running in front of the car with a light"
- Died because of the trap of entering an order too early (Buying stock before Breakout): Fatal mistake

For beginners, you can see that the graph has only just finished forming the Cup and is drawing the Hand He was so quick to go all-in and buy the full position because he thought he was "smarter than the market". Remember, if the price cannot break through the upper edge of the Handle, it will collapse If it fails, the model will fail completely. Always wait patiently for the Breakout command shot Only after an official outbreak can we take action.

- Volume is a fake filter: A geometrically perfect model but

Without mass consensus, it's just a scam. The upward breakthrough of Inverse H&S or Cup & Handle must come with a Volume/OBV column suddenly high (1.5 - 2 times the average of 20 sessions). If the price increases above the neckline Volume is low, 90% of it is a Bull Trap, the price will immediately turn around and be crushed. your account.

- Always apply the life and death management formula: No matter how beautiful the model is, probability

Winning is never 100%. Immediately after pressing the Breakout buy order, continue What you have to do is open the Trading Journal, measure the current ATR index to set an automatic Stop-loss mark (usually placed right below the bottom of the right shoulder or below the bottom of the trading section). handle). Use the Position Sizing formula to get a snug fit, guaranteed if it sticks One fake scan (Fakeout), your account will only lose a maximum of 2% of your capital, keep it Maintain a minimum Risk/Reward ratio of 1:2 for the entire game. □

Group 3: Volume and volatility - What is the cash flow doing

21) Trading Volume – Trading volume

- Meaning: Volume is the "applause and cheers" of the market for the direction of the market

price. It tells you exactly how many shares have successfully changed hands Buy side and Sell side during the day. If a stock price spike is accompanied by a towering Volume column, it looks like one The singer sings well and the whole audience stands up to applaud and cheer (trend extremely prestigious increase). On the contrary, if the price increases but the volume is small, it is like a singer singing Afterwards, there were only a few faint applauses from family members (the monks cheated, no one cared mind).

- Core rule duo: Reading behavior through Volume

In technical analysis, Price indicates action, while Volume indicates energy. To know what the sharks (big funds, institutions) are really doing, you have to look at the consensus Agreement between Price and Volume: 1. Consensus (Good weather – Sustainable trend)

- Price INCREASED + VOLUME INCREASED: Buyers are extremely aggressive and willing to dump

Real, big money flows in to sweep in and push prices up. This is an extremely good signal The uptrend will continue strongly.

- Price DECREASES + VOLUME INCREASES: Sellers are panicking and running away and selling their products

At any price, the buyer does not dare to support it. This is a red alert signal, the market will still falling deep. Absolutely avoid catching falling knives at this time. 2. Disagreement (Fraud warning – Trend is about to reverse)

- Price INCREASED + VOLUME DECREASED: Stock price still increased but large cash flow has withdrawn

Standing outside, there are only a few small investors playing and chasing each other. Momentum increases This is extremely hollow and can easily collapse when faced with slight selling pressure (Bullet Trap

- Bull Trap).

- Price DOWN + VOLUME DOWN: Price decreased but no one wants to sell out anymore, force

supply has been exhausted. This is often a sign of a healthy adjustment rhythm (Retest), the price drops only to gain momentum, not to break the trend.

- Great technique to identify 2 sensitive areas thanks to Volume

1. Base explosion zone (Successful Breakout) When stocks are moving sideways accumulate in a box (Sideway) and suddenly there is one Jump up, punch through the top edge of the box to go up. This breakthrough is a must

Comes with an incredibly high Volume column (1.5 - 2 times the average of 20 sessions). considered the real Breakout. If Volume is low, 90% of the time it is a fakeout. 2. Climax Volume After a series of crazy price increases, suddenly a price fluctuation session appeared Extremely loose movements (can go up to the ceiling and then be kicked down, or the legs can pull out at both ends). accompanied by a historically high Volume column. Be careful! This is not an additional cash flow, but it's a sign that the shark is making its final "handover", releasing all luxury goods for retail investors who are extremely excited (FOMO). After this session, the market very easy to create long-term tops.

- Important note when using Volume
- Always compare with itself in the past (Average MA20 of Volume):

A Volume number by itself (for example 5 million shares) is not meaningful if it stands independent. 5 million shares of a small cap (Penny) code can be a huge number, but with a national code (Bluechip), it is too little. You have to turn on the middle line MA20 average of Volume up to see if today's column is higher or lower the normal average of the stock itself.

- Don't be fooled by the "Wash Trading" trick: In the necks

"Junk" bonds, poor liquidity or manipulative drivers, they can open many accounts themselves Different accounts then buy and sell to each other to create Volume columns Red and blue look very beautiful to attract new players to the casino. Stay away from the neck Stocks with Volume graphs all take care of the muscles equally like the teeth of a comb, because that is Volume artificial, does not reflect the natural supply and demand of the market. 22) OBV (On-Balance Volume) – On-Balance Volume: Shark's footprint

- Meaning: In the most practical sense, the OBV indicator is a "cash flow scanner

underground" of the market. In the financial world, stock prices can be manipulated short-term using Japanese candlestick drawing techniques, but trading volume (Volume). absolutely cannot be faked. Legendary Joseph Granville - the father of this indicator - gave a classic philosophy: "The mass is the electric current, the price is the light bulb. If the current flows first, the light bulb will light up." later." OBV was created to accumulate that current, helping you clearly see the cash flow The Smart Money of sharks is silently accumulating shares or secretly distributing shares, now even when the stock price appears to be standing still on the surface.

- How to calculate: The formula for calculating OBV is extremely simple and logical, depending entirely on the position of today's closing price compared to yesterday.

- Scenario 1: Today's closing price is HIGHER than yesterday (Buyers prevail)

$OBV_today = OBV_yesterday + Volume_today$

- Scenario 2: Today's closing price is LOWER than yesterday (Sellers prevail)

$OBV_today = OBV_yesterday - Volume_today$

- Scenario 3: Today's closing price is THE SAME as yesterday (Inconclusive)

$OBV_today = OBV_yesterday$

- How to monitor: Read the Divergence signal

To apply OBV in real combat, you don't look at its absolute number, but you must compare the trend of the OBV line with the trend of the Price line: Phenomenon Graph status Actual meaning Your actions Price is moving sideways. Shark is negative. Open a buy position Convergence (Sideway), but secretly accumulate shares into available jackpots in areas Accumulate the OBV line continuously during support price increases, waiting for the explosion slopes up, creating the following peak and limiting selling at the base. higher than the previous peak. reduced session. The price continues to increase, creating an increase in price. Absolutely do not buy new peak, but empty, mostly new. Pull the point tight The OBV line reversed divergence due to retail buying chasing, Stop-loss neared downward direction (either while the shark or actively pegs sideways). is secretly withdrawing firewood to make a profit. bottom of the pot.

- Exposing the underground accumulation and distribution behavior

The core structure of OBV is to measure buying and selling pressure by direct association between the fluctuation of closing price and trading volume.

- Cumulative cash flow (Consolidation): When large organizations want to buy a capital stock

Mid Cap, they never rush to buy orders at once because it will increase the price ceiling, causing capital prices to rise. They will buy a little bit every day for weeks.

OBV will expose this action by continuously rising, signaling "calm". "quantity" is being fully charged, preparing for a strong breakthrough (Breakout).

- Distribution cash flow (Disposal): On the contrary, when sharks want to take profits and sell off stocks stocks, they will find ways to keep the price flat or increase slightly to attract small investors. Retailers fall into the FOMO trap and rush into buying. However, too large a discharge will cause OBV plummeted seriously, sending out an early warning signal that the vehicle was about to break its axle.

- Vital note: The trap of sudden "Volume Explosion" sessions
- Extremely susceptible to distortion by huge put-through trading orders: For specifics

In the Vietnamese market, sometimes large funds exchange huge amounts of shares through agreement method (no direct order matching on the floor). However, system The system still counts that volume into the total volume for the day. If that day the price Just move slightly by 0.1%, the entire huge pile of Volume will be added straight into OBV, creating a virtual steep tree that deceives the viewer. You should always check See if that Volume is a direct order match (order match) or a prior agreement believe in OBV.

- Be wary of illiquid stocks (Small Cap/Penny): Absolutely not applicable

Use the OBV indicator for junk stocks with small and bar market capitalization erratic fluctuations. Drivers of these stocks can easily buy and sell themselves (turn your hand to create fake Volume) for many sessions to draw an upward OBV line extremely beautiful to trap investors with herding bias. OBV broadcast only Maximize accuracy in the Large Cap and Mid Cap groups - where casino participation occurs flat of many investors.

- Always combine with Technical Trends to filter noise: OBV is just an additional indicator

In terms of volume, it has no value as a substitute for resistance, support, or zones MA line. Never buy a stock just because the OBV is increasing. Owl Putting your money down only really achieves a high win rate when the OBV line breaks out of the coin rhythm with the stock price breaking out of the accumulation box (Breakout), opening a Short-term Bull Market structure with a minimum Risk/Reward ratio of 1:2. Take notes Carefully record these confirmation signals in your Trading Journal to train your intuition cash flow. 23) ATR (Average True Range) – Average actual fluctuation amplitude

- Meaning: ATR is the answer to the question: "Average per recent session, stock

This bond fluctuates, how much is the price elastic? If the weather forecast indicates temperature amplitude

Today's temperature will fluctuate around 5°C, you will know how to dress appropriately not too hot or too cold. In investing, ATR is a measure of the "level of contraction". (volatility) of the stock, helping you set stop-loss orders and take profits (Take-profit) is suitable, not being unfairly "scanned" by the market. ATR does not indicate the direction of the price (does not say whether the price increases or decreases). It only measures the strength of the step price.

- Calculation method: ATR calculates the largest distance between (Highest price - Lowest price),

or the distance from the previous session's closing price to the next session's peak/bottom, then take the average normalize (usually within 14 sessions).

- High ATR → Stocks are dancing crazy, extremely volatile.
- Low ATR → The stock is moving slowly and flatly.
- Great technique to use ATR to set professional standard Stop-loss

The fatal mistake of most beginners is to set a stop loss at a fixed percentage (for example: every loss of exactly 5% or 7% is cut). This method is completely out of context: 5% for a utility stock (very low volatility) is too far, but 5% for a stock Technology or fintech stocks (very volatile) are just a "sneeze" away from the market. During the session, you were wiped out, and then the price skyrocketed again. Professional traders use the ATR Index as a benchmark to set dynamic stops (Trailing stop):

- Classic Stop-loss setting formula:

Stop-loss position = Entry price (2×ATR)

- Meaning: You allow the stock a safe "breathing space" equal to exactly 2 times

its average daily fluctuation amplitude. If the price really collapses beyond the level This 2×ATR, it proves that the trend has really changed and is no longer the same normal noise fluctuations too. At this time, cutting losses is completely correct.

- 2 other real combat applications of ATR

1. Position sizing (How much money is enough?)

- When investing in a stock with a very large ATR (high fluctuations like public stocks

technology, semiconductor), you should downsize (buy less volume) because of the risk of shaking big.

• On the contrary, when entering a code with a very small ATR (moving sideways slowly like a stock), you can increase the volume of shares a little more to optimize profits without fear of account being taken too seriously.

2. Identify bullish/bearish momentum exhaustion zones After a long uptrend, if you see the price suddenly accelerate but the ATR index dropped sharply again, which warns that the daily movement amplitude is narrowing. The "gas" of the trend has run out, buyers are starting to run out of breath and a reversal is waiting wait.

- Important notes when using ATR
- ATR changes continuously over time: ATR is not a fixed number. Enter

periods when the market releases financial reports or there is shocking macro news, ATR will swell very quickly. You must always update the current ATR value on the chart display to adjust the Stop-loss setting distance to suit the latest "mood". of the market.

- Absolutely do not use ATR to find price direction: Again, ATR only measures degrees

the width of the price step, not the trend. A bearish candle reduces 10% or so A 10% increase in ceiling candle causes ATR to spike equally. Always combine ATR with trend lines like MA or Support/Resistance structure to know yourself Should I bet up or down? 24) VIX (Volatility Index) – Wall Street's "fear index".

- Meaning: VIX is the "heart rate monitor" of the entire US financial market.

It does not measure the price of any particular stock, but rather the level of anxiety, panic or subjectivity of large investors towards the S&P 500 index within Next 30 days.

- How it works: VIX is calculated based on the prices of options contracts

(Options) on the S&P 500 index. When investors smell risk (inflation increases, war, banking crisis...), they will rush to buy hedge options like buying insurance. This buying force pushes option prices up, causing the VIX index to increase spurt.

- Opposite rule: Most of the time, VIX moves in the opposite direction of the market

securities. When the market crashed and panicked, VIX galloped. When the market increases At a calm point, VIX sleeps at the bottom.

- Popular VIX milestones: Reading the financial weather

If you think of the VIX as a psychological temperature chart, you can divide the market into distinct "season":

- Subjective Zone ($VIX < 15$): Warm "summer" weather. The market is extremely peaceful,

Increasing points steadily, investors are optimistic and somewhat subjective. However, when VIX levels remain too low for too long, it is often a warning sign. The market is too complacent and susceptible to a sudden correction.

- Shaky Zone ($15 \leq VIX \leq 30$): Windy "autumn" weather. The market begins

When unfavorable news appears, stock prices fluctuate more strongly. This is variable level. Normal market movements occur when there are Fed interest rate meetings or newspaper season business results report.

- Panic Zone ($VIX > 30$): "Financial winter" hits. The market fell into a state

real panic. Investors compete to sell off at all costs.

- Crisis area explodes ($VIX > 40$): "Snowstorm" state. This milestone is extreme

Periods rarely appear, usually only occurring during great economic crises (like the 2008 financial crisis, or the Covid-19 black swan of 2020). Crowd At this point, they completely lost their minds and trampled each other to escape.

- Real combat techniques: "Buy when blood is spilled on Wall Street"

Investment legend Warren Buffett famously said: "Be greedy when others are greedy." scared". But how do we know exactly when the crowd is "extremely scared"? Jump in to accumulate shares? The answer is to look at the VIX. Professional investors do a catchphrase: "When the VIX is high, it's time to buy. When the VIX is low, look out below!" (When VIX is high, it's time to buy. When VIX is low, it's time to be careful. kidney!) When VIX crosses the milestones of 35 or 40, the electronic board will be a fiery red color, Press news is filled with pessimism. However, in the long term, this is the moment gold for you to pick up quality super stocks (Fintech, AI, Energy, Sell guide...) at a "cheap" price due to cross-selling. The higher the VIX, the bottom of the market The closer the stock is.

- Important notes when observing VIX

- VIX is not a tool for short-term surfing: You cannot use VIX to

Click exactly which day and time the market will bottom. When VIX hits 35, it is entirely possible to continue climbing to level 45 in the next few sessions before cooling down. Therefore, when VIX is in the panic zone, the optimal strategy is to divide the accumulated capital gradually among the items. For long-term goals, absolutely do not use leverage (Margin) to catch the bottom in one shot right away.

- VIX only reflects the US market: VIX is the barometer of Wall Street (S&P 500).

Although the US market has the nature of leading global cash flows, it is not VIX fluctuations always coincide exactly with emerging markets or Asian market. Use VIX as a macro filter to gauge "taste risks" of international sharks before making major disbursement decisions. □ Group 4: Capital management – More important than any other index 25) Stop-loss & Position sizing – Risk management and Making money

- Meaning: To understand it in the most practical way, this duo is "a seat belt and a bag gas" on your account vehicle. Wearing a seat belt does not make you a good driver better or go faster, but it's the only thing that keeps you alive when you unfortunately have ears accident happened. In the stock market, most people lose their accounts not because of them wrong analysis, but because they refused to wear seat belts (did not set Stop-loss) and launched overshooting quickly (all-in on wrong position size).

- Stop-loss – Limit of life and death
- Meaning: Is a price you set right before pressing the buy order. If price

The stock moves against expectations and when it touches this level, the system will automatically sell Cut your losses to protect your remaining funds.

- Correct thinking about cutting losses: Many people consider cutting losses to be a failure, but in reality it is the insurance cost. In a volatile market like Fintech, AI or mining Mining, a stock that falls 7% can completely fall 70% if the company is involved in a scandal. Cutting losses early helps you keep money to start again in another deal.

- Position sizing - Smart way to spend money

Position size answers the question: "How many shares should I buy in this deal? What percentage of capital?" It's not like you just like it and collect it. Large investment funds always use the 2% Risk Rule formula to calculate money:

- Step 1: Determine the amount of money you are willing to lose on a trade (usually up to 1% 2% of your total assets). For example, if your account has 100 million, you only allow yourself losses

maximum 2 million if wrong.

- Step 2: Measure the distance from the Bid Price to the Technical Stop Loss Price (eg based on support or ATR indicator). Suppose this gap is 2,000 VND/share.

- Step 3: Calculate the number of shares allowed to buy:

Number of shares = Maximum loss amount (2,000,000 VND) Stop loss distance per share (2,000 VND) = 1,000 shares

- The "survival" rule so that the account is never wiped out

1. Cruel Math of Asset Decline (Drawdown) You need to look at the data table below to understand why you must cut losses early. No The deeper the percentage of account losses, the more terrible the price you have to pay to get back to shore: Your loss The % of profit needed to BREAK CAPITAL -7% $\approx$ 7.5\% (Very easy to redo) -10% 11.1% (Normal) -20% 25% (Starting to scratch) -50% 100% (Must eat a super stock increase equal to the break-even time) 2. The higher the volatility, the smaller the payout Not all stocks make money the same.

- With a highly volatile technology or fintech code (large ATR), the stop loss distance must be right placed far away to avoid being swept ☐ Position size must be smaller.

- With a stable, defensive stock with little fluctuation (small ATR), the stop loss distance is short

☐ You are allowed to buy a larger volume of shares. 3. Decide before buying, absolutely do not make changes while facing a loss The classic mistake is that when the price reaches the stop-loss mark, the investor arbitrarily cancels the order out of regret for money Stop-loss, or worse, rush into "average down" (buying more when the price is falling) with the hope that the price will recover to unwind. This is the shortest path to bankruptcy. Every plan The insurance plan must be maintained while you are still awake (before entering the order), rather than correcting it when the psychology is being manipulated by greed and fear. 26) Risk/Reward Ratio (R:R) – Risk to Reward Ratio

- Meaning: Risk/Reward ratio is the answer to the question: "Is this deal worth it?"

to trade or not; If I accept losing 1 coin, I have the least chance of bringing it back How many words?" In investing, predicting the trend of a stock is correct or incorrect

is a story of probability. No one can be right 100% of the time, including legends Wall Street. The R:R ratio is the mathematical shield that keeps your account growing Even if you guess wrong more times than you guess right.

- Risk: Distance from the Purchase Price to the Stop-loss point.
- Reward: Distance from the Purchase Price to the potential Take Profit point

(Take-profit) (usually placed at Strong Resistance areas).

- Standard rate: A professional trader rarely enters a rate order

R:R < 1:2. That is, they only put down money when the profit potential is at least twice the amount they can lose.

- Mathematical power: Why can you still make money if you are right a little?

Many people new to the market are obsessed with finding a way The method has an extremely high win rate of up to 80% - 90%. In fact, if you take control If the R:R ratio is 1:2 or 1:3, you only need to be correct less than half of the times to be successful. can earn regular profits. Let's look at the simulation below with 10 trading orders, each losing lose 1 million VND (Risk), if you win you win 2 million VND (R:R ratio = 1:2), and the ratio Your win is only 40% (Guess wrong up to 6 times, only correct 4 times):

- 6 LOSING orders: You lose $6 \times 1 = 6$ million VND.
- 4 WIN orders: You earn $4 \times 2 = 8$ million VND.
- Final result: You still PROFIT 2 million VND ($8 - 6 = 2$).

If you raise the R:R ratio to 1:3 (lose 1, win 3), then the winning ratio is even higher. Your account dropped to only 30% (7 wrong orders, 3 correct orders), your account is last still break even or have a slight profit.

- 3 steps to set the correct R:R ratio before pressing the order
- Determine the previous Stop Loss point: Based on the chart structure (below the nearest Support area)

or according to volatility (ATR indicator), find a reasonable technical stop loss point. Suppose This distance is 5 prices.

• Look at the Resistance area above: See a reasonable profit-taking target (old peak, resistance strong resistance) how far away from the purchase price.

- Create a comparison problem:

o If the profit target is 12 prices away □ R:R ratio = 5:12 (greater than 1:2) □ Bet Next, click Buy.

o If the profit taking target is right next to the wall, only 6 prices away □ R:R ratio = 5:6 (close like 1:1) □ The risk is too high compared to the reward, skip looking for another stock.

- Fatal mistake shreds your R:R ratio
- "Eating too early" - If you are strong at losses, if you are afraid of profits then you are weak: Many investors set up plans

The initial plan is extremely good with a ratio of 1:2. But when the stock just went up a little bit (only made a profit of 0.5 VND), because they were too afraid of the market turning around, they immediately took profit young. Meanwhile, if the stock drops, they continue to suffer losses until they reach it correct stop loss point (loss of 1 dong). This action unintentionally turns the actual R:R ratio into 1:0.5 (lose 1, win half). With this rate, you must be correct in over 70% of the orders just hope to survive.

- Intentionally pulling Target's profit taking into the clouds to "force" the R:R ratio to look beautiful: Approx

The way to cut loss is 5 prices, knowing that we need to target 10 prices to achieve a ratio of 1:2, but this is very strict. Above (6 prices away) is a super hard resistance ceiling that is difficult to overcome. Many people still blindly draw a profit-taking target to overcome that resistance to "legalize" the 1:2 ratio to target orders. This is an act of deceiving yourself, market The school will soon wake you up. 27) Diversification: The art of spreading eggs into many baskets

- Meaning: In the most practical sense, diversification is a "lifesaver".

Your account survives unexpected market storms. In investment, risk is divided into two types: Systemic risk (natural disasters, epidemics, Interest interest rates increase, economic crisis causes the whole market to collapse) and Unsystematic Risk (only occurs in a specific business or industry, for example: management is involved in corruption management, factory fires, changes in audit laws). Portfolio diversification was born to help You suffocate and completely eliminate unsystematic risks. If a basket is punctured, The remaining baskets remain intact to protect your total assets.

- Three classic schools of portfolio structure

Depending on the size of capital, time spent monitoring the market and risk appetite, the financial community divided into 3 distinct egg basket management styles: 1) Concentrated - Warren Buffett style

- Scale: Only holds from 5 to 15 best stocks.
- Philosophy: Warren Buffett once said: "Diversification is a shield against lack

understanding. It means very little to anyone who knows what they are doing."

- Characteristics: You put all your effort into researching every corner of the financial report extremely deeply.

Thoroughly understand the business leadership. This category helps you optimize Maximum profit when guessing the right card. But in return, the decrease in assets (Maximum Short-term Drawdown) will be very fierce if one of the key codes gets bad news. 2) Balanced School (Balanced - Optimal choice for Individuals)

- Scale: Maintain from 15 to 30 stocks, evenly distributed from 3 to 5 other industry groups

each other have low correlation coefficients.

- Characteristics: Achieve the perfect touch point between profit and safety. You are not

Psychological pressure is heavy when a code drops to the floor, because there are defensive industry groups (such as electricity, water, healthcare) as a shock absorber base. Sharpe Ratio index of this portfolio Usually very nice and stable. 3) Index Investing - Jack Bogle Philosophy

- Scale: Own the whole market through ETF certificates (buy one stock

only but representing the 500+ largest stocks such as the S&P 500 or VN30).

- Characteristics: You accept a profit level equal to the market average

(about 10% - 12%/year). In return, you are completely immune to the risk of bankruptcy of any individual company and sleep well with a pillow for 20-30 years without Look at the electronic board.

- The "Di-worse-ification" trap (Over-diversification leads to diversification)

Many individual investors have a very harmful habit: their account only has 100 million but Buy up to... 40 different stocks, each with a few hundred shares. They think it's safe to do so Absolutely complete. In fact, they are shredding their own accounts for 3 reasons:

- Terrible profit dilution: Suppose you buy 50 stocks, including 1 super stock

Penny stocks that hit the big wave doubled (+100%). But since you're just allocating in That's 2% of total capital, this classic increase only helps the total account in the end Yours only moved up by... 2%. Over-diversification has killed opportunities your rich.

- Exceeding the brain's management capacity: You cannot turn on the TV to follow the news

Instantly read and read the financial statements of 40 businesses at the same time. When an industry Step into a Depression zone on a Sector Rotation watch and you'll be completely devastated Information overload, not being able to cut losses in time, leading to loss Aversion (gathering holes simultaneously).

- Erosion of assets through transaction costs: Buying and selling too many stocks will cause

You pay huge fees and taxes to securities companies, accidentally hashing small of its own free cash flow.

- Excellent skill in spreading eggs with professional standards

To properly diversify and not fall into the trap of "worsening out," you must diversify by Correlation Index, not by increasing the number of codes:

- Wrong diversification: Buy 5 different Bank stocks (VCB, BID, CTG,

TCB, MBB). I thought I bought 5 companies, but in reality the Banking industry was involved. Bad news about bad debt or interest rate pressure, all 5 stocks will simultaneously hit the top of the floor because they have a correlation coefficient of 1 ($r \approx 1$).

- Diversify properly: Choose 5 - 7 of the most stellar stocks located on opposing front lines

each other: o Attack side: 1 Technology/Semiconductor code (benefit from cheap money), 1 Real estate code Industry leading property/industrial park (Large Cap). o Defensive side: 1 code Electricity/Water (strong FCF cash flow, steady dividends), 1 code Health. o Insurance assets: Partly allocated to Gold or Metal Mining stocks Precious types to fight inflation storms. When you line up a team with both a striker who knows how to score in the Bull Market and a defender If you know how to stay in the Bear Market, your asset curve will be real smooth. Write this structure down in your Trading Journal and review it seriously Check to see if the current portfolio is in a state of Focus, Balance, or "bad". chemistry" 28) Drawdown (DD) – The asset's decline from its peak

- Meaning: In the most practical sense, Drawdown is the answer to the question: "From

The most recent glorious peak, how much of your account has been evaporated? before reaching the bottom? If the normal loss rate is only calculated based on the cost price you bought, then Drawdown is a fairer and more intense view of psychological pressure. It measures distance from the highest point of the account (Peak) to the lowest point (Trough) in one cycle certain period. Whether that amount is the principal you deposit or the interest you earn in The euphoria phase, once it's gone, the pain feels the same.

- Calculation method:

Drawdown (%) = $\frac{\text{Highest value} - \text{Lowest low value}}{\text{Peak value}} \times 100\%$ For example: Your account initially has 100 million, you bet 200 million (peak). After Then the market collapsed, the account dropped to 120 million.

- Considering the original cost price: You are still making a profit of 20% (20 million).
- From a risk management perspective: You are shouldering a Maximum Drawdown of

40% (80 million loss from peak).

- The Asymmetry of Loss

Why are big hedge funds always obsessed with controlling Drawdown instead of just staring at profits? That's because Mathematics has a polar asymmetry rule A cruel fact that newbies often ignore: Decline from peak Percentage of profit needed just to BREAK CAPITAL (Drawdown) -10% 11% (Easy comeback) -20% 25% (It takes effort to start) -30% 43% (Need an excellent strategy) -50% 100% (Must double account to return to shore) -70% 233% (Almost unimaginable in the short term) -90% 900% (Delete, start over) When you let your account drop 50%, your cart doesn't just go backwards Do the same to return to the old place. You must find a deal that pays off at the same time (up 100%) with only a small amount of capital remaining, I hope to see the sunshine break even again. The biggest psychological resistance right now is panic, leading to investors taking it easy all-in breaks all the rules to "remove the enemy", only to receive the final fatal blow.

- Max Drawdown (MDD) – A measure of a system's bravery

When you evaluate a trading robot, a technical method, or even features The maximum drawdown of an investment fund is the maximum drawdown in history The first number to be stripped:

- A system that brings 50% profit per year but has a Max Drawdown of up to 45%

☐ This is a "living on cardiac medication" system. You can earn a lot money when the market is good, but with just one macro correction, all results will be affected wipe clean.

- A system that only brings profit 20%/year but has extreme Max Drawdown control

good at less than 10% □ This is a sustainable money printing machine, giving you a pillow Sleep well through all stormy seasons of the market.

- Survival tips to stifle the Drawdown index
- Tighten your seat belt. Stop-loss based on ATR: Don't wait until your account is severely negative

just frantically cut losses. Stop-loss placement closely follows the actual fluctuations of the stock The stock ensures that for each wrong trade, you only lose 1% - 2% of your account. Your drawdown will never have a chance to swell to alarming levels.

- Lower financial leverage (Margin) when the market is highly volatile: When the VIX fear index

start to jump above the 30 mark, the first thing you need to do is cut back or disconnect entirely from debt sources. Margin is the catalyst that helps profits increase quickly, but it is also a bulldozer that accelerates your Drawdown into the abyss many times.

- Diversify portfolio according to correlation coefficient: Don't put all your eggs in one basket,

especially baskets with the property of "going with birth, returning with death". If your category just full of Fintech, AI and mining stocks (Lithium/Silver) – capital An industry group that is extremely sensitive to cash flow and highly speculative. When the market turns around, The entire portfolio will collapse at once, leaving your Drawdown empty brake. Please allocate a portion to defensive or industry groups More stable cash flow to act as a shock absorber. 29) Sharpe Ratio – A measure of profit per drop of sweat

- Meaning: In the most practical sense, Sharpe Ratio is "a measure of true bravery

qualities" of an investor. It exposes the truth behind the huge profit numbers quickly to answer the question: "You make money thanks to your skillful management ability Or is it just a game of chance?" If you only look at the rate of return, you can easily be fooled by rising accounts Grow 30% - 50% during Bull Market season. The Sharpe coefficient appears as a referee fair, minus the "easily earned" profits through savings, then bring it back The remaining excess profit divided by the account's volatility (risk) level. If you see two people boasting a 20% profit in the past year, don't rush admiring.

- Person A: Earn 20% by putting all your money into technology and fintech stocks

Extremely volatile, the account sometimes drops from the peak (Drawdown) to the top 40%, I can't sleep every night looking at the graph.

- Person B: Earn 20% by cleverly allocating to stocks with cash flow

evenly, combining the technique of catching buy points at standard Support/Fibonacci and financial zones The account ran very smoothly, the largest decrease was only 5%. Both people have the same destination, but one person walks leisurely on a flat road, and one person must swing across the abyss. The Sharpe index was born to do its job a referee: Praise the skillful person (Person B) and expose the bold person (Person A).

- How Sharpe Ratio works

Sharpe's formula is very clever, it takes the profit you make and subtracts it "safe" profits (like bank savings or government bonds), then bring them divided by Standard Deviation - a measure of the level of shaking, fluctuations and fluctuations account. Sharpe Ratio = $\frac{\text{Portfolio return} - \text{Risk-free rate}}{\text{Standard Deviation (Volatility of the portfolio)}}$

- Meaning: This index shows that for every unit of risk you take, you will carry it

How many units of profit do you get?

- Sharpe milestones for you to evaluate a category:

o Sharpe Ratio < 1.0: Poor. The profits earned are not worth anything compared to those the shock the account had to endure. o $1.0 \leq$ Sharpe Ratio < 2.0: Good. The portfolio is managed methodically and the profits are reasonable worth the risk. o $2.0 \leq$ Sharpe Ratio < 3.0: Very good. This is the area of professional investment funds, skillfully optimize cash flow. o Sharpe Ratio $\geq$ 3.0: Excellent. Extremely rare, highly profitable category but items The account display is as flat as a straight line going up.

- How to monitor: Monitor asset curves

During a crazy bull market (Uptrend), making a profit of 50%

- 100% by holding speculative stocks is very easy. At this moment, everyone thinks

I am an investment genius.

But the Sharpe index will reveal the truth: Because that portfolio has too much volatility (denominator). large, the Sharpe index will be below 1. It warns that the machine is running too hard rate, luckily thanks to market trends but that management or traders do not have management capacity. As soon as the market changed direction, the Drawdown wave came, the fortunes These accounts with low Sharpe will be the first to be wiped out.

- Vital note: The trap of "luck" in Uptrend
- Easily distorted by the super excited cycle (Uptrend deception): In a market

Bull Market is crazy, when crazy money flows in, pulling all Small Cap codes (Penny) continuously increases to the ceiling, the standard deviation of the hot growth account may be temporary Time does not reflect risks properly because prices only go up, not down. At this time, Your Sharpe index may jump to level 4 or 5. Don't be fooled by bias Ant Overconfidence. As soon as macroeconomics changes direction, interest rates increase, creating a psychological bubble burst, accounts with this virtual Sharpe will suffer Maximum Drawdowns most severe because the nature of the system has no dampers.

- Sharpe index does not distinguish the nature of strong shocks (Asymmetric

risk worthiness): Sharpe formula penalizes all sharp fluctuations (Standard Deviation high) are the same. However, if your account suddenly skyrockets +30% Thanks to a good spike in information, the Sharpe formula still counts it as a "fluctuation." strong" and unintentionally unfairly lowers your Sharpe score. Therefore, the Hedge funds often use the Sortino Ratio index (which only calculates risk for sessions discount) to complement Sharpe.

- How to proactively upgrade Sharpe to world class: To pull up the Sharpe index,

you can't force the market to give you more money (the numerator is hard to control), but you can completely stifle the denominator (control volatility) yourself with discipline iron:

- o Always tighten your Stop-loss seat belt based on actual ATR fluctuations.
- o Correct position sizing Position Sizing (maximum risk rule 2% of capital per transaction).
- o Only deposit money when the technical chart shows a minimum Risk/Reward ratio of 1:2 or more.
- o Spread smart eggs (Diversification) into industry groups with similar coefficients low so that they can eliminate cross-risks for each other.

30) Beta coefficient: A measure of a stock's "sensitivity" to the market

- Meaning: In the most practical sense, Beta coefficient is a "sensitivity meter"

of a stock before the fluctuations of the general market (VN-Index or S&P 500). If you compare the general market to a big wave in the ocean, the Beta coefficient will tell you know your boat (stock) will gently bob with that wave, flat or will be thrown into the sky and head down to the ground frantically.

- Calculation: Calculation to compare rhythm deviation

The Beta coefficient is calculated by comparing the Covariance between the rates return of the stock and the market, divided by the Variance of the market itself there: $\text{Beta} = \text{Covariance}(R_s, R_m) \div \text{Variance}(R_m)$ In which:

- R_s : Return rate of the stock.
- R_m : Return rate of the general market (benchmark index).
- Action milestones based on Beta coefficient:
- Beta = 1: Stock moves at the same rhythm and amplitude as the market.
- Beta = 1.5 (Attack Stock): 50% more volatile than the market. If market

During the Bull Market season, the market increases by 10%, this stock can skyrocket +15%. Inverted On the other hand, if the market crashes -10%, this stock will be crushed -15%.

- Beta = 0.5 (Defensive Stock): Volatility is only half that of the market. Khi thi

The general market was hit by a recession and fell 20%, this stock only shook slightly about 10%.

- Beta < 0 (Retrograde Stock - Extremely rare): Stock moves in reverse

direction with the market. When the market falls, it rises, when the market rises, it falls. Trang This behavior sometimes appears in inverse exchange-traded funds (Inverse ETFs), gold, or shares of precious metal mining companies when the macro situation is stormy Heavy inflation.

- How to monitor: Filter data on the barometer table
- View directly on financial news sites: You do not need to calculate the work yourself

this complex formula. Beta coefficient (usually calculated based on historical data of 1 year or 3 year) is always displayed in the stock's basic index section on sites such as

FireAnt, Cafef, Vietstock (for Vietnam market) or Yahoo Finance, TradingView (for US market).

- Calculate the total Beta of the entire Portfolio (Portfolio Beta): You take the Beta coefficient of each stock

Multiply by the percentage of capital you allocate to that stock and then add up. Please write me down this Portfolio Beta number to your Trading Journal every weekend for "heat What is the overall risk level of the asset?"

- Vital note: The trap of "falling asleep" when changing seasons
- High beta is a double-edged sword (Don't confuse talent and timing): In

a super Uptrend season, when the Fear & Greed Index was continuously in the Greed zone maximum blue, holding all stocks with Beta > 1.5 will make your account increased rapidly, pushing the Sharpe Ratio index up very nicely. However, if you are biased overconfident (Overconfidence) and keep this formation when the macro changes direction (Profit yield increases, Yield Curve reverses), high Beta coefficient will immediately come back to "bite" you fatal blow, pulling the account into a deep hole of unstoppable decline.

- Beta is an indicator of the past, does not guarantee the future: The Beta number you are looking at

seen on the electronic board is calculated from price data of 1-3 years ago. The nature of one Shares can change completely if the corporate structure changes. For example: One The utility company's Beta = 0.5 is very safe, but the board of directors suddenly decided intends to borrow huge debt to expand into real estate projects or technology investments risk, immediately, that stock will transform into a monster with Beta high that you wouldn't know if you just looked at the old index.

- Adjust portfolio Beta according to ocean currents Sector Rotation: Reasonable investor

Always proactively control the account's total Beta coefficient: o When macro indicators such as GDP and PMI signal a period of Recovery and Proactivity Raise portfolio Beta to > 1.2 by gathering Attack line stocks to the maximum profitization. o When the VIX fear index spikes high, the market smells like Bear Market and Lower Beta item below 0.8 by restructuring to Defensive codes, increasing the proportion of money face or Gold to stifle volatility, protecting the safety of the egg basket (Diversification). □ Group 5: Market structure

31) Bull Market & Bear Market: Thi's Birth - Death Cycle School of Finance

- Meaning: In the most practical sense, the stock market is like an entity

Life moves according to the breathing rhythm of nature: there is spring when buds sprout (Bull Market) and has cold, deciduous winters (Bear Market). The names of the two expressions This phenomenon originates from the attack method of two animals:

- Bull: Always use its horns to knock back from bottom to top. Represents the faction

Buying pushes the price to skyrocket.

- Bear: Always use two mallets to slap strongly from top to bottom. Represents the faction

Selling at overpriced prices.

- Technical definitions and core statistics

In the global financial world, a trend is not just named based on emotion, but it is required to achieve standard quantitative milestones: 1) Bull Market (Bullish Speculative Market) – Harvest season

- Necessary condition: General market index (such as S&P 500 or VN-Index) reaches

growth >20% from the nearest bottom.

• Characteristics: Crowd psychology is extremely optimistic, cheap money flows are abundant (Interest rate low), macro data such as healthy GDP growth, purchasing managers index PMI goods >50.

• Average duration: ~3.8 years. The bull market went up very slowly and miserably and lasts like the way people climb stairs. 2) Bear Market (Bear Market) – Purification season

- Necessary condition: General market index declines >20% from recent highest peak

most.

- Characteristics: Overwhelming pessimism, escalating inflation (CPI/PPI) forcing the Bank

The central government must tighten monetary policy. Yield curve inversion phenomenon (Yield Curve) appears signaling an approaching economic recession.

- Average duration: ~1.4 years.

- Average decrease: ~36%. The bear market fell very quickly, fiercely and panicked

The chaos was like someone jumping from a window. The reason is because of the psychology of hating losses (Loss Aversion) triggers herding to occur many times faster with greed.

- Real combat skills: Survive two cycle seasons

Understanding the timing and amplitude characteristics of Bulls and Bears will help you shape a position
Extremely calm investment mindset, not emotionally led by electronic boards: 1) While in Bear Market

- Accept reality and tighten discipline: Don't intentionally argue with the market. Please

remember that an average Bear Market decline is 36%, which means Many individual Growth Stocks will be divided in half or three in price treat. If you don't buckle up your Stop-loss early, your account will get hit with one Maximum Drawdown level cannot be recovered.

- Patiently accumulate cash and ambush: Bear awakening is the best time

to study, practice trading diary writing skills and observe Fear & GreedIndex. When this index falls into the extreme panic zone (0 - 20), it is Bear time was tired. Use the Position Sizing formula to divide your capital to gradually pick up assets Cheap quality products. 2) When riding on the back of a Bull (Bull Market)

- Close the stop loss book and learn how to maximize profits: The biggest mistake in the Bull Market is

eat young. Since the Bull market lasts an average of 3.8 years, super stocks will continue Continue to set new peaks, sticking along the upper band of Bollinger Bands to go up. Don't pay attention Fear causes you to take profits too early when you only get 15% - 20%.

- Be wary of complacency: When the market increases for too long, everyone will panic

profitable, it will be easy for you to delusion that you are an investment genius and start full margin, Purchasing without bluff. Always be alert and look at momentum indicators such as RSI/Stochastic looks to see if there is a reversal divergence signal or not, and proactively lowers the blow seven when the party excitement reached its peak.

- Rules of mind in terms of thinking

- Bear markets are where millionaires are born: People only really get rich after one

Uptrend season thanks to the fact that they have gathered a huge amount of assets at extremely cheap prices in the previous Downtrend season. If there is no bear market, the bubble will burst price, you will never have the opportunity to buy technology stocks, semiconductors, Great fintech at deeply discounted prices. Don't hate the Bear market, be aware thank you and prepare resources for it.

- This time is no different: In every Bear Market season, the press always finds out

The most terrible reasons (war, collapse of the banking system, pandemic...) to convince you that "this time the economy will completely collapse and cannot recover

Don't be fooled. Hundreds of years of financial history prove it Dawn: After the terrible night of the Bear, the bright dawn of the Cow Will definitely come back. Your job is to survive until that dawn dawn. 32) Trading Positions & "Liquidity Traps" (Long/Short vs Squeeze)

- Long/Short - Two gears of the market machine

Meaning: In financial language, Long and Short are not simply Buy or Short orders Sell. They represent two philosophies, two psychological states (Bulls vs Bears) and are two gears that directly mesh together to create liquidity for the entire market global. 1) LONG Position (Buy Position / Bullish Expectation - Bull Side):

- Mechanical nature: You use capital (or borrow more leverage) to buy current assets,

Hold it with the expectation that the price will increase in the future to sell to take advantage of the difference deviation.

- Risk structure: Potential profits are limitless (because the stock price can increase up to

infinity), but the maximum risk is limited by the amount of money you spend to buy (if trading The industry goes bankrupt, the price goes to 0). 2) SHORT position (Short position / Expect price to fall - Bear side):

- Mechanical nature: You bet that this asset is too expensive or about to collapse. Process

Underground operation includes 3 steps: o Borrow assets from the floor/broker. o Sell immediately at a high price to collect cash. o When the price plummets, use cash to buy back that cheap asset to pay for the goods and make a profit deviation.

- Risk structure: Profit is limited (because the price can only decrease to a maximum of 0), but risk

The risk of loss is limitless because the stock price can increase at any time, forcing you had to buy it back at an exorbitant price to pay off debt.

- Long Squeeze and Short Squeeze - Two classic liquidity traps

When the market falls into a state of Thin Liquidity — that is, when the Funding provider for short-term vacation loans or risk tightening — order book (Order

Book) becomes very thin. This is when Market Makers (MMs) will trigger shots Squeeze to turn this faction into "fuel" to serve the other faction. 1) Long Squeeze (Long Squeeze / Short Squeeze / Margin Cascade)

- Trigger scenario: When the market is pulled up, the Bull side is excited to attack

High leverage (Margin, Long Options) to continue chasing (FOMO). Suddenly, a message Bad news (e.g. Fed hawks, peace news rejected) causes prices to fall fast.

- Chain reaction:

o Step 1: [Price turns down] [Leveraged Long side suffers heavy losses] [System send Margin Call notification] o Step 2: [If there is no deposit, the computer automatically forces SELL (Market Sell)] o Step 3: [Order book below is empty (thin padding)] [Price slippage is deep, created Flash Crash plugged in]

- Vital note: Long Squeeze has devastating speed and terrifying ferocity. It

triggering panic in the entire market (Panic Selling), causing even Those who do not participate in Long are also afraid that selling their goods will lead to a situation trample each other to escape. 2) Short Squeeze (Squeeze Short / Force Short-term Buy)

- Activation scenario: The Bear side is enthusiastically building up a large number of Short positions

(short selling) because you think the market is about to collapse. Suddenly, an "East wind" appeared (for example: peace rumors, cooling oil prices) causes asset prices to increase slightly.

- Chain reaction:

o Step 1: [Price goes up] [Short side suffers a loss] [Activate stop loss order (Stop Loss) or Margin Call] o Step 2: [Stop loss order for Short position] must be a BUY order (Market Buy) o Step 3: [Hundreds of Mr. Short compete to BUY to escape] [Price rose upright like a rocket]

- Vital note: This increase is virtual liquidity. The price spike is not due to internal factors

The business improved, but the Short side was forced to buy back at all costs to cut losses. When this forced buying force is exhausted, the market will immediately "run out of steam" and fall freedom.

- Real combat techniques: Measure "Leverage density" to avoid accidents

To know which side the market seesaw is leaning too heavily on and what is about to happen Whichever side does the Squeeze flip on, professional traders will monitor the structural parameters Microstructure:

- Call/Put Options & Open Interest (OI) ratio:

o If the Open Interest amount of the Call order (bet up) is too different from the Put, the market being Over-leveraged by the Long faction. Extremely vulnerable and easy prey for a Long Squeeze. o On the contrary, if the number of Short positions builds up too quickly, the OI of the Put order skyrocketing at psychological resistance zones. Just need a spark of good news, the market will Activate Short Squeeze to strangle the Bear side.

- VIX Index (Volatility Measure):

o When VIX is forced into extremely low areas (below 15-17), the crowd is extremely bullish concerned and do not bother to buy protective insurance. That's when the mattress is at its thinnest and A Long Squeeze is about to be activated by the big guys.

- Survival notes when "Living with Storm Squeeze"
- Understand the game you are playing: If you are trading stocks with large fluctuations

(High-Beta) with leverage, you are directly participating in the game of life and death of the Squeeze sweeps both ends. Meet sensitive macro weeks (BOJ, FOMC), practice The act of selling off to collect cash for your bunker is how you can get yourself out Market Makers' "fuel" list.

- The Cyclist Difference: Value investors, long-term wealth accumulation

Cash only is completely immune to these two traps. The collapses the word Long Squeeze doesn't dent the business internally, it just cleans the floor, sweep away hot money flows. For the meat money bearer, the Long Squeeze of the crowd is a "Sweet Spot" to pick up assets at a discount deepest!

- Deeper hidden mechanism of "Liquidity Trap"

In a modern financial market, more than 70% of the trading volume is operated by Algorithms of large funds and Market Makers. Market Makers do not Pay attention to whether the price goes up or down; Their goal is to earn transaction fees and hunt for deals Large liquidity pools (Liquidity Pools) for order matching. These large liquidity zones

This is where the Long and Short sides place a large number of Stop Loss orders or Margin Call area.

- Underground Short Squeeze Trap: Market Makers will intentionally push prices through resistance zones

Psychological resistance to detonate stop loss orders of the Short side. Once Market buy orders This Sell-to-Cover is automatically activated by the computer, Market Makers rely on it Follow that momentum to sell shares aggressively at virtual peak prices.

- Underground Long Squeeze Trap: When the Bulls are excited to swing to the top, Market Makers will swing Quietly withdraw buy order to support below (withdraw cushion). Just a small selling force from bad news down, the price will fall freely through the hard support zones, triggering the Margin Cascade chain (Snow rolling liquidation) so that Market Makers can pick up the cheap goods at the bottom.

- Actionable Framework

To apply Long/Short and Squeeze diagrams to practical accounts - especially in the current "thin liquidity, thin cushion" and geopolitically volatile period

- We need to translate the theory into the following 3 practical applications to master

game: 1) Application 1: "Sniper Volatility" Strategy - Avoid the short-term swing top trap

- Context: When you read that the market skyrocketed 3% in one session (like session Nasdaq recently) is based on unverified news.

- Application action: You must immediately ask yourself: "This increase is due to real cash flow injection (Macro Spring) or just a Short Squeeze forcing the Bears to cut their losses?"

- Recognizing signs: If the Open Interest (open position) of the Put order drops sharply and the price Oil dropped suddenly but bond yields remained high, that's it is Short Squeeze.

- How to play: Absolutely DO NOT jump into Long/Call to chase the price. On the contrary, here is the perfect Entry Point for you to execute your plan: Sell off your existing codes Large fluctuations (High-Beta) to take profits right on top of the Short side who are panic buying Again, collect cash back into your pocket. 2) Application 2: How to apply the "Daily Positive Divergence" filter when Big Tech suffers Squeeze

- Context: When the market experiences a Long Squeeze (widespread sell-off due to the Fed hawkish or Carry Trade exchange rate risk), Big Tech codes (Nvidia, Apple, AMD...) will be pushed down very deeply because the leverage density there is too thick.

- Application action: This is when you open the list of stocks with Daily Positive Divergence (Bullish Divergence) that you have filtered (like KOPN, BB, NOK, RDW, BBAI).

- Reason: This group has already exhausted its selling power (completely oversold) and

The Relative Strength (RS) line started to rear its head. When Long Squeeze happens in Big Tech, this group has almost no further reduction, or if the reduction is only a whisker very short candles.

- How to play: Use the Cash you have saved from Application 1, spread your capital

(Position Sizing) buy with meat money, place Stop Loss right below the bottom of Daily. You are Buy at the lowest risk zone (Asymmetric Risk) while the crowd out there is accounts burned because of Big Tech. 3) Application 3: Capital management principles "Buying options with cash"

- Context: In a tumultuous summer with underground "cracks" (Private Lending

Debt defaults increased, the US-China trade war raged, the BOJ raised interest rates to 1%).

- Application Action: Always maintain a high Cash-like ratio (e.g. 30%

- 50% of the list).

- Correct thinking: Don't look at cash standing still and get impatient. Cash right now is money

the temperament of a Sniper. When the market was hit by Long Squeeze, Volatility (VIX) pushed to the top point, asset prices slid unreasonably deep (Slippage) due to thin liquidity cushion, that was the time You use cash to Sniping value stocks that have a competitive advantage at "dirt cheap" prices that you can never get on normal days.

- Quick action comparison table

Status This Action system nature of your Action Trader F0 underground system (Pro Sniper) Price skyrocketed Short Squeeze: Forced FOMO to jump in Lower proportion: Sell off Suddenly, the Short side buys and chases for fear of large fluctuations in the code and revenue Based on rumors of high prices to cut losses. lost opportunity (Bull cash to bunker. Virtual liquidity. trap). Long Squeeze: Force Panic to cut loss Hunting: Use cash The price collapsed and the Long side leveraged right to the bottom or was available to pick up codes Quickly, the bearded candles had to be sold off due to liquidation of assets with positive divergence long plug down Margin Call. clause. Daily/Value Stocks Discount price.

33) Market Capitalization (Market Cap) – A scale that quantifies the size of a business

- Meaning: In the most practical sense, market capitalization is the "package price"

so you can buy an entire business right now. Many people new to the market often make a fatal mistake: Looking at the market price of a stock to evaluate whether it is "expensive" or "cheap". They think a stock costs 10,000 VND is cheap and a stock priced at 100,000 VND is expensive. In reality, the stock price is just a small slice. To know whether a company is large or small, you must multiply the stock price by the total number of shares outstanding on the market.

- Deeply dissect the actual combat characteristics of each group

1) Large Cap (National Stock - Defensive King)

- Characteristics: These are leading enterprises in the industry, holding economic lifeblood

(big banks, leading retail, dairy, real estate corporations). They have their own Cash Flow due to strong (FCF), professional management and a history of paying regular dividends.

- Price behavior: This group is a mandatory destination for foreign funds and financial institutions

is large because of high liquidity. When the market enters a Bear Market or the index fears Fear of VIX skyrocketing, this is a safe haven because of its low drawdown than the general market.

- Weakness: Due to its large scale, it is difficult for businesses to double or triple their business

collected in a short time. Therefore, the Sharpe Ratio coefficient of this group is usually stable but not sudden. 2) Mid Cap (Growth star - Long vein of cash flow)

- Characteristics: The enterprise has passed the survival stage and has begun to enter the opening cycle

expand scale and dominate market share.

- Price behavior: This is the "golden land" of individual investors with thorough knowledge

art. This group is very sensitive to cash flow and industry waves (such as stocks, real estate mid-range products, public investment, energy). When the market enters Bull Market, group Mid Cap often has superior growth (Alpha) compared to the general index, bringing Risk/Reward ratio is extremely attractive. 3) Small Cap / Micro Cap (Iced tea stocks - Short-term casino)

- Characteristics: Small businesses, unstable business models, or companies

is in serious crisis.

- Price behavior: Liquidity is very low, easily manipulated by "driving teams" using spinning tricks

creates fake volume to lure retail investors into the FOMO trap. When the cash flow is crazy

Rushing in, Penny stocks can increase to the ceiling for ten consecutive sessions. But when the cash flow If it withdraws, it will completely lose liquidity (lose the buyer), trapping investors at the top trees and shredded accounts according to the mathematical table of cruel decline.

- Money making rules based on Market Capitalization
- Allocate the portfolio according to the "Asset Tower" ratio: Never go all-in with all your money

into a single capitalization group. A healthy portfolio structure usually pyramid shape: 50% - 60% of the capital lies in the Large Cap to make a solid support foundation; 30% - 40% lies in Mid Cap to hunt for growth profits; and only spend a maximum of 5%

- 10% of free capital for Small Cap to satisfy short-term speculative appetite.
- The smaller the fluctuation, the larger the Position Sizing: As you know in the lesson on ATR

(Amplitude of Volatility), Small Cap stocks have very large ATR -> Placement Distance Stop-loss must be very far away. Position Sizing must be smaller. On the contrary, Large Cap fluctuates flat, you are allowed to move large cash flows up to several billion VND without fear of distorting the price path.

- Mirror to distinguish between real and fake Breakout: When a Large Cap stock explodes

going up with high volume, it is an extremely prestigious signal to push a ship airport, large funds have to pour hundreds, thousands of billions of real money into it. Inverted On the other hand, a breakout session of Small Cap with large Volume could very well be just a trick self-buying and selling of market manipulators. Absolutely do not apply technical models mechanically from the large capitalization group to the Penny stock group. 34) Market cycle & Sector Rotation

- Meaning: In the most practical sense, Sector Rotation is a "sea current forecast map

"savings" of large cash flows in the market. Giant investment funds (Smart Money) do not ever take all your cash out of the market and sit still. Instead, they continuously translate move cash flow from one industry to another to stay one step ahead of the steps turning point of the economy. If the economy changes seasons from Spring and Summer to Fall and Winter, the cash flow will automatically leave "attack" industry groups to retreat to "defense" industry groups defense". The job of a smart investor is to read the position of the above economy a cyclical watch to "stand ready" in the industry group that is about to be visited by large cash flows.

- 4 Cycle Phases and Destination of Large Cash Flows

The cash flow journey is divided into 4 distinct stops to follow changes in Interest rates, Inflation and GDP growth.

1) Early Expansion – Macro Spring

- Macro characteristics: The economy has just passed the dark bottom, GDP has begun to inch up increased again, the Central Bank maintains record low interest rate policy (cheap money) to stimulate the economy. The Purchasing Managers' Index PMI started to move above the mark 50.

- Industry benefits:

- o Finance / Banking: Group most sensitive to cash flow, benefits first as credit recovered and market liquidity soared.
- o Real estate / Construction: Cheap home loan interest rates stimulate people to buy houses money, release inventory.
- o Technology (Growth Stock): The gravity of loose interest rates helps stocks rise Growth soars because future cash flows are discounted less.

2) Late Expansion – Brilliant Summer

- Macro characteristics: The economy is developing rapidly, reaching peak growth. However, the flip side Inflation (CPI/PPI) started to rear its ugly head due to too high consumer demand. Ngan The Central Bank is preparing to raise interest rates to cool the economy.

- Industry benefits:

- o Energy (Petroleum, Coal) & Basic Materials (Steel, Chemicals, Mining Minerals): Commodities prices increased rapidly due to extreme production demand great. These are industry groups that help accounts directly cope with inflation storms broadcast.
- o Industry: Factories running at full capacity, abundant orders, logistics and Sea transport benefits greatly.

3) Contraction Phase – Fall leaves fall

- Macroeconomic characteristics: The consequences of a prolonged increase in interest rates are starting to sink in. Capital costs

Expensive prices force businesses to shrink, the unemployment rate increases, and GDP declines sharply. Show Yield Curve appears. VIX Fear Index continuously jumping, the stock market entered the Bear Market.

- Beneficiary industry (Defense refuge area):

- o Health / Pharmaceuticals: Even though the economy is in recession, people still have to buy medicine cure.

o Utilities (Electricity, Water, Infrastructure): Businesses with free cash flow (FCF) Super stable, low debt and paying regular dividends. o Essential consumer goods: Milk, fish sauce, salt, instant noodles, toothpaste... things cannot cut back on daily activities. 4) Trough – Cold Winter

- Macro characteristics: The worst period of the economy, every business goes bankrupt

series, the crowd's psychology fell into extreme panic, the Fear & Greed Index touched single-digit level. At this time, the Central Bank is forced to change policy direction, Immediately cut interest rates to pump oxygen to save the economy.

- Industry benefits (Welcoming the new cycle):

o Discretionary consumption (Luxury, Automobiles, Retail, Travel): This group is deeply oppressed especially during recession. As soon as there is a signal to lower interest rates, cheap money rekindles. People are starting to prepare to spend money on non-essential needs. o Technology / Fintech: The group welcomes the flow of speculative capital to catch the bottom early from fish fat when the pressure to discount cash flows disappears.

- Real combat techniques: Hunting industry waves with Technical Analysis
- To know which industry the large cash flow has actually begun to pivot to, not just

Based on macro theory, professional traders use Relative Strength Charts (Relative Strength - RS):

- How to do: Take the price index of an industry (for example: Energy industry index) and divide by

index of the general market (S&P 500 or VN-Index). Read the cash flow: o If this RS line is pointing down, that industry is weaker than the market, Large cash flows are being withdrawn, absolutely do not indiscriminately try to catch the bottom. o If the RS line begins to rise, breaking out of the accompanying accumulation base Volume is skyrocketing. The shark's large cash flow has officially entered the "calling" call. this industry. This is when you open your Transaction Journal and plan your calculations Position Sizing and set a minimum Risk/Reward ratio of 1:2 to board the boat.

- Important notes when playing with Sector Waves
- Beware of the "Slow buffalo drinking cloudy water" trap: Industry waves move very smoothly

and often runs 3 to 6 months ahead of actual economic data. When you read one An analysis article in the newspaper praised "Steel industry records record profits because world steel prices hit peak",

90% is a large cash flow that is preparing to withdraw from the Materials industry to turn to the industry otherwise, leaving a huge FOMO trap for retail investors to jump into the top of the tree.

- Always filter out the industry's "Leader": When an industry benefits

From the cycle, not all stocks in that industry rise equally. Use it Market Cap filter to classify: o Choose Mid Cap stocks with outstanding revenue growth rates and advantages Monopolistic competition to spearhead attacks to maximize profits. o Choose industry-leading Large Cap (Bluechip) codes to safely generate large cash flows full. Absolutely avoid junk Small Cap (Penny) stocks with no internal strength industry because when the wave ends, this group will completely lose liquidity and lock you up. 35) Foreign Ownership Limit (Foreign Ownership Limit) - The above foreign currency blood flow market

- Meaning: In the most practical sense, the Foreign Sector is "giant whales"

Swim into another country's stock market. Because it possesses extreme foreign currency capital large period (from institutional funds such as Dragon Capital, VinaCapital, Fubon ETF...), each move Their net buying or net selling position is like an icebreaker: wherever they go, The trend there changes there. For a marginal market (Marginal Market) that is on the way to being upgraded to market status In Vietnam, the regulatory agency sets up a barrier to protect the core economic system called Foreign Room (Foreign Ownership Limit). This fence regulates investors Foreigners can only own up to a certain percentage (usually 49% for foreign countries). for normal businesses and 30% for sensitive industries such as banking).

- Predecessor Wonder: What happens when the "Foreign Room is Closed"?

When a stock is excellent (high EPS growth, transparent management, capitalization Large Cap reputation), foreign funds will compete to accumulate goods until they reach the ceiling limit. At this time, the stock falls into the "Closed Room" state.

- Premium phenomenon (Price difference) in the OTC market: When room on the floor is already available

depleted, a foreign fund that wants to buy more is forced to find another existing foreign fund Stocks are available for transfer over the counter (OTC). Because the supply is so scarce, Buying funds accept to pay a Premium price (usually 7% - 20% more expensive than price displayed on the electronic board) to own that stock.

- Implicit signal for domestic investors: If you see a stock continuously being blocked

Foreigners "hunt" and accept higher prices in the negotiated market, that is one thing Certificate of supreme guarantee of the basic quality of the enterprise's internal resources. Inverted On the other hand, when businesses are given foreign room by the state (expand the limit up 100%), that stock often triggers a classic rising wave (Bull Market short-term) due to receiving a huge amount of demand from direct international capital flows into the floor.

- Read cash flow: Monitor Net Buy/Sell daily

Professional investors always have the habit of looking at the block's Net Buy/Sell data table foreign daily. This cash flow has the following core characteristics: 1) Sentiment Driver Small individual investors (accounting for the majority of liquidity) are often subject to herd bias Herding. When you see foreign investors diligently netting a stock for many consecutive sessions Next, the crowd will trigger the FOMO syndrome, rushing to buy and pushing the stock price to skyrocket. On the contrary, when foreign investors "net discharge" loudly, panic will prevail, leading to cross-selling phenomenon across the market. 2) Barometer of exchange rates and global macroeconomics Foreigners don't just look at businesses, they look at macro problems.

- For example, with the Vietnamese stock market, when the USD/VND exchange rate increases (VND devaluation): Foreign investors will tend to net sell Vietnamese stocks to withdraw money countries to protect the value of assets in USD, regardless of the businesses on the floor is doing well. Therefore, when you see foreign investors selling heavily, check immediately Inflation and pressure on central bank interest rates.

- When the exchange rate is stable + Vietnam's economy has high GDP growth: Foreign currency capital flow (especially ETFs) will flood into net buying, creating a foundation of liquidity extremely solid.

- Pay attention to survival so as not to be "led around" by foreign investors.

- Be wary of the trick of Agreement and Fund Structure (ETF Rebalance): Block nature

Grandma also has many "teams". Sometimes you see on the electronic board foreign investors suddenly net sold thousands of billions of dong in the ATC session (At The Close - the match order session closing period) of the last Friday of the quarter. Don't panic! It's usually just period periodic structure of ETF funds (they are forced to sell off this stock and buy that stock balance the proportion according to fund regulations). These are short-term technical fluctuations, Stock prices will often "pay points" the following week.

- Foreign investors also have times to swing high and cut losses: Absolutely do not deify them

foreign and discard the Stop-loss shield. Large foreign funds can still make serious mistakes important in analyzing business structure or falling into bias traps Overconfidence. If you buy according to foreign investors but the stock is performing badly or losing money Hard Support zone and violating the ATR volatility gap, you must control Buckle up and sell at a loss to protect your money, instead of sitting still Loss with funds (they have thousands of billions to spend for many years, but your capital does not).

- Distinguishing between "investment" and "speculation" by foreign investors:

o Capital flows from active funds (Mutual Funds) are often collected and held businesses for 3-5 years, they care about ROE, Profit Margin and growth long term development. o Capital flows from ETF funds or hot cash flows from foreign accounts In addition, trading is extremely risky. They are ready to buy aggressively today and sell out next week following the up and down trend of the global Fear & Greed Index. Look at past Volume and holding period to differentiate them side before deciding to choose them as a companion. □ Group 6: Macro Group and Psychology - What is the big context like? 36) Interest Rate - "Gravity" that coordinates macroeconomic cash flow

- Meaning: In the most practical sense, interest rates are the "gravitational force" of the entire economy

economic. Legendary Warren Buffett once compared: "Interest rates are the basis for asset valuation like gravity for all things. The higher the interest rate, the downward pull on stock prices the stronger the vote." When interest rates increase, cash flow will automatically be attracted to safe channels such as savings deposits or government bonds. On the contrary, when interest rates decrease, "cheap money" floods the market, Loose gravity will stimulate cash flow to fly and rush into investment channels taking risks like stocks, AI, Fintech to seek higher profits.

- Why do rising interest rates force "Growth Stocks" to fall deeply?

most? The essence of valuing a business is the Discounted Cash Flow method. Next The chief accountant will estimate how much money the business will bring in in the next 5 - 10 years

face, then use a discount rate (attached to bank interest rates) to calculate the equivalent amount that future to its present value.

- The cruel math of interest rates: When interest rates rise, discount rates skyrocket. Article

This causes money earned in the distant future to be heavily devalued converted to present.

- Growth Stock acupoints: Growth stocks (such as technology, fintech, sales

leads) are often companies that are currently making very little profit or even taking losses to burn money to expand scale, but they promise huge profit explosions in the future The next 5-10 years. When interest rates are high, that future profit "cake" is heavily discounted to the point where it is no longer worth much at present, causing large funds to simultaneously decide reprice and sell off this group.

- Two front lines when interest rates increase

When central banks (like the Fed) continuously raise interest rates to control inflation, the market The stock market will be clearly polarized into two camps: 1) Side bears the disadvantage (Avoid or reduce weight)

- Growth Stock: As explained above, the cash flow is similar

Hybrids are deeply discounted, plus the cost of borrowing money to burn money causes technology to be inflated up too high.

- Highly leveraged real estate: The real estate industry lives on borrowed capital. When interest rates rise, spend

Interest charges eat away at corporate profits, but neither do home buyers dared to borrow money, causing market liquidity to freeze. Let's check out the pair of indicators D/E and Interest Coverage of real estate businesses at this stage to avoid bomb explosion debt.

- Long-term bonds: When market interest rates increase, old bonds are issued

Previously, with low interest rates, it would become worthless, causing bond prices on the market market dropped dramatically. 2) Advantageous faction (Safe haven area)

- Banks: The first phase of the interest rate hike cycle is often the honeymoon period

bank. They can increase lending rates very quickly according to the market, while Input mobilization interest rates (people's deposits) increased more slowly. This difference helps Expanding net interest income margin (NIM), making banks earn a lot of money more.

- Insurance: Insurance companies collect fees from customers and then take most of the money

That huge amount of money goes into savings or buys short-term government bonds. When profit As interest rates increase, their financial revenue from this pile of cash will automatically swell without any effort required.

- Defensive stocks (Electricity, Water, Essential Consumption): These are businesses

"insensitive" to recession. No matter how high the interest rate is, people still have to turn on the electricity, drink water, eat instant noodles. These companies often have extremely healthy FCF stability, low debt, maintaining regular dividend payments, becoming the perfect island haven for big investors.

- Pay attention to survival to "follow" the macro cash flow
- Always look at expectations, don't look at reality already: The stock market reacts

future light. When the Fed officially announces a reduction in interest rates, stock prices may decrease gained a long way from before because the sharks smelled the money and bought collected 6 months ago. You must follow meetings and statements of the board of directors direct the central bank to stay ahead of the trend, rather than waiting for the press to make headlines With "record interest rate drops", the party may be over.

- Use the PEG valuation model to find a way out: In a high interest rate environment, if

If you still want to hold growth stocks, you must use the PEG index filter. You only buy growth companies with $PEG < 1$, which means growth is strong The reality of the business must be superior enough ($>30\% - 50\%/year$) to defeat the pressure suppression of gravitational interest.

- Monitor the yield curve slope (Yield Curve): This is an early warning signal

the ultimate of macro. Normally, long-term deposits must have higher interest than short-term deposits. If an inverted Yield Curve occurs (short-term bond interest rates higher than the long term), which proves that large cash flows are extremely afraid of a crash Economic crisis is about to happen in the short term. Please tighten your seat belt immediately. Lower your Margin leverage and prepare yourself for a big Drawdown school. 37) Inflation – CPI & PPI: Purchasing power of money

- Meaning: In the most practical sense, inflation is the answer to the question: "Dong

At what rate is the money in your pocket depreciating? If the economy is an organism life, then moderate inflation (about 2%) resembles a steady, stimulating heartbeat people consume and help businesses have the motivation to expand production. But if

Inflation rises too high, it will become a kind of "cancer cell" that erodes purchasing power, forcibly The Central Bank must launch a punitive blow: Increase interest rates. As you know in Previously, rising interest rates would trigger a "gravitational" force that would pull down market valuations securities. To measure this inflationary disease, the financial community uses a pair of power indicators: CPI and PPI.

- Barometer duo: CPI vs PPI

1) PPI (Producer Price Index) – Producer Price Index (Telescope)

- Meaning: Measure price changes from the producer's perspective. It said

cost of input materials (such as crude oil, coal, iron and steel, semiconductor chips...) of Factories are getting more expensive or getting cheaper.

- Leading nature: PPI is the leader who signals the way. If PPI increases sharply, houses

The machine is required to incur higher costs. To protect Gross Profit Margin (Gross Margin), sooner or later they will have to increase the selling price of their output products. Therefore, PPI increases Today is a warning that CPI will increase in the next few months. 2) CPI (Consumer Price Index) – Consumer Price Index (Microscope)

- Meaning: Measures the price change of a basket of essential goods and services

Ordinary people often buy (such as food, groceries, electricity, gasoline, tuition, clothes...).

- Direct impact: This is the number that gets the most headlines in the press and is the darkest base

high for central banks (like the Fed) to make decisions on whether to increase or decrease interest rates capacity or not. CPI increased beyond expectations. The stock market immediately went red fear of a wave of monetary tightening.

- Stagflation (Stagflation) – Wall Street's nightmare scenario

In economics, the worst-case scenario is not high inflation (because high inflation usually comes with a hot economic development, people still make money). The script is worth it The most feared is called Stagflation (Combination of Stagnation and Inflation). play). Here's how the economy is trapped in a spiral of illness:

- Inflation is sky-high: Living costs, gasoline, and food are expensive.
- The economy is stagnant and in recession: Businesses cannot sell products and cut staff

events, the unemployment rate increased.

Why is Stagflation the antithesis of stocks? Normally, if the economy is in recession, The central bank will reduce interest rates to inject "cheap money" to save businesses. But In a state of Stagflation, the Central Bank's hands are tied: They are not You can reduce interest rates to save the economy because if you do so, inflation will explode even more crazily more; On the contrary, if they raise interest rates to suppress inflation, businesses are exhausted will immediately "suddenly die". This deadlock caused large cash flows to completely flee the market stock market, pushing the index into a continuous decline (extended Maximum Drawdown) and hashing Crushing all Sharpe Ratio ratios of investment funds.

- Important note when "reading" the Inflation index
- Be wary of "Core CPI": When reading reports, you must be able to distinguish

Headline CPI and Core CPI. Core CPI has prices removed energy (gasoline) and food because these two items fluctuate too erratically seasonal or geopolitical. Central Banks often look to Core CPI to make long-term policy, because it accurately reflects internal forces and trends real inflation in the economy.

- Where to "hide" when inflation is running rampant? When inflation is high, cash is trash. You

Need to shift portfolio to assets that are resistant to inflation: o Hard commodities: Gold, silver, or stocks of mining companies (Lithium, precious metals) because their asset prices increase directly with the increase in inflation. o Businesses have pricing power: Check which company has high gross profit margin and product exclusivity. They have the ability to increase selling prices that customers cannot turn away (like Apple, or juice companies core). No matter how much input costs increase, they push it all onto consumers bear.

- Correlation between Inflation and Employment (Phillips Curve): Pay extra attention

accompanying unemployment rate report. If inflation increases but the job market remains extremely healthy (low unemployment), the Central Bank will be very "aggressive" in sharply increasing interest rates because they know the economy can still withstand the pain. But If the job market starts to crack, it's a signal that we're entering a danger zone dangerous. 38) GDP & Economic Growth - A thermometer that measures the total force of the economy

- Meaning: Understand in the most practical way, GDP (Gross Domestic Product - Total product

domestic) is the "revenue report" of a country. It measures the total value of money face of all final goods and services produced within a border country over a period of time (usually a quarter or a year). In the long term, the graph of GDP and the graph of the stock market are two lines goes hand in hand: Does the economy create more material wealth (GDP increases) and Enterprise Only profitable new stock prices grow sustainably. However, if you wait until the press headlines "GDP this quarter has recorded record growth". When you're excited to buy stocks, it's easy to get a correction right away head. Why is there this paradox?

- Immutable law: The stock market always runs ahead of GDP

The classic mistake of newbies is to look at GDP as a compass to buy short term sale. In fact, GDP is a Lagging Indicator. It's like rear view mirror: it reflects what happened in the previous 3 months. Meanwhile, the stock market is a Leading Indicator – A telescope reflects the fish's future expectations for the next 6 to 12 months financial fat.

- Economic Bottom: When quarterly GDP figures are released that are extremely bad, the economy suffers

gray, that's usually when the stock market... bottoms and starts to move up. The reason is that large funds have smelled money before, they know it is economically impossible It's getting worse and the Central Bank is about to lower interest rates to pump in money to save money still.

- Economic Peak Region: On the contrary, when GDP growth reaches its glorious peak, everyone

If you are optimistic, the stock will often move sideways or silently peak before, because Large cash flows understand that tightening monetary policies and curbing inflation are coming came to restrain this hot growth momentum.

- Core data duo: Quarterly GDP vs PMI Index

To not fall behind and be able to run ahead of the crowd and professional investors Always closely monitor this pair of indicators: 1) Quarterly GDP (Summary Report)

- Despite the lag, quarterly GDP data is still the supreme foundation for determining status state of the economy.

- Technical recession: When a country has 2 consecutive quarters of negative GDP growth

The economy officially entered a recession. At this time, there is pressure to reduce assets (Drawdown) in the stock market will take place on a large scale, requiring you to Tighten stop-loss discipline and reduce position sizing. 2) PMI (Purchasing Managers' Index) - Purchasing Managers' Index (Dark weapon upper) If GDP is the year-end summary report, then PMI is the daily 15-minute test month. It measures the "confidence level" of purchasing managers at businesses large – those who directly decide to import raw materials for production. PMI uses the number 50 as the boundary of life and death:

- PMI > 50: Manufacturing industry is expanding. The directors are actively gathering resources materials because they see abundant orders. It is forecasted that future GDP will increase benefit contract.
- PMI < 50: Manufacturing industry is shrinking. Businesses are reducing purchases, standard

People were fired because they couldn't sell products. An early warning that the macro situation is bad go? The risk of recession is evident.

- Vital notes when analyzing economic growth
- Dissecting the components that make up GDP: The classic formula for calculating GDP is $GDP = C + I + G + NX$ (Consumption of people + Investment of businesses + Primary expenditure government + Net exports).

When reading the numbers, look at where the growth cash flow is coming from: o If GDP increases mainly due to healthy Consumption (C) -> The economy is extremely healthy strong and has inner strength. o If GDP increases only because the Government tries to pump money into public investment (G), in When people don't dare to spend money (C drops)? This growth is forced, less sustainable.

- Real GDP vs Nominal GDP: Always look at it

Real GDP. Real GDP is the number that has removed the Inflation factor. If nominal GDP A country's GDP increases by 7%, but its inflation (CPI) also increases by 7%. In fact, the economy is stagnant, the amount of wealth produced is not at all increase a little more.

- Beware of the trap "Growth without profits": There are stages

The national GDP grew very nicely thanks to large-scale crude export production, but Businesses listed on the stock exchange cannot make money due to margins

Profits are eroded by logistics costs and rising oil prices (increased PPI). Always end Integrate the GDP macro picture with micro-financial indicators such as Gross Profit Margin and Sharpe Ratio index of the business to choose the right cash flow channel. 39) Yield Curve - Yield curve: Seismic detector of the economy

- Meaning: In the most practical sense, the yield curve is a "forecasting machine."

early weather" has the highest accuracy in financial history. It doesn't look at the metrics of the past, which directly reflects the smart money flow of financial institutions, How hedge funds and central banks are betting on the economic future in the next 10, 20 years. The core weapon that every Wall Street shark has their eyes on is the spread between 10-year (10Y) and 2-year (2Y) US government bond yields, usually denoted on the chart as index US10Y - US2Y.

- Displacement rules: Normal vs Inverted

1) Normal Yield Curve – The weather is clear and cloudy

- Expression: Long-term yield is higher than short-term yield ($10Y > 2Y$). The example you sent

Saving for a 10-year term certainly requires a higher interest rate than a 2-year deposit compensate for inflation risks, buried capital risks and unforeseen fluctuations in the long term future.

- Meaning: The curve has an upward slope. The economy is fully operational

healthy, stable growth, businesses confidently expand production (PMI >50). 2) Inverted Yield Curve – A storm is coming

- Symptoms: Short-term yields suddenly jumped higher than long-term yields ($2Y > 10Y$),

causing the difference between US10Y - US2Y to fall to a negative level (<0).

- Why is there this paradox? When the big guys smell the risk of crisis

extremely large in the short term, they immediately fled the stock market and fought over it Invest money to buy long-term bonds (10 years) to lock in a safe interest rate before everything fell apart. This huge demand pushes up the price of 10-year bonds skyrocketed, unintentionally causing its yield to drop. Meanwhile, in period Short term (2 years), the Central Bank is continuously increasing interest rates to suppress Inflation, pushing short-term yields up.

- The machine predicts recession with absolute accuracy

Over the past 50 years, the Inverted Yield Curve phenomenon has had a record Scary achievement: It accurately predicted nearly every U.S. economic recession. Every time the line US10Y - US2Y crosses below the zero line, the warning bell sounds starting point:

- Time lag: Recession does not occur immediately on the day the curve inverts

reverse. History shows that from the moment this ribbon broke (reversed) until the foundation The economy actually falls into recession (negative GDP growth for 2 consecutive quarters). from 12 to 18 months.

- The trick of the stock market: During the period when the curve is inverting,

The stock market usually... continues to rise, even creating temporary peaks The new era makes retail investors mistakenly think that "this time will be different" and become subjective ignore macro. Then, there was a terrible decline in assets (Maximum Drawdown) comes and erases all achievements.

- Real combat techniques: How to act when the Yield Curve is reversed?

When he saw this seismic detector turn red (inverted), a investor Smart investors will immediately change the account status from "full attack". "tight defense":

- Disconnect all financial leverage (Margin): Absolutely do not keep the mindset of winning or losing

silver as "macrostorms" are forming on the horizon. The shock of the market when Entering a recession will wipe out your account in just a few sessions Use Margin.

- Restructuring the portfolio to defensive assets: Lower the proportion of growth stocks

(Growth Stock), large leveraged real estate. Convert cash flow to holding cash, gold, or defensive stocks with strong, paying free cash flow (FCF). Regular dividends (such as electricity, water, healthcare, essential consumption) – groups The industry is always vulnerable to recession.

- Patiently ambush the peak of panic: When the recession really breaks out, the index is afraid

Fear that VIX will gallop above the 35 - 40 mark. At this time, thanks to proactive defense and keep a large amount of cash in the previous stage, you will become the "king" above market, feel free to pick up diamonds and assets that were sold off at cheap prices to prepare for the next great growth cycle.

- Note survival

The most dangerous moment is not when the curve is inverting most deeply, but is when it begins to bend back to the 0 line (Un-inversion). History proves, When the difference between US10Y - US2Y, after a period of heavy negativity, began to rise again back to the zero line, that is when the stock market officially enters the dumping phase. The most intense bloodshed because of the recession has officially seeped into the veins of businesses.

40) Cognitive bias in investing (Behavioral Finance - Behavioral Finance) -The fight against yourself

- Meaning: In the most practical sense, behavioral finance is the study of "the

"self-destructive psychological trap" that the human brain sets for itself when faced with money. The financial market is not an arena of pure mathematical numbers, but is a giant psychological arena. The biggest enemy that destroys your account is not It's not the shark, the crew, or the trading system, it's the cognitive biases (Cognitive Biases) have been programmed inside the brain since prehistoric times. It turns you from A rational researcher becomes a moth who acts purely on emotion electronic board jumping numbers.

- Exposing the "6 Psychological Assassins" who shred your account

1) Loss Aversion – The person who instigates losses

- Essence: Scientific studies prove that the pain of losing 10 million

Copper is twice as intense as the joy of picking up 10 million Dong.

- Market performance: Because I'm too afraid of having to face the truth that I'm wrong

wrong, the brain will automatically choose to... avoid. You decide not to press the stop loss button (Stop-loss), console yourself that "if you haven't sold yet, you haven't lost yet" and then switch from the surfing state short-term waves to "reluctant long-term investors". This is the direct cause push your account into terrible declines (Maximum Drawdown). 2) Confirmation Bias – Monochrome sunglasses

- Nature: The brain always tends to only search, select and remember things

information that supports your existing point of view, while automatically ignoring or disliking it display conflicting information.

- Market performance: When you accidentally fall in love with a Fintech or AI stock, you will

just go online and read articles praising its potential. When someone warns that the business's profit margin is being eroded or that macroeconomic conditions are unfavorable

Interest rates increase, you immediately dismiss them and think they are "pigs". You lock yourself in a box of completely misleading information. 3) FOMO (Fear of Missing Out) – The rush to buy according to the crowd

- Essence: Fear of being left behind, seeing "neighbors" around showing off profits

times when you lose your mind.

- Market manifestation: When a stock in the mining or semiconductor industry is involved

Continuing to increase to the ceiling for many sessions, the RSI and Stochastic indicators have climbed to the red overbought zone bright (>80). Instinct tells me it's too risky, but greed and psychological pressure The crowd forces you to jump in and place a buy order right at the top of the tree. 4) Anchoring bias – The invisible chain

- Nature: You are attached (anchored) to a number or the first piece of information

received (usually the initial purchase price) as a yardstick for all future decisions hybrid, despite the fact that the actual context has completely changed.

- Market manifestation: You bought shares at 100,000 VND, now the company is in trouble.

The problem was serious and the price collapsed to 50,000 VND. When advised to cut losses, you insist: "I have to wait until it returns to exactly 100,000 VND before I can sell it to break even." You forgot that market The market doesn't know and doesn't care what your cost of capital is. 5) Overconfidence – The illusion of the "Uptrend Genius"

- Nature: Overestimating analytical ability and ability to predict the future

yourself, confusing "luck" and "talent".

- Market manifestation: After several consecutive winning orders thanks to the market being in

Super Uptrend season, you think you have understood the market. You start breaking discipline: Increase the size of the money arbitrarily (Position Sizing at the wrong rate), full margin a single stock and throw the Risk/Reward risk management shield into the trash. 6) Herding – Follow the call of the sheep

- Nature: The act of blindly imitating the majority without having any

Independent analysis or verification of information.

- Market manifestation: Seeing Facebook, Zalo, and Telegram groups loudly chanting

"This code is about to have a big game, the bomb is about to explode", you immediately go down to buy it follow without even knowing what that company produces or who the board of directors is. When The sheep realize the danger and trample each other to escape, you will be the one stuck again at last.

- Countermeasure strategy: Use Iron Discipline to crush Emotions

Realizing what bias you have is just the beginning. To truly invest rationally To protect and protect your money, you must build a public defense system Structural instrument: [Emotional instinct] (Suppressed by) □ [Trading log] □ [Automatic command system dynamic]

- Write a trading journal: This is the ultimate weapon to destroy

except Confirmation Bias and Overconfidence. Every time you open a buy/sell position, take a hit Force yourself to write down 4 questions: o What is the reason I bought this stock? (Check to see if you have FOMO or Herding?) o Where is the technical Stop-loss point (what is the ATR) and where is the Target to take profit? where? o Is the Risk/Reward ratio at least 1:2? o How much money am I willing to lose if this order is wrong (Risk rule 2% of assets)? When everything is clearly displayed on black and white paper before entering orders, the brain will automatically switch from an emotional state to a logical analysis state.

- Automatic command system (Set and Forget): To completely eliminate Loss

Aversion and Anchoring, as soon as the buy order is matched, immediately set the order Stop-loss and Take-profit automatically on the securities company's system. Let computer as referee. When the price hits the mark, the machine automatically cuts, absolutely no sitting Looking at the electronic board, the numbers jumped, then his mind wavered and he arbitrarily canceled the order.

- Reevaluate the portfolio based on the question "If I bought new today": To destroy

Anchoring of past prices, every weekend look at the catalog present and ask yourself: "If I were holding outright cash today, would I have a mortgage? Are you willing to spend money to buy this stock at the current price?". If the answer is NO, that means the reason for holding that stock is gone, you are Keep it just because you regret the old cost price. Take the initiative to structure immediately to liberate cash flow. 41) Fear & Greed Index: A thermometer that measures crowd psychology

- Meaning: In the most practical sense, Fear & Greed Index is "a concentration detector

sentiment" of the entire market. If technical analysis tools help you see the price path, this indicator helps you reveal the true face of the crowd: Them

are trembling in fear and hiding under the table or are extremely excited, drunk in battle win and forget the scythe of death is near. This psychological compass was compiled by CNN Money in an extremely scientific way from 7 points core alarm to output a single number running from 0 (Extreme Fear) to 100 (Greed extreme).

- 7 pieces that make up an emotion detector (CNN Summary)

Instead of just surveying emotional opinions, this index dissects cash flow behavior truth through 7 lenses: 1) Stock Price Momentum: See the S&P 500 index is outperforming increased or decreased compared to the 125-day MA. 2) Stock Price Strength: Counts the number of established stocks 52-week peak compared to the number of stocks that breached 52-week bottom. 3) Market Range (Stock Price Breadth): Measures trading volume (Volume) of rising stocks compared to falling stocks (using indicator McClellan Oscillator). 4) Put and Call Options Ratio: Compare option volume sell (hedging) and call options. This high rate proves investors extremely scared. 5) Safe Haven Demand: Measures the level of profit difference between stock and bond markets. When people flee to bonds, fear is covering. 6) Junk Bond Demand: See which funds accept the risk of buying bonds low-rated bonds to earn high profits. If they shy away from junk bonds, proof They are on tight defense. 7) Market Volatility: It is the VIX fear index. VIX more high, the Fear & Greed Index retreats further to the zero line.

- 3 Action Boundaries: Applying Warren Buffett philosophy

Legendary Warren Buffett has a motto: "Be fearful when others are greedy And be greedy when others are fearful." This index is a tool to concretize the philosophy That into action figures:

1) Fear to Extreme Fear Zone (0 - 30): Time to steer against the crowd

- Market psychology: The press carries pessimistic headlines, groups call for investors to collapse

Retail investors panicked and cut losses at all costs because of the Loss Aversion phenomenon Herding.

- Your action: This is the best long-term Buying Zone. When the index drops

Below 20, the market is usually in a heavily oversold state. Let's combine with Fibonacci Retracement gauge and Hard Support zones to start dividing capital (Position Sizing) picks up quality super stocks at deep discounts. 2)

Neutral Zone (30 - 60): The market is in the accumulation phase

- Market psychology: Hesitant psychology, the Japanese candlestick chart shows many close Doji trees

thin, the Bollinger Bands contract to form a "Bottleneck". The crowd stood In addition to observing and waiting for the next macro data such as CPI, PPI or GDP.

- Your action: Sit quietly and observe, prepare a list of potential stocks, great

Avoid trading too much to avoid eroding transaction fees as the market moves horizontal turbulence. 3) Greedy to Extreme Greed Zone (60 - 100): The party is about to end, prepare to buckle up full

- Market psychology: Everyone shows off their profits, their accounts increase by the same amount

Greed rises strongly, triggering the FOMO syndrome and the phenomenon Overconfidence (everyone thinks they are a genius). Investors carelessly use Margin to attack Seven ceilings to chase at the top of the tree.

- Your actions: Maximum vigilance and proactively lower the rate. When the index climbs

If the level is above 80, the psychological bubble is too stretched. You absolutely must not open a position buy new. Set up an automatic profit stop order, realize profits and prepare The spirit of a strong corrective Drawdown is about to come down to clear the market school.

- Important note when using Fear & Greed Index
- Extreme states can last longer than you think: Fatal mistake of traders

Seeing that the index just hit 85 (Extreme Greed), they hastily sold everything portfolio immediately or jump into pre-emptive short selling. In a super season Uptrend (when interest rates fall deeply and cheap money floods), this index can anchor in the area Greedy for several weeks to months before collapse. Therefore, use it as a system early warning system about trends to adjust behavior gradually, rather than Peak and bottom catching tools accurately by day.

- Always combine with Technical Trends: Never buy just because of Fear & Greed Index

Report number 15 if the major trend of the chart is still a Downtrend structure that breaks the bottom continuously with huge discharge volume. Wait until the sentiment index reaches extreme levels (signaling that weak cash flow has been forced to sell out), combined with reverse technical signals Confirming direction (Hammer withdrawal candlestick, RSI positive divergence), then the price goes down Only you can truly have a high win rate and achieve the most optimal Risk/Reward ratio. □ Group 7: Personal development tools 42) Trading Journal: The investor's mirror

- Meaning: In the most practical sense, the transaction log is a "computer black box".

bay" of financial accounts. When a flight goes smoothly, no one notices black box. But when an accident happens (account gets a terrible Drawdown), The black box is the only thing that accurately records every technical parameter and every decision of the company pilots and even panic in the cockpit to find the root cause. In the world of professional investing, there is a classic saying: "You cannot manage what you don't measure". You can own the most magical technical indicators such as MACD, Bollinger Bands, Fibonacci, or a thorough macro understanding of Interest Rates, Inflation. But if you don't keep a trading journal, you are like a blind person go at night – you win and don't know why you won (easy to misunderstand due to overconfidence), and Even if you lose, you don't know why you lost (it's easy to blame the market). You absolutely do You can't keep it a secret to yourself, so be absolutely honest with this diary.

- Structure of 5 components of a standard transaction journal

A combat diary page is not a place for lengthy prose, but a table Logical data clearly analyzes your behavior before, during and after trading: Component Specific content needs to be recorded Control objective 1. Parameters Date and time, Ticker symbol, Capital Management position, see if you have them Technical (Buy/Sell), Order entry price, Block overspending or not Position Sizing 2. Stop-loss position shield (Stop-loss calculated according to Guaranteed mathematical calculation ATR defense), Expected profit taking position, Pre-play ratio, avoiding winning traps Risk/Reward (Right 1:2) young and vulnerable 3. Argument Take a photo of the chart when entering an order. Specify Eliminate Herding bias Investing reasons: Which indicator cuts? Stocks (listen to chants) and Does it meet the basic criteria? Macro Confirmation Bias (self how? illusion)

4. Status What were you thinking when you pressed the button? Yes Reveals psychological bottlenecks Fear of missing out (FOMO)? Is there bitter behavior (Behavioral want to unwind after a losing order Finance) to self-adjust before? 5. Test specific Profit/Loss Results. Lessons learned Find system vulnerabilities and What is Reality? Are you following the repetitive behavior plan correctly? initially or arbitrarily cancel Stop-loss?

- 3-step process to turn Diary into a system error correction machine
- Step 1: Record the discipline right at the time of entering the order

Don't wait until the weekend to sit down and write down your memories. As soon as the order is matched, open it Excel file or notebook and immediately fill in the first 4 components. Right now, feeling Your feelings and reasons are the most genuine.

- Step 2: Close the order and record fair results

Whether that order wins big or loses painfully, face it. If you win, watch yourself won thanks to the support of the lucky market (Exciting Uptrend, Fear & Greed index High Index) or win methodically. If you lose, consider this a mandatory tuition fee complete the system.

- Step 3: Phase "Autopsy" (Review periodically every 3 - 6 months)

This is the step that makes the difference between an amateur trader and a master. After one transaction cycle, turn over the entire log and perform a statistical filter to Find a pattern of recurring mistakes, for example: o "Why do 80% of my losing trades happen on Fridays?" ah Ah, chemistry due to the eagerness to make money before the weekend. o "Why is my fundamental analysis of stocks growing very well but my account? still negative? Looking at the chart, it turns out they were buying when RSI had climbed up overbought zone >80 due to FOMO. o "Why am I right more than wrong but my total account still declines?" a Look at Risk/Reward column, it turns out they take small profits when they only gain a little profit, but when stop loss and cancel Stop-loss to strengthen (sticking with Loss Aversion phenomenon).

- Pay attention to survival so as not to give up halfway
- Transaction logs must be absolutely honest: You can deceive the above groups

online with photos showing off their profits that have been edited, but absolutely do not deceive them Lie in your own diary. Write down even the stupidest commands,

The most erroneous mouse clicks are influenced by emotions. Only if you dare to look straight in Only you can heal the wound.

- Simplified tools to maintain habits: No need to set up sections

Software is too complicated if it makes you lazy to take notes. A divided Google Sheets worksheet clear column, or a secure Telegram chat group where only you can send yourself Photo of the graph with a few quick notes right after entering the order - any tool Whichever helps you maintain continuity is the best tool. Perseverance notes later 100 orders will give you a sharp intuition and the inner strength to invest rationally No course or book can convey it. Conclusion of chapter 2: Your own compass Above is a summary of common indicators and terms that you will often encounter as you walk enter the stock market. However, it needs to be emphasized again: You are great There is no need to memorize all the dry things like a "dictionary". this "finance". Think of indicators as supporting tools in a worker's toolbox. Your job Simply follow these 3 simple steps: 1) Choose a clear school of thought for yourself: Determine your investment taste (For example: "I am People like safety, want to sleep with high pillows and regularly eat dividends"). 2) Learn the correct indicators that serve that school: If you choose to follow the path of receiving dividends, You just need to deeply understand the two indicators Dividend Yield and Dividend Payout Ratio Payout Ratio is more than enough to practice. 3) Ignore other fancy terms on the internet: Ignore the confusing and complicated words that "experts" or groups bring out to scare the market. In this fierce financial market, the person who makes money is not the one who knows many tricks language, but rather the person who knows how to use the tools they have most proficiently. Go slow, go steady and Being consistent with your own compass is the only way to protect your money and create Sustainable profits!

Chapter 3: Classic investment school

The stock market is an attractive but equally fierce "battlefield". Therefore, each investor needs to equip themselves with their own "weapon" to be able to win. Select The right school of thought that suits your personality, capital flow and time is the first step to survive and earn sustainable profits. Understanding these schools of thought not only helps You find a style that suits your personality and time budget, but also helps you optimize Better profits and risk management. Below is a summary of today's classic schools of stock investment.

3.1. Value Investing

This is a classic school shaped by Benjamin Graham and enhanced by Warren Buffett. The core of this school is to view stocks as part of business ownership, not a lottery ticket.

- How it works: Investors focus on Fundamental Analysis
- FA). They review financial statements, profit margins, competitive advantage (moat), and management

to find the Intrinsic Value of the business. When the market price is lower intrinsic value of a significant amount (called the Margin of Safety), they will buy and held for many years (Long-term).

- Suitable for: Busy people, high patience, mentally stable against vibrations

market shake.

- Advantages & Disadvantages

Advantages Disadvantages Strong long-term compound profits Very high patience is required Spend less time tracking. Easy to fall into the value trap Low taxes & transaction fees Need in-depth analytical knowledge Sentiment is more stable. The market can be wrong for a long time Historically proven Boring, little stimulation

3.2. Growth Investing

Instead of looking for "cheap" stocks, this school of thought looks for businesses with potential ability to scale and grow profits in the future, despite current valuations may be very high (high P/E).

- How it works: Focus on key industries with macro trends

households (such as AI, green energy, semiconductors, financial technology). Investors look for companies The company has continuous double-digit growth in revenue and profits (usually 20-30% or more). up each year), continuously reinvesting to expand market share. Systems like CANSLIM's William O'Neil is a typical filter of this school.

- Suitable for: Investors with moderate to high risk appetite and like to stay ahead of trends

technology or major social changes.

- Advantages & Disadvantages

Advantages Disadvantages Very high profit potential Valuations are often very high Catching big trend waves High risk when the market reverses Suitable for bull market. Difficult to distinguish between real and virtual growth Fewer transactions than trading. Heavy losses when interest rates increase

3.3. Swing Trading

Swing Trading is a medium-term school, located between long-term investing and ultra-short-term surfing. Section Swing Trader's goal is to take advantage of the up/down waves of stocks in major trends lasts from a few days to a few weeks. Buy at support, sell at resistance.

- How it works: Using a combination of Technical Analysis (TA)

mainly and a bit of Fundamental Analysis (to pick stocks with liquidity and story support). They look for support, resistance, trend lines or candlestick patterns to determine the price reversal point, thereby "catch" the entire rising wave and proactively close it words when encountering resistance.

- Suitable for: People who can spend 1-2 hours a day to filter stocks and understand clearly

technical rules, capable of withstanding certain pressures from short-term and calculated fluctuations high discipline.

- Advantages & Disadvantages

Advantages Disadvantages Faster profits than long-term investments Need technical analysis skills Optimize capital turnover Risk of overnight price gap Opportunities appear continuously. Need strict capital management discipline More flexible time than day trading. Effortless regular monitoring

3.4. Day Trading / Scalping

This is the shortest form of trading. Day Traders open and close entire positions immediately During a trading session, absolutely do not hold stocks overnight to avoid risks from news appearing when the market closes.

- How it works: Based 100% on technical analysis on very small chart frames (1

minutes, 5 minutes, 15 minutes), electrical panel, and command flow (Order Flow). They profit from these Super small but repeated price fluctuations during the session, often combined with financial leverage (Margin) is high to exaggerate profits.

- Suitable for: Professional traders who consider this a full-time, capable job

Quick reflexes and "steel" spirit.

- Advantages & Disadvantages

Advantages Disadvantages No overnight risk Trading fees eat away at profits Make money in the sideways market. Psychological stress is extremely high Fast capital turnover. Failure rate >80% of new people Results seen within a day Need good equipment and software

Almost a full-time job

3.5. Dividend Investing

This is a form of investing in stocks that pay regular, high dividends and grow year by year. The goal is passive cash flow, not completely dependent on stock price increases.

- How it works: This school focuses on businesses with business models

Stable business, less sensitive to economic cycles such as electricity, water, consumption or telecommunications. Investors will look for dividend yield stocks >4%, with a history of continuous dividend increases (Dividend Aristocrats), sustainable payout ratio <60%, stable cash flow business. Then it will reappear Dividend investing (DRIP) to create compound interest.

- Suitable for: Busy people, looking for sustainable passive income, with medium capital

medium to large and has a low risk appetite.

- Advantages & Disadvantages

Advantages Disadvantages Stable passive cash flow Slower capital growth Less affected by market fluctuations Dividends may be cut Very comfortable psychology Dividend tax depends on the country Retirement-friendly & capital conservation Requires large capital to generate significant income

3.6. Index / ETF Investment (Passive Investing)

Passive investment form for those who do not want to waste time choosing each stock individual votes. Instead of trying to "beat the market", investors will buy ETF certificates Simulate a major stock index (such as S&P 500, Nasdaq) to enjoy average profits average of the entire economy or an industry.

- How it works: Apply DCA strategy (Dollar-Cost Averaging - Average Accumulation

average price). Investors allocate a fixed amount of money to reputable ETFs with management fees

consistently low (small Expense Ratio), regardless of whether the market is green or red. After That way, automatically reinvest dividends to increase the number of fund certificates.

- Suitable for: Beginners, busy people who want to accumulate long-term assets, or others

Who is not confident in their ability to analyze personal financial statements or technical graphs?

- Advantages & Disadvantages

Advantages Disadvantages Simplest, least knowledgeable Can't outperform the market Beats 80-90% of long-term active funds. Subject to all market fluctuations Extremely low fees Boring, lack of control Automatic diversification Heavy losses when the market crashes Suitable for all audiences Conclusion of chapter 3: The appropriate positioning map In the vast world of finance, there is no "most perfect" investment school There is a school that best suits you. This choice depends entirely on factors as personal as the amount of time you can allocate, your ability to tolerate the pressure of risk, and your goals your own core financial goals.

- Below is a relative comparison table of the above investment schools.

Field	Time	Skill Required	Risk Matched	With sect	Value	3-20 years	Fundamental analysis	Low - Medium
Patience,	likes to read	in-depth financial reporting	Increase	1-10 years	Understand the industry & trends	Average	- High	Like technology, Head of startup direction
Swing	2 days - 6	Careful analysis	Medium - High	Available in the	evening	weekly trading	algorithm	

Field Time Skill Required Risk Matched With sect Day In Advanced TA + Very High Professional, comprehensive trade day psychological steel time Dividends 5-30 years Basic FA + Low commitment Want passive income dynamic ring Only 10-30 years Almost none Low (long term) Busy person, newbie number/ETF needs investment Don't try to force yourself to become a breathtaking day trader if you are a busy person, Don't force yourself to hold a valuable stock for a decade if you're a sensitive person sharpness of cash flow. Choose the shirt that fits you best. In the next section, I will introduce to you in detail the methods of applying these schools This investment in practice helps newcomers quickly expand their knowledge and build step by step A real-life trading system for yourself.

Chapter 4: Real-life investment strategies

The above sections have given us an overview of the basic concepts. But if you just stop By memorizing them, you're wasting your energy just like trying memorizing a dictionary that has little practical application. What makes an investor? Excellence isn't about superhuman memory, it's about flexibility and mastery of the right tools yourself. And each person's investment system is as unique as the genome of more than 8 billion animals people on this planet. You can't put someone else's entire genome on you me. So, instead of wasting time "imitating" or asking for someone else's recipe, it's my job We design our own unique formula for success. However, want Creativity must have a foundation, "must have powder to make paste". For starters, in In this chapter, I will try to systematize real-life combat models and bloody lessons about management Risk management and especially the art of psychological management. Hopefully with these materials, you will be new You can confidently create your own formula for success.

4.1. Investment strategies

In addition to the classic investment schools listed in chapter 3, in this section I will summarize A combination of popular investment strategies. In fact, the classic schools often coordinated to overcome the core weaknesses of each individual school. To not change my name into a meaningless "mixed pot" of fund managers and professional investors often combine classic schools according to very clear philosophies. Some binding methods has been used widely enough, long enough, and documented well enough to be called "semi-classic". Not because there is a book that defines them, but because they have been proven through many generations of investors and many market cycles. To help newbies have a clear map, i We have grouped them according to their nature and required knowledge, thereby helping beginners know where to start From where and which route is right for you? □ Group 1: Intrinsic Value - Buy when the price is cheaper than the actual value 1) Value Investing This investment strategy was born by Benjamin Graham and enhanced by Warren Buffett, this is the most classic real-world strategy that focuses entirely on the Price platform internal value of a business (Fundamental Analysis - Fundamental Analysis FA). This strategy

Don't pay attention to technical charts or short-term cash flow trends, just look for them. The answer to only one core question: What stocks are good to buy and at what price? Is it safe (FA is based on existing assets and real cash flow)?

- School: Deep Fundamental Analysis (Deep Fundamental Analysis).
- Core philosophy: Buy an asset for 70 cents when its real value is 1 dollar.

Treat stocks as pieces of actual business ownership, rather than as pieces of lottery tickets that dance on the electric board.

- Core indicators & Tracking standards
- P/E (Price-to-Earnings - Price-to-earnings ratio) is lower than the industry average: Guaranteed

Make sure the price you pay for each dollar of profit is at a deep discount compared to the market common degree.

- P/B (Price-to-Book - Price-to-book value ratio) < 1.5: Insurance shield equal to

net tangible assets (Tangible Assets). Ensure that if the enterprise has to dissolve, the asset liquidation value is still enough to offset the purchase cost.

- FCF Yield (Free Cash Flow Yield) > 6%: Calculated by dividing Free Cash Flow

for Market Capitalization (FCF / Market Cap). Accounting profit (Net Income) exists can be manipulated using revenue recognition techniques, but the actual amount of cash money poured into the safe cannot be counterfeited.

- D/E (Debt-to-Equity - Debt-to-Equity Ratio) < 1: Low debt ratio, stock

demonstrate a healthy financial foundation, not being suffocated by the burden of interest pressure when the market moves into a credit tightening cycle (Credit Crunch).

- ROE (Return on Equity) > 15%: Shows efficiency

Using superior capital from management, eliminating the risk of buying businesses "empty" or unprofitable business.

- Mathematical foundations of probability

The mathematics of Value Investing is based on Benjamin Graham's Intrinsic Value Formula amendments and the Margin of Safety (MoS) principle. 1) Intrinsic Value Formula (IV - Intrinsic Value): $IV = (EPS \times (8.5 + 2g) \times 4.4) / r$ In which:

- EPS is earnings per share
- g is the expected stable growth rate in the next 7-10 years

- 4.4 is the interest rate on high-grade corporate bonds (AAA Bond Yield) at the time

Standardize the formula

- r is the long-term government bond interest rate (Risk-free Rate - Risk-free interest rate)

current (acting as the gravitational force of valuation). 2) Disbursement rules based on Margin of Safety ($\geq 30\%$): $MoS = (IV - Price)/IV \geq 30\% \Rightarrow Price \leq IV \times 0.7$ The core math: This formula establishes a cushion quantitative. It acknowledges that humans always have errors when predicting the future (g may be lower than expected, macro may reverse). About 30% discount guaranteed Tells you to still make a profit or break even even if the price is partially wrong.

- Behavioral psychology mechanism
- Exploiting the Over-reaction Bias Effect: When a businessman

The business experiences a short-term problem (communication crisis, product failure, or marketing). general market enters a bearish trend - Bear Market), the crowd panics will activate the state of Fear of Uncertainty (Ambiguity Aversion). They sold off their stocks bonds at all costs just to relieve the psychological pressure of losing money, unintentionally pushing up asset prices falls far below intrinsic value.

- "Mr. Market" Principle: Graham compares the market to a guy

suffer from schizophrenia. o When he is happy (Uptrend), he screams stock prices very high. o The day he was depressed (Downtrend), he sold his assets as cheap as giving them away. o The winner is the one who considers Mr. Market is an irrational, self-interested trading partner Use his madness to buy cheap/sell high, but absolutely not take the price he makes a measure of right and wrong for his thinking.

- Note on actual combat: Value Trap

The nature of value investing always requires you to clearly distinguish between "cheap for cheap". hate" and "cheap because it deserves to be cheap":

- How to identify traps: Value Trap appears when a stock has a P/E and P/B index

looks very low, but that's because its industry is entering its twilight period, was eliminated by new technology (for example, the era of film cameras receded when cameras Digital cars appear, or traditional gasoline cars confront EV electric cars). Profit margin

The continuous decline causes the intrinsic value (IV) to plummet at a much faster rate compared to the rate of decline of stock prices on the floor.

- How to avoid: Always check to see if the FCF Yield and ROE coefficients are stuck

years or months or not. o If prices fall but actual cash flow still swells □ "Cheap is hated" (Buying opportunity very good). o If prices fall and cash flow also evaporates □ "Cheap deserves cheap" (Dangerous trap dangerous - Avoid at all costs).

- Advantages and Disadvantages

Advantages:

- High Margin of Safety: There is solid protection from real assets and property

real underground cash flow, minimizing the risk of permanent asset decline (Permanent Loss of Capital - Permanent loss of capital).

- Less dependent on Timing: You don't need to stress about watching the board

electricity to find a cash flow breakthrough, just be patient and buy when the price is within deep discount zone.

- Suitable for large capital scale: Suitable for disbursement of large capital flows in a timely manner

relax without upsetting the price structure (Price Action) of stocks on the floor. Disadvantages:

- Takes a lot of time to research and bury capital: Needs the ability to "read" financial reports

very deep key to detect risk traps. Sometimes you have to wait patiently years until the market realized the true value of the business and turned around back to correct pricing.

- Practical industry groups apply most effectively

- Traditional Banking and Financial Services industry group (Banking & Financial

Services): o Characteristics: This is the "backbone" of the value school. Commercial banks Large commercial banks have a very clear core business model (capital mobilization and lending). o Index application: When the market panics or enters a money tightening cycle currency, this group is often sold off, causing the P/B ratio to fall below 1.0 (Market price lower than both the book value of cash flows and net assets). Buy big banks,

Having a low bad debt ratio at $P/B < 1.0$ is one of the economic value investment deals Warren Buffett's best.

- Consumer Staples and Consumer Staples industry groups:

o Characteristics: Includes businesses producing food, beverages, and cosmetics products, pharmaceuticals or items that people are required to use even during menstruation economic recession or high inflation. o Index application: This group possesses extremely abundant and stable free cash flow (FCF). because customers have high brand loyalty. When the market drops overall decrease, this group has a P/E discount $\geq$ lower than the historical average 15% is a great opportunity to accumulate assets with a guaranteed ROE $> 15\%$.

- Energy & Utilities industry group:

o Characteristics: Businesses providing electricity, water, gas, or energy infrastructure national scale. These are monopolistic business models Oligopoly is very high due to capital barriers to entry giant industry. o Index application: This group's revenue is guaranteed by contracts long-term or state price regulation, bringing FCF Yield coefficient $> 6\%$. regularly. The D/E ratio may be a bit high due to capital intensive factory construction, but the line Debt repayments are always exclusively insured, and sudden death is rare.

- Commercial Real Estate and Logistics Infrastructure industry group (Real Estate & Logistics

Infrastructure): o Characteristics: Enterprises own large land funds and office buildings lease, commercial center or warehouse system, physical seaport. o Index application: The value of these businesses lies entirely in their assets Tangible Assets underground. When the real estate cycle freezes In the short term, the market price of stocks on the stock exchange plummeted, helping the P/B ratio decrease deeply ($P/B < 1.2$). Value investors who buy this group are essentially "gathering land and collecting land seaport" with a liquidation price discounted by 30-40% compared to the actual value in real life. 2) Growth At a Reasonable Price (GARP - Growth At a Reasonable Price) Popularized by the legendary Peter Lynch, this is a real battle strategy The dictionary helps reconcile two opposing schools of thought: Internal stability of the enterprise (Fundamental Analysis - FA of Value) and Future Breakthrough Potential (Forward Looking of Growth).

This strategy completely answers the question: Which growth stocks are good to buy? and Buy at what price level to avoid being ripped off (Value)? through quantifying the relationship between the amount of money spent (P/E) and the speed of expansion of the business.

- School: Hybrid between Growth Investment and Value Investment.

• Core philosophy: Stay away from the two extremes: "Value trap" (Stocks are cheap but growing gradually dying) and "Growth Bubble" (Technology stocks have inflated prices over time vain hope). GARP is willing to pay a high P/E, as long as the business growth rate is high The industry is large enough to make that P/E cheap in the future.

- Core indicators & Tracking standards

Investors filter stocks based on a rigorous financial filter structure to find the right ones The money printing machine is accelerating in scale but has not yet been inflated by the crowd:

- $PEG < 1.5$ (Price-to-Earnings-to-Growth - Price-to-Growth Ratio): Set

The ultimate filter that balances valuation and growth.

- $ROE > 15\%$ (Return on Equity): Guaranteed business

Businesses expand their scale by using high internal capital efficiency, not by recklessly burning borrowed money.

- $EPS\ CAGR > 15\%$ (Earnings Per Share Compound Annual Growth Rate - Speed

compound growth of earnings per share) continuously for 3 years: Dynamic proof Time-tested core growth drivers, eliminating profits One-time Gains (One-time Abnormal Profit).

- $FCF\ Yield > 4\%$ (Free Cash Flow Yield): Calculated by

Free Cash Flow divided by Market Capitalization (FCF/Market Cap). Revenue and profit Increased profits must be accompanied by actual cash flowing into the coffers, avoiding virtual growth on Accounts Receivable.

- Mathematical foundations of probability

The mathematics of GARP revolves around optimizing the ratio between money spent (Market value) and Received value (Growth rate) through PEG coefficient:

- Essential calculation formula (PEG):

$PEG = P/E \cdot g$ In which: P/E is the ratio of price to current earnings; and g is the EPS growth rate forecast in % (EPS_growth rate).

o Mathematical rule to optimize disbursement area: Ideal Target is $0.5 < \text{PEG} \leq 1.0$ o If $\text{PEG} = 1.0$: You are paying exactly \$1 in valuation for every 1% of growth of business. o If $\text{PEG} < 1.0$: You are buying future growth at a discount deep (Below intrinsic value).

- Compulsory disbursement conditions (Rules): Only disburse money when the system is satisfied at the same time

equation: $\text{PEG} < 1.5$ and $\text{ROE} > 15\%$

- Behavioral psychology mechanism
- Exploiting the error of Psychological Anchoring on Absolute P/E (Anchoring Bias on Absolute P/E): Crowd

Many people in the market tend to be obsessed with a fixed P/E number machinery (for example, default thinking that $\text{P/E} > 25$ is always expensive, $\text{P/E} < 10$ is always cheap).

- The absurdity of the crowd: Ironically, they were willing to buy an old manufacturing company

Tech has $\text{P/E} = 8$ but grows only 2%/year (Mathematically proves $\text{PEG} = 8/2 =$

4.0 □ Too expensive). Meanwhile, they are afraid to turn their backs on a super stock

technology has $\text{P/E} = 30$ but grows up to 30%/year ($\text{PEG} = 30/30 =$

1.0 □ Very reasonable). GARP breaks this psychological anchor to pick up bargains

covered by a high P/E shell.

- Note on actual combat: The death point of the PEG coefficient

The GARP model possesses two deadly "Achilles heels" directly related to the version The quality of data that traders must manage:

- Forward EPS Risk: Coefficient g used in the normal formula

is the future forecast of analysts (Anal ysts consensus). If their prediction is wrong, or the business suddenly loses a large contract, causing g to drop from 30% to 10%, Immediately the actual PEG ratio will jump threefold, turning the stock from "cheap". "Overvalued" overnight.

- No-Go Zones:

o Startup loss (Startup company not yet profitable): The business has not yet made a profit If positive ($\text{EPS} < 0$), P/E and PEG cannot be calculated. o Cyclical companies (Commodity): Steel, oil and gas, shipping companies EPS has fluctuations depending on commodity prices. At the peak of the cycle, EPS is extremely high

makes P/E and PEG look very low (tricking GARP players into buying immediately peak), but soon EPS will plummet as the supply cycle reverses.

- Advantages and Disadvantages

Advantages:

- Optimal profitability: Helps your account grow strongly thanks to your cash flow

businesses expand in scale, but have the insurance platform of value thinking, Avoid technology bubble collapses.

- Flexible thinking: Not limited to only buying stocks with low, open indexes

Opportunity to own leading technology super stocks at reasonable prices. Disadvantages:

- Heavy reliance on forecasting capacity: If you do not have a deep understanding of the business model

business and the industry's supply chain to calculate the growth rate g yourself, it will be easy for you. It's easy to fall for the "cake" of crowd-oriented analysis reports.

- Practical industry groups effectively apply GARP

The GARP strategy maximizes its strength in rapidly expanding industry groups. Large market capacity, business model generates regular cash flow, but not too "hot" to be pushed into a bubble state:

- Tech Infrastructure & Semiconductor industry group (Tech Infrastructure &

Semiconductors): Businesses that provide switching equipment (Switching), sets Optical Transceivers, chip or heatsink testing equipment data center. This group benefits directly from the rapid AI/Data Center wave. The growth g is extremely large, helping to anchor the PEG ratio at an extremely attractive level regardless. The P/E level seems high at first glance.

- Healthcare & Medical Devices industry group: Companies

manufacturing specialized medical equipment, imaging diagnostic systems or distribution big pharma. This industry has a very high barrier to entry (Moat), increasing revenue. Sustainable growth thanks to the global population aging trend, helping maintain ROE > 15% stable through many economic cycles.

- Branded Consumer Staples industry group: The

Enterprises manufacturing food, cosmetics or modern retail chains with capabilities. High Pricing Power. When they expand their chain of stores or penetrate new international markets, revenue and EPS will grow steadily at 15-20%.

without requiring large capital investment costs (low CapEx), generating free cash flow (FCF) abundant.

- Finance Technology and Payment Services industry group (Fintech & Payment

Processing): Modern financial institutions possess transaction processing technology platforms automatic credit scoring or translation. This model is scalable unlimited physical borders (high Scalability) brings large gross profit margins, helps EPS accelerate strongly while the market often values it lower than the Big group Pure Tech. 3) Dividend Growth + Value (Dividend Growth + Value) Insightfully researched by economics professor Jeremy Siegel and fund manager John Neff, This is a practical strategy that perfectly combines tight cash flow management (Cash Flow Management) and Historical Valuation Shield. This strategy pays Answers to the question: Which cash-generating stocks are sustainable to buy (Dividend) and Buy at the right time How to optimize compound profit (Value)? by reducing market price fluctuations becomes an opportunity to accumulate the original amount of assets at a discounted price.

- School: Investing in accumulated cash flow value combined with a self-dividend reinvestment plan

(DRIP - Dividend Reinvestment Plan).

- Core philosophy: View stocks as rental real estate that generates regular cash flow.

However, instead of withdrawing money to spend, investors use that same cash flow to "buy more." bricks for building houses" at discounted prices. The ultimate goal is not to surf and eat arbitrage, which is to accumulate the largest number of shares possible to optimize power power of compound interest.

- Core indicators & Tracking standards

Investors filter stocks based on cash flow filter structure and valuation to ensure receive "clean" and sustainable sources of cash:

- Dividend Yield > 4% (Dividend Yield): Calculated by Cash Dividend above

each share divided by Market Price (Dividend / Price). The rate must be high enough to create momentum The force of reinvested cash flow is significant, surpassing bank savings interest rates.

- Payout Ratio from 40% - 60% (Dividend payout ratio): Ideal profit payout ratio

(Dividend / Net Income). If it is below 40%, the business retains too much capital; if Over 60%, businesses are running out of retained earnings to reinvest growing and vulnerable to the risk of dividend cuts when macroeconomics turn bad.

- FCF Payout < 70% (Dividend payout ratio to free cash flow): Quality test coefficient

Actual amount of cash (Dividend / FCF). The accounting profit on the books could be virtual, but dividends must be drawn from the actual free cash flow flowing into the safe to pay shareholders.

- Increasing dividends ≥ 5 consecutive years: Criteria to prove that the enterprise has a business model

Businesses possess a durable "economic moat" (Moat), capable of increasing cash resources payments even during tightening phases of the economic cycle.

- P/E < 5-year average $\geq 15\%$: A measure of value valuation. Disbursement for bulk purchases only

when the market values this business cheaper than its historical valuation of it in the past by at least 15%.

- Mathematical foundations of probability

The power of this strategy is quantified through its cumulative growth model Automatic dividend reinvestment plan (DRIP):

- Total gross profit formula (DRIP Return):

DRIP Return = $(1 + \text{div_yield} + \text{price_growth})^n$ In which: div_yield is the dividend yield; price_growth is the market price growth rate; and n is the number of years holding the asset.

- Specific quantitative mathematical example: A stock has a fixed dividend yield of 5%/year,

The average price growth rate is 7%/year. After n = 20 years of holding and reinvestment Continuous automatic cash flow, total gross profit achieved: Profit = $(1 + 0.05 + 0.07)^{20} - 1 = 8.64$ (864%)

- Core mathematical reason: DRIP activates the Double Rolling Snow effect (Double

Compounding). When you use dividends to buy more shares on the spot, no Your number of shares owned (N) passively increases. During the dividend period Next, the amount of money you receive grows exponentially thanks to the resonance of the two variable: Firm increases payout per share (g) AND Number of shares Personal property has been duplicated (N).

- Behavioral psychology mechanism

- Exploiting the Cash Flow Effect (Income Bias): The human nervous system

very sensitive to short-term, tangible rewards. When investing in stocks Pure growth stocks, you have to wait for years under tension straight to see the account increase in number and always motivated by the psychology of wanting to sell to show off Realize profits. Cash flows to the operating account periodically (quarterly).

as a calming medicine, completely relieving the mentality of "Acting innocently" (Action Bias).

- Break the FOMO fear cycle with the mindset of accumulating quantity (N): For the ultimate goal

Your upper limit is to accumulate the maximum number of shares (N), so when the market is general Entering the bear market, not only will you not panic and cut your losses still happy. This mentality appears because you know the amount of dividends received during the period This will buy more shares at a cheaper price, reducing price fluctuations Market from "enemy" to "ally" accelerates compound interest.

- Practical note: Dividend Trap

This strategy is not the "holy grail" and requires strict control from the trader Risks of the enterprise's cash flow structure:

- Initial capital scale barrier (Capital Scale): Because profitability depends on the ratio

stable cash flow percentage (4%-6%), you need a large amount of initial capital to flow Generated money has significant significance in covering life. Investors have capital If you stick to this mindset, you will see your account grow too slowly in comparison Growth Investing group.

- Dividend Trap: During periods of severe economic recession

or the industry is outdated, business leaders may intentionally pay high dividends with borrowed money to keep shareholders on the floor (at this time the P/E index looks extremely bad low). If you check and see that the FCF Payout coefficient is $> 100\%$, it means the business is... having to "eat into capital" or "borrow debt" to pay dividends, this is a warning bell for businesses The company is about to have a sudden dividend cut and you have to exit immediately.

- Advantages and Disadvantages

Advantages:

- Create a real passive income source: Bring a steady flow of cash to your account

account that does not require you to sell the original asset (Stock).

- Extremely comfortable investment psychology: Immune to short-term adjustments

market, suitable for making the framework that makes up the Core Cavity (Core) accounting for 60-70% total assets for long-term holding. Disadvantages:

- Slow capital growth rate: Capital gain margin will be faint and weak

much slower than technology stocks in the Growth group Investing or super stock CANSLIM in the bull market (Uptrend).

- Practical industry groups apply effectively

This strategy works best in businesses that are past the maturity stage large capital expenditure (low CapEx), has a stable and unthreatened monopoly market position suddenly by new waves of technology:

- Public Utilities and Infrastructure Energy industry group (Utilities & Regulated

Energy): Corporations monopolize the supply of grid electricity, clean water, and gas transmission liquid. Their revenue is almost unchanged before the economic crisis and is adjusted regulate prices according to inflation, providing a rich cash flow to pay dividends over decades.

- Long-standing Finance and Insurance industry group (Insurance & Traditional Finance): The

large-scale life insurance corporation or financial institution. Business model Their businesses collect fees in advance and pay them later, creating an amount of "floating capital" (Float). giant invests in bonds to earn stable profits and maintain cash flow Regular dividends with historical P/E valuation are often very low.

- Mining and Heavy Physical Infrastructure industry group (REITs & Telecommunication

Infrastructure): Real estate trusts own hospital and warehouse infrastructure logistics or businesses that own telecommunications tower systems. By law, REITs are required to deduct >90% of their profits to pay dividends mechanically maintain Dividend Yield > 4%. □ Group 2: Growth & Thematic 4) Growth Investing Shaped by the groundbreaking thinking of Philip Fisher - author of the classic book "Ancient Ordinary Bonds, Extraordinary Profits" and added by Peter Lynch, this is the strategy The actual battle focuses entirely on Scalability Analysis. Chien This strategy bypasses the expensive hurdle of current valuation to answer the question: Enterprise Who possesses the strongest ability to replicate profits in the next 5-10 years (advantage absolute competition)?

- School: Investing based on future potential (Forward-looking Investing - Beginning

future-oriented).

- Core philosophy: Focus on businesses that possess large "economic moats",

is in the industries with a strong boom trend. Growth investor accept to ignore the current cheap pricing factors, willing to pay a high price in exchange

Get a business that has the ability to multiply revenue and profits many times in the long term.

- Core indicators & Tracking standards

Investors filter stocks based on a rigorous financial filter structure to find the right ones. The business is in a booming phase, expanding market share with extreme operating performance great:

- 3-year EPS CAGR > 20% (Earnings Per Share Compound Annual Growth Rate - Compound growth rate of earnings per share) And Revenue Growth >

20% (Revenue growth rate): Required pair of indicators to prove the business is in its strongest acceleration phase. This breakthrough must be agreed upon by both sides: expanding market capacity (Revenue) and optimizing operating costs (Profit).

- Gross Margin is stable or increasing: The most important indicator

Business intelligence has Pricing Power - The power to establish price) monopoly or superior scale advantages. If revenue increases but gross margin declines, which is a warning sign that businesses are having to lower selling prices or burn money promotions, compromising the core financial structure to grab liquid market share loose.

- TAM (Total Addressable Market - Total addressable market) > 70% is not yet

Exploitation: The potential market is still vast, businesses have only just touched it into a very small part of the gold mine, ensuring space for compound capital flows (Compounding) operated for many years.

- Mathematical foundations of probability

The mathematical nature of Growth Investing is based on Power Law and The dynamics of the exponential function represent the power of long-term compound growth:

- Disbursement rules based on relaxed valuation: Accept PEG coefficient < 2.0 (Level

The valuation is much higher than the PEG < 1.5 standard of the GARP school).

- Quantifying market penetration space (Penetration Rate): The system only selects the

super stocks when the market dominance rate is still in the first half of the curve growth (S-Curve): Penetration Rate = Current Market Share/TAM < 30%

- Core mathematical reason: When a business maintains growth

CAGR growth $\geq 20\%$ /year continuously for 5 years, according to the compound profit formula $(1 + 0.2)^5$

= 2.48, the business scale will increase 2.5 times. If you patiently hold it for a long time By the 10th year, this number will reach $1.2^{10} = 6.19$ (6.2 times more growth). times). The spike in power of this exponential function over time will quickly dilute the level initially high P/E valuation, making a stock seem expensive at the time disbursement points into a priceless bargain in the future.

- Behavioral psychology mechanism
- Exploiting errors of Myopic Loss Aversion and Short-term Loss Aversion: Pho

Wall and the trading crowd are heavily obsessed with the trading results displayed each quarter. Just one quarter of business growth slightly lower than expectations of analysts, the crowd will panic sell at all costs. Investor Excellent growth takes advantage of this "myopia" to pick up shares of businesses The business has a solid long-term growth structure at deeply discounted prices.

- Exploit the impatience of the crowd: The human brain naturally does not have one

the ability to intuitively calculate exponential functions, leading to a constant underestimation of power of long-term compound accumulation. The crowd wants to eat equal times in a few weeks, leading to constantly rotating capital, jumping around and accidentally handing over super shares The voucher completes the journey of expanding scale for large institutional investors.

- Note on actual combat: Death point "Growth Blindness"

Growth investing is a powerful wealth launcher, but it possesses two vital points Deadly involves pricing mathematical structures and psychology that you must absolutely remember remember:

- Absolute sensitivity to Interest Rate (Interest Rate Sensitivity): In terms of financial mathematics

Essentially, the value of growth companies lies largely in their future cash flows long-distance hybrid (next 5-10 years). When the central bank raises interest rates, the discount rate applies future cash flows will increase, causing the present value of the stock Growth stocks suffered the strongest decline in terms of mechanics. Therefore, this group is always The first victim suffers the most damage when the macro goes into the ligation cycle tight currency.

- Pitfall "Growth Blindness": Absolutely never

disbursed to buy a stock just because of a stormy narrative, Gloating about the future of AI, Robotics or Clean Energy without you Actual quantitative numbers (Data) support. If you pay $P/E > 100$ for a virtual expectation unrealistic, if only one quarter of the business misses earnings, the model is determined

The price will collapse like a domino and destroy your account completely Can evaporate 50-70% very quickly.

- Advantages and Disadvantages

Advantages:

- Creating extraordinary profitability (large Alpha): This is the only possible strategy

Multiply your account many times, helping you completely break through the growth rate average of the market index.

- Make the most of smart cash flow: You always accompany great minds

of the digital economy, moving in the right direction of global capital flows. Disadvantages:

- Extremely high volatility: Growth stocks can drop 30-40%

In a short-term adjustment period, this is completely normal and mentally demanding steel to endure risks. Therefore, this strategy should only be installed into Compartments Satellite takes 30-40% of capital in a disciplined way to attack, absolutely cannot be used as the foundation for the entire property.

- Practical industry groups effectively apply Growth Investing

Pure growth strategy maximizes strength in technology industries high, pioneering services have the potential to reshape societies or business models Businesses possess exclusive network effects:

- Industry group Enterprise application software and Cloud computing (SaaS &

Cloud Computing): Companies providing management solutions, data storage or digital security. This business model has a marginal cost of no - meaning once the software is complete, it's up to the customer to sell the thing The 100th or the millionth do not require additional production costs, helping profits explode exponentially.

- Artificial Intelligence and Advanced Semiconductor industry group (AI & Advanced

Semiconductors): High-performance processor chip design units, chip foundry factories a monopoly group or enterprise that owns new generation chip packaging technology. This is the upstream center of the digital revolution, where businesses head The industry continuously recorded revenue and gross profit growth of >50% each year due to insufficient supply and demand.

- Biotechnology and Precision Medicine industry group (Biotech & Genomics): The

The company develops gene therapy, next-generation DNA sequencing or surgical robots

automatic. This industry group owns exclusive patents that are barriers Absolutely, allowing businesses to maintain a high Gross Margin level of >70% in total long term. 5) Momentum Super Stock (CANSLIM) Developed by legendary investor William O'Neil, this is a real battle strategy The most classic combination of Intrinsic Growth Mutation and Flow Dynamics shark money. It completely answers the parallel question: What stocks are good to buy (FA to filter excellent business) and Buy at exactly the right time (TA to optimize time capital rotation)? thereby helping investors capture the most powerful acceleration phase of a super stocks.

- School: Hybrid Internal Growth Explosion (Fundamental Analysis - Analysis

fundamental) and Trend Breakout Momentum (Technical Analysis - Technical Analysis).

- Core philosophy: Don't look for cheap stocks, but look for the strongest stocks. CANSLIM

Act like a shark hunter: point to the money when the business reaches a point of convergence of a boom in core profits and a frenzied entry of institutional money.

- How to do it & Core indicators

Investors filter stocks based on a mechanical 7-letter filter structure to clean out Subjective emotional factors:

- C (Current Earnings - Current quarter earnings): Quarterly profit growth rate

Current must increase at least 25% over the same period last year AND be accompanied by an increase EPS Acceleration. That is, the second derivative of profit must be positive (speed This quarter's growth rate must be higher than the previous quarter's growth rate) to reflect activity Core business is booming in the short term.

- A (Annual Earnings): Annual profit growth rate

(EPS) remained stable at over 25%/year continuously for the last 3 years, combined with ROE coefficient > 17% (Return on Equity) to prove Demonstrate the efficiency of capital use by management, eliminating "empty" businesses.

- N (New products/Management/Highs - New factor): The enterprise owns the product

new product, new technology, new leadership, or a stock price breakout on the historical peak area (All-Time High - ATH) from the bow tectonic patterns.

- S (Supply and Demand): Look for stocks with a condensed structure

(moderate amount of natural free floating shares, small and medium capitalization) to demand from organizations easily push the price to break out non-linearly.

- L (Leader or Laggard - Leading or following stock): Only choose to buy leading stocks

Leading in the Top 1-3 of the industry based on RS Rating > 80 (Relative Strength - Relative strength compared to the entire market for 52 weeks, not a technical indicator RSI technique), absolutely do not buy weak stocks (Laggards).

- I (Institutional Sponsorship): Enterprise participation

Accumulate and sponsor large capital flows from reputable investment funds, banks, or self-employed joint.

- M (Market Direction): Only disburse new purchases when the market is in

The general is in a stable uptrend state (Uptrend), stop the game when the market is over The field has a distributed signal.

- Transaction volume (Breakout Volume): At the session breaking out from the trigger point

(Pivot Point) of the cumulative price base (like the Cup & Handle pattern holding or Flat Base), trading volume must explode > +50% to +100% from the 20-session moving average (MA20 of volume).

- Mathematical foundations of probability

CANSLIM's mathematics is not based on repeated correct predictions (high Win-rate), which is based on the Asymmetric Payoff property through strict position management to create positive equity expectations:

- Mandatory risk management rule: Absolute stop loss at 7% - 8% without exception.
- Minimum profit target: Reach 20% - 25%
- Positive mathematical expectation (Expected Value - EV): Even when the general market is negative

stable, causing your actual win rate (P_{win}) to drop to a low level (40%), system The system still protects the growth account mechanically: $EV = (P_{win} \times R_{win}) - (P_{loss} \times R_{loss})$ $EV = (0.40 \times 0.25) - (0.60 \times 0.07) = 0.058$ (+5.8% per deal)

- Behavioral psychology mechanism
- Exploiting Anchoring Bias at All-Time High: Crowd

Retailers are always obsessed with comparing current market prices with internal low prices past. When seeing a stock surpass its all-time high (ATH), psychological anchor Scared them away because they thought it was "too expensive". In contrast, large organizations (Whales)

understand that the peak area is where the old clamping barrier has been swept away, the front is The sky is clear and there is no more selling pressure, helping stocks increase in price at a cost push lowest capital.

- Taking advantage of Institutional Herding: Fund managers

always under pressure to compare short-term profitability performance with indexes Benchmark (Reference index such as S&P 500 or VN-Index). When an industry explodes explode, they cannot stand by and watch their portfolio fall behind. Criterion I of CANSLIM precisely exploits this fear of losing their jobs, forcing funds to line up push money to buy and chase leading stocks (Leader), creating a continuous acceleration force for super stocks.

- Notes on actual combat: Iron discipline or Bankruptcy

This ultimate momentum trading system requires players to follow the rules Extremely harsh survival rules:

- Accept low Win-rate: Due to the characteristic of only buying when the price breaks out strongly,

This system often encounters false signals (Whipsaw/Bulltrap - Bull trap price) during periods of general market instability, causing the actual winning rate to fluctuate around 40–50%. Therefore, traders are forced to accept continuous cutting losses such as a recurring insurance business expense in exchange for a one-time super share.

- Absolute no-trading zones (No-Trading Zones): Absolutely close positions,

Do not apply CANSLIM when criterion M changes to a downtrend (Bear Market) or sideways narrow fluctuations (Sideways). Try to eat sticky rice during this period causing the account to be eroded and "pigeoned" very quickly by repeated stop-loss orders custom.

- The stop loss rule has no exceptions: The stop loss level of 7\% - 8\% is immutable. There's no room

for hope, gong loss or bearish moving average (bearish DCA), for a super stock Momentum stocks, once the price base structure has been broken, can completely plummet 50- 70% value very quickly.

- Advantages and Disadvantages

Advantages:

- Optimize extremely high capital flow efficiency: You do not have to suffer the situation of burying capital

waiting for a good stock from year to year like the investment school pure value. The system only activates disbursement right before the stock steps entering the most rapid growth phase (Phase 2). Disadvantages:

- Great psychological pressure from consecutive stop-loss orders: Requires a high level of discipline to execute mechanical stop loss orders without being influenced by emotions.

- Suitable for placement in Satellite compartments: Because of the group's volatility

This is extremely high, the CANSLIM strategy should only account for 30-40% of assets. As an arrow to attack portfolio performance, it should absolutely not be used as the foundation for the entire inheritance.

- Practical industry groups effectively apply CANSLIM

The CANSLIM system was born to hunt for super waveguide stocks, so it works excellently in industries with high innovation and open business cycles that expand rapidly or receive a major policy push:

- High Technology and Digital Transformation industry group (Tech & Digital

Transformation): Pioneering software, cybersecurity, or application businesses. Use digital platforms. New products appear regularly in this group (N) change consumer behavior, triggering quarter-time revenue growth.

- Semiconductors and AI Hardware Infrastructure industry group (Semiconductors & AI

Hardware): High-tech intensive industry has a huge order boom cycle. When the demand for digital infrastructure reaches its peak, leading businesses in the industry will record increases in EPS. Acceleration skyrocketed, attracting frenzied patronage and large funds (I).

- Supporting Industries and Public Investment (Industrial Infrastructure) industry group: The

The company owns large contracts to build energy infrastructure and power grids or data centers. When there is a change in macro policy planning from the state, the cash flow will fiercely push the price beyond the historical peak (ATH). 6) Shovel Sales / Megatrend Infrastructure (Pick & Shovel / Megatrend) Inspired by the historical context of gold rushes and systematized. In the digital era, this is a real-world strategy that optimizes certainty based on supply chain bottlenecks (Bottleneck Analysis - FA of Infrastructure). This strategy doesn't bet on the fierce competition at the top to answer the question: What are the required entities that must be used regardless of who wins finally (FA on oligopoly barriers)? From there, the investment capital flow becomes intensive (CapEx) of the big guys into solid revenue and profits for the portfolio.

- School: Analyze the physical supply chain structure (Structural Supply Chain

Analysis) combined with Network Theory.

- Core philosophy: In a gold rush, instead of betting on who is digging the gold

If you will find gold, invest in a company that sells shovels. During public revolutions technology (such as AI, Cloud, Data Center), this strategy ignores the battle of life and death in part top (who has the best software or application model) to focus on buying businesses. The industry holds the bottleneck infrastructure (Bottlenecks) at the root - where all parties participate. Participating in the game is required to spend money.

- How to do it & Core indicators

Investors proceed to dissect the value chain of a long-term super trend (Megatrend) and apply quantitative filters to check the cash flow quality of businesses. Platform infrastructure industry:

- Backlog Growth Rate (Growth rate of backlog orders): Measurement index

volume of orders and contracts that have been successfully signed but not yet implemented (not yet revenue recognition). This is a visual measure that shows the legibility of the joint Revenues and profits explode in the near future for physical hardware companies.

- Gross Margin Stability: Proof of the business

Possesses absolute Pricing Power (Pricing Power - Power to set prices). If Input raw material costs increased but gross profit margin remained stable or open large, that business certainly holds an oligopoly or Extremely strong niche monopoly.

- Revenue Under Contract % (Proportion of revenue guaranteed by contract): Part rate

Hundreds of revenues are strictly committed by long-term supply contracts (usually lasting from 3-5 years), acts as a shield to help businesses stay immune completely with the short-term recession fluctuations of the economic cycle.

- Network Demand Growth: Consumption rate

electrical energy, transmission flow or specialized heat dissipation equipment arises directly from the swelling of the upstream network structure.

- Mathematical foundations of probability

The quantitative power of this strategy is based on its Non-Linear Growth nature (Non-linear Growth) is explained and proven by the Network Theorem Topology & Dynamics):

- Structural formula for network connections (Connections): When a network system

(or a central server cluster) increasing the number of physical network nodes (eg such as the number of semiconductor chips, servers, or terminal distribution points) from 1 to N nodes,

The number of connections running back and forth between nodes does not increase in a straight line (route calculate N), which increases dramatically according to the quadratic function: $\text{Connections} = N(N-1)/2$

- Core mathematical reason: When the number of nodes N increases 10 times from 100 to 1000, the number

The number of physical data connections running complexly between nodes will increase by approximately 100 times. This thunderous non-linear burst explains the nature of why when the Large technology corporations (Hyperscalers) double the scale of processing chips, increasing demand The reality of the underlying dependent connection infrastructure is growing rapidly exponential.

- Behavioral psychology mechanism
- Exploiting Outcome Bias / Survivorship

Bias): Human psychology is always attracted and fascinated by sparkling entities appear at the bottom of the food chain – intuitive software applications, the Autonomous robot running on the screen. Excited crowds are willing to pay these rates Unfounded crazy pricing for these "flashy Winners" forgetting the risks They can be crushed at any time if a stronger opponent appears.

- Taking advantage of the superficial blindness of the crowd: The reverse Pick & Shovel strategy

counter the superficial psychology by quietly focusing capital flows on infrastructure structures "invisible" deep in closed data centers with high walls. Investor Smart understands that, before an AI model generates a single dollar of revenue First commercial from users, technology giants were forced to solve bank hundreds of billions of dollars in real cash into the pockets of hardware supply companies original infrastructure to build the foundation.

- Real battle note: Real economic moat vs. Pricing the peak zone

To successfully execute an infrastructure strategy, you need an extreme technical mindset Be careful not to fall into two big traps:

- Distinguishing between Commodity and Barrier Niche

Moat): Not all component manufacturing companies have a competitive advantage (Moat). If you buy a company that makes regular copper cables, when there is market demand increases, hundreds of other competitors can easily jump in and imitate industry's gross profit margin decline. Please only choose businesses that hold keep exclusive niche technology with patent barriers or pole manufacturing techniques (e.g., specialized heatsink materials or proprietary switching chips).

- Pitfalls of peak pricing when the trend is too clear: When the parameters

As Backlog Growth has clearly shown in the mass media Models and crowds on forums are constantly talking about "Megatrend", the stock price usually has finished reflecting the trend and is anchored in a very expensive price range. At this time, Bien An Your Margin of Safety (MoS) will be significantly narrowed, making your account vulnerable damage if a short-term adjustment period occurs.

- Advantages and Disadvantages

Advantages:

- Extremely high certainty and safety: Infrastructure businesses have revenue coming from

actual investment capital (CapEx) of large corporations, regardless of employment Which top software application will win the market?

- Clear, sustainable cash flow: Easily quantify and track performance through

Actual outstanding contracts and orders signed on paper. Disadvantages:

- Requires in-depth technical thinking: Requires investors to have background knowledge

Good for in-depth understanding of the supply chain, system hardware structure, and separation Real technological barriers for businesses.

- Growth has physical limits: Different from software that can be cloned

Limited by copying, infrastructure hardware companies are limited by their production capacity factory output and physical delivery schedule.

- Practical industry groups effectively apply Pick & Shovel

The shovel sales strategy maximizes its strength in technical supporting industries Highly technical, technology intensive and has a huge hardware equipment investment cycle:

- Data Center Power Infrastructure and Electrical Equipment (Data Center Power

Infrastructure): Businesses that provide high-performance transformers and systems Smart power management or large-scale backup generators. In The wave of AI and exploding data centers lead to a galloping thirst for electricity This core electrical equipment manufacturing company into impossible "shovel salesmen". replace.

- Optical Transceivers & High Speed Switching Equipment (Optical Transceivers &

Switching): Companies that hold the technology to produce optical transceivers (Optical New generation Transceivers and Switches. When the calculation speed

of AI chips increases, traditional copper wire connections will become a bottleneck, forcing the entire system to switch to a light (optical) connection.

- Large capacity liquid cooling system (Liquid Cooling Systems): Units

designs and manufactures specialized self-contained liquid cooling blocks for clusters High density processing chip. The more powerful the AI chip, the more heat it emits. Without a new generation cooling system, supercomputers will immediately suffer collapsed due to overheating. 7) Cycle Investing Drawn from the counter-crowd real-world thinking of Howard Marks and Jim Rogers, here is a strategy that focuses exclusively on the structural imbalances of the Flow Cycle capital and production capacity (Capital Cycle Analysis - FA of the Cycle). This strategy does not looking for linearly stable businesses to answer the question: Industry Excessive use of assets is destroying supply to prepare for price increases next linear (FA on physical Supply - Demand dynamics)? thereby turning into extreme pessimism at the bottom of the cycle into the largest multiplier returns for the portfolio.

- School: Macroeconomic Analysis combined with Capital Cycle

commodities (Capital Cycle Investing).

- Core philosophy: The nature of the financial market and heavy manufacturing industries (Steel,

Oil and Gas, Shipping, Gold, Uranium) are repetitions of the Supply - Demand cycle. Chien This strategy acts completely contrary to the psychology of the majority: Buy when the company is in business heavy losses, the press criticized the industry because it was at the bottom of the supply cycle; and Sell when trading Industry reports record profits, profit margins peak and crowds are excited extreme.

- How to do it & Core indicators

Investors filter stocks based on leading indicators early direction) of physical supply to detect turning points before taking advantage Actual profit shown on the books:

- Industry P/E (Price-to-Earnings) and Profit Margins (Margins) of the entire industry: At the bottom

cycle, industry P/E is often very high or cannot be determined because of the businesses are losing heavily, but this is the safest buying area. At the top of the cycle Period, P/E looks extremely low and attractive because of short-term profit spikes, but here it is the most dangerous distribution trap.

- Industry Capex (Capital Expenditures - Capital investment costs for the entire industry): When the price of goods

With a long-term freeze, businesses will minimize construction costs build factories, pause scale expansion or close poorly exploited mines efficiency (Capex trough - Bottom of capital cost). This is the earliest indicator to prove it Future supply is being mechanically strangled.

- Commodity Futures Price (Commodity futures contract price): Closely monitor the chart

Technical market and price action (Price Action) to detect bottoming and accumulation trends and the turnaround in prices of upstream raw materials (such as iron ore prices, prices HRC hot rolled steel coil, crude oil price, copper ore, or Uranium).

- Inventory Levels (Industry-wide inventory level): Volume of inventory stored

of the entire industry has continuously decreased at an alarming rate, proving consumer demand In fact, it is starting to eat into inventories, ready to trigger a phase of price increases linear when supply is out of breath.

- Mathematical foundations of probability

The mathematical nature of Cycle Investing is based on a quantitative standard deviation model combined with the time lag of the Economic Cobweb Model:

- Mechanical quantitative disbursement rules: The system automatically activates the purchase area

long-term accumulation when valuing (usually prioritizing the P/B or standardized P/E ratio) of the industry falls to the extreme region of the historical normal distribution: Current Sector P/E (or P/B) < $\mu - 1\sigma$ Where: μ is the historical average value of industry valuation; and σ is the standard deviation (Standard Deviation) measures the range of valuation fluctuations.

- Core mathematical reason: Cyclical stock market prices always reflect the past and run

6 to 12 months before the actual profit graph on the financial statements due to its nature discount future expectations of smart cash flows. When the supply of the entire industry reduced to a minimum level, as long as consumer demand recovers slightly, the price of physical goods will increase Non-linear breakthrough, creating profit acceleration (EPS) mutation for surviving businesses.

- Behavioral psychology mechanism
- Exploiting Recency Bias: The structure of the human brain itself

However, there is always a tendency to take data on fluctuations that have occurred in the last few years to project a map for the long-term future. After 3-5 years commodity prices go suffocated at the bottom, the crowd believed that the industry was "dead forever" or

will be completely replaced, leading to cheap valuations of corporate assets liquidation.

- Overcoming the fear of "The industry is dying": When the market is covered by extreme pessimism

An excellent cyclical investor clearly understands the classic macro principle: "Good solution The best price for low price is low price. Low commodity prices will squeeze weak companies Using high leverage leads to bankruptcy, automatically destroying the industry's supply and equipment Establishing a solid mechanical foundation for a new cycle of rapid price increases. They advance quietly gather assets before the crowd wakes up and realizes the upheaval dimension of macrostructure.

- Notes on actual combat: Timing and Leverage Trap

The physical commodity cycle is a weapon in the hunt for huge profits, but it possesses two disadvantages Strict points that traders are absolutely not allowed to violate:

- Timing Risk: A freezing or sublimation cycle of

A heavy manufacturing industry can last much longer than one's mathematics predict you (usually ranges from 2 to 5 years). If you disburse too early when the structure fails Canceling the unfinished supply, you will face a state of buried capital and hardship loss for a very long period of time.

- Area prohibiting the use of financial leverage (Strictly No Margin): Take profits to heart

John Maynard Keynes's classic warning: "Markets can be irrational for longer the amount of time you can maintain solvency (pay Margin interest)". Because of market price Cyclical stocks fluctuate extremely violently at the bottom, using leverage Financial leverage (Margin) is a suicidal act. This strategy must be used Patient capital (100% real cash) to be able to penetrate the entire freezing phase of the industry, preserving its survival position and reaping super profits when the new cycle booms explode.

- Advantages and Disadvantages

Advantages:

- Profit performance multiplied by the largest: Create investment deals with high profit rates

outstanding (maximum Alpha) thanks to purchasing large assets at bottom bankruptcy liquidation prices cycle.

- Advantage from the repetition of history: The physical Supply - Demand nature of the real economy

Always cyclical, helping investors establish the most reasonable set of trading rules Highly consistent through the decades. Disadvantages:

- Long waiting time and not for the majority: Requires extreme psychological bravery

firmly to go against the entire pessimistic media article of the crowd and endure long-term capital burying state.

- Portfolio installation location: Due to the characteristics of fierce fluctuations and sensitivity to macro and war Cyclical investment strategies are only allowed to locate in the Satellite Space to hunt Large physical asset cycles should absolutely not be used as a safe core for the entire price family property.

- Practical industry groups effectively apply Cycle Investing

Cyclical strategy maximizes efficiency in heavy, resource-intensive manufacturing industries fixed tangible assets (huge CapEx), providing time-critical products Construction of extended supporting infrastructure:

- Mining, Metals & Uranium industry group: The

Enterprises exploiting copper ore, iron ore, lithium or Uranium. Visiting Exploring and bringing a new mineral mine into commercial operation usually takes 5-10 years year, creating a huge supply lag when world demand suddenly increases speed.

- Fossil Energy and Oil & Gas Upstream industry group (Oil & Gas

Exploration): Units that drill for oil, supply rigs or exploit oil and gas upstream. The profits of this group are absolutely sensitive to the price curve The world's oil industry often records financial status reversals from net loss to loss Big profits in just a few quarters.

- Shipping & Shipbuilding industry group: The

Enterprises own fleets of container ships, bulk carriers or workshops Ocean shipbuilding. It takes 2-3 years to build a new ship; when line Capital will flee the industry because of cheap freight rates, and global transport capacity will be tightened study, prepare for the next super freight boom cycle. □ Group 3: Momentum & Technical - Price reflects psychology crowd 8) Dual Momentum (Dual Momentum) Developed and popularized by quantitative expert Gary Antonacci, this is Classic real-world mathematical strategy based on the phenomenon of Time Series Inertia

(Time-Series Momentum). This strategy completely eliminates the subjective predictive ego of people to answer the question: What asset group should capital be allocated to optimally? Optimizing performance (TA on Relative Momentum) and When to retreat to defend full life (TA on Absolute Momentum)?

- School: Systematic Trend Following based trading

on macro risk management.

- Core philosophy: Completely eliminate peak/bottom prediction or internal analysis

complex career. This strategy operates as an independent, pressed two-stage mechanical filter. Investors must always side with the asset group with the strongest growth inertia world, and automatically activate the "Circuit Breaker" mode to Bring the entire portfolio to safety before the recession storm sweeps through the market.

- Core indicators & Tracking standards

The system operates mechanically based on historical numbers of price action, eliminating refunds full of chaotic media news:

- ROC (Rate of Change) 12 months: Momentum measurement index

and the inertia of the asset's movement. The system uses a 1 year time frame because Experimental studies prove that this is the sweet spot in the restaurant. Calculate the price with the highest stability.

- Pair of EMA(50) and EMA(200) lines (Exponential Moving Average - Average line

50 and 200 session exponential moving averages): Additional technical filters help determine the state long-term trend structure of the general market.

- Absolute Return vs T-Bills (Absolute Return vs Treasury Bills): Measure

Measure that compares the asset group's actual returns over the past 12 months with the bond returns. Short-term government bonds or risk-free deposit rates (Risk-free Rate).

- Frequency of Rebalancing (Portfolio Rebalancing) periodically by Month or Quarter: Set

The timing rule forces investors to only scan data and execute orders on certain days fixed pre-set, prohibiting any act of arbitrarily interfering with manual commands mid cycle.

- Mathematical foundations of probability

The quantitative power of Dual Momentum is based on the mathematical property of Autocorrelation. Positive Autocorrelation of the medium-term time series (Time-Series Momentum):

- Momentum calculation formula (ROC): Measures bullish inertia based on numbers

Average trading sessions per year (252 sessions): $ROC = \ln \left(\frac{P_t}{P_{t-252}} \right)$ in which: P_t is the closing price at the current time; and P_{t-252} is the price closing of the same property 1 year ago.

- Procedures for operating two strict mathematics classes (L1 □ L2):

o Layer 1 (Relative Momentum): Conduct data scanning and rank the ROC_12M coefficient of all assets in the tracking basket. The system automatically selects the entity with the strongest growth inertia. o Layer 2 (Absolute Momentum): The system conducts the check Investigate survival conditions to determine whether the strongest asset you have just found is real is in a healthy uptrend or not: Conditions: $ROC_{12M} > T\text{-Bills Return}$ □ YES: Transfer all 100% of capital into that asset (All-in Hold). □ NO: Withdraw 100% capital to Cash or Short-term Bonds for shelter.

- Behavioral psychology mechanism
- Exploiting the Under-reaction Bias bug: When a cycle

New economic boom, small crowds and the usual media the tendency to react slowly, not fully assessing the pervasive power of cash flow Smart Money. Furthermore, the huge capital inflow of group investment funds Large organizations need from several months to several quarters to fully disburse a position does not disrupt the price structure. This intentional slow disbursement was unintentionally created Mechanical inertia: Already strong assets will tend to continue to strengthen in the medium term term.

- Control Fear of Loss with System Design (Loss Aversion

Management): According to Prospect Theory, human psychology is afraid The feeling of cutting losses is twice the joy of making profits, leading them to rather accept It's better to take the risk of incurring heavy losses to keep the hope of assets recovering than to press the button cut losses immediately. Dual Momentum acts as a life-saving Brake itself Circuit Breaker. The system completely takes away the right to make decisions by feeling your contact. When mathematical rules require cash withdrawals, you must do so current, thereby completely eliminating the risk of asset evaporation (Tail Risk - Swan Risk black) during the bloody Bear Market seasons.

- Real battle note: "Achilles heel" of system investors

To operate the Dual Momentum like a lazy money printer, you have to be ready Face the inherent disadvantages of time series mathematics:

- Lagging Effect: Because of using backward historical data

Going back 12 months, the system will react slowly to V-shaped reversals market suddenness (e.g., liquidity flash crashes). or too rapid booms from the bottom of the Great Depression). You will have to accept Lose part of the profit at the peak before the system tells you to sell, and buy a little higher at the bottom when the system confirms the buying trend.

- Whipsaw Trap: In an unknown market

direction, continuous jerking (Sideways), the system will continuously give false signals. You will falling into a destructive psychological loop: jumping in to buy and chase the market when prices increase Turn around, just press the stop loss button when the price drops, the market bottoms, leading to bankruptcy accounts are eroded mechanically due to transaction costs.

- The Discipline Challenge: The most difficult point of

When people operate this model, they are forced to sell everything ETFs/stocks are going green, giving very good returns just because of the scanning system End-of-cycle data points to another asset group that is seeing an overshoot in its ROC index superior.

- Advantages and Disadvantages

Advantages:

- Absolute asset protection against macro collapses: Guaranteed you will never

had to experience the feeling of splitting accounts in two during the great financial crisis thanks to the Absolute Momentum brakes.

- Operate comfortably, consuming little time: You only need to spend 15 minutes on the last day of the month or at the end of the quarter to scan data and restructure the portfolio according to the correct set of rules.

Disadvantages:

- Lackluster performance in a sideways market: Requires investors to be prepared

before the mentality of enduring a period of slight account decline (short-term Drawdown) when the Market enters the Sideways phase before catching a super trend wave new.

- Portfolio installation location: With absolute safety against the risk of asset decline

In the long term, the Dual Momentum strategy is the perfect backbone for you to structure

Creating a Core Compartment (Core) accounting for 60-70% of total assets, creating a stable financial foundation. Time to stand on the shoulders of giants!

- Real asset groups effectively apply Dual Momentum

Because this strategy requires extreme liquidity and the ability to represent lines large global capital, it maximizes its power when applied to a basket of index funds Global (ETFs):

- Global Equity Indexes: Coordinate rotation

capital between three large entities: Large-scale US equity ETFs (as represented by SPY S&P 500), Ex-US developed country equity ETF (such as VEA), and the Fund Short-term cash/bond ETFs (like BIL).

- Sector & Megatrend Stock Index Baskets (Sector & Thematic ETFs): Apply alternately

Capital flows between technology super-industries with high growth cycles such as Semiconductor ETF (SOXX), Information Technology ETF (XLK) and ETF Public Utility (XLU) defense.

- Multi-Asset Classes: Expanded map includes 4 asset groups

with low correlation: US stocks (SPY), Physical gold (GLD), Trust funds Real Estate Mining (VNQ) and Long-Term Government Bonds (TLT). 9) Multi-Factor Investing Built on the foundation of the Nobel Prize-winning works of Eugene Fama and Kenneth French, this is top-notch real-world strategy based on Character Modeling Asset structure (Structural Factor Modeling - Quantitative FA & TA). This type of strategy completely abandon emotional narratives to answer the question: Mathematical properties What learning helps assets produce sustainable superior performance (Quantitative Alpha)? by Mechanically score the entire market to find the ideal intersection point: Cheap (Value), Both quality and cash flow support (Momentum).

- School: Quantitative investing based on empirical evidence (Quantitative

Factor Investing).

- Core philosophy: Completely eliminate emotional narratives or statements

human subjectivity. This strategy views the market as a collection of "Factors" - structural properties that have been shown to be capable generate superior performance (Alpha) in the long term. The system conducts mechanical scoring the entire market to find the most ideal intersection: Both cheap (Value) and high quality The financial quality is extremely good (Quality), and it is just entering a bullish period (Momentum).

- How to do it & Core indicators

The system uses deep quantitative filters to establish a composite score (Composite Score), wipes away human subjectivity:

- Piotroski F-Score (Scale from 0 to 9): A comprehensive measure of financial health

The business itself is based on 9 strict accounting criteria (leverage measurement, bar accounts, capital resources and operating performance). Criteria: Only buy (Long) stocks with 8-9 points; stay away or sell short (Short) stocks scoring 0-2 points.

- EV/EBITDA (Enterprise value over profits before interest, taxes and depreciation)

AND FCF Yield (Free Cash Flow Rate): The duo represents the Value factor. Helps locate businesses with cheap valuations based on core and total cash flow Capital structure (Enterprise Value), eliminating accounting errors from the traditional P/E ratio.

- Gross Profitability (Gross Profitability) and ROE (Return on Equity

Ownership): The duo represents the Quality factor. Affirming edge sustainable competition through outstanding profitability performance on total assets and equity own.

- 12M Price Momentum (12-month price inertia): Represents the Momentum factor

(Momentum). Measure the rate of price change over the past 1 year to hedge stocks There is a clear upward trend, supported by large cash flows and avoiding the risk of burying capital.

- Mathematical foundations of probability

The mathematical nature of this strategy is based on the Fama-French Five-Factor Model (Developed and expanded from the classic CAPM capital asset pricing model): $R = \alpha + + + + +$ In particular, system structural risk variables include:

- MKT: Market Risk Premium.
- SMB (Small Minus Big): Scale factor (Small capitalization out-perform large capitalization).
- HML (High Minus Low): Value factor (Stocks with low P/B value out-perform stocks

growth stock).

- RMW (Robust Minus Weak): Quality factor (Enterprises have the ability to generate

High profits out-perform weak businesses).

- CMA (Conservative Minus Aggressive): Capital investment factor (Investing enterprise

Be careful of out-performing businesses overinvesting).

Algorithm operating mechanism: The system standardizes all raw market data field into standard score format (Z-scoreization). List of designs by status Market Neutral by buying the group with the composite score (Composite Score) and sell short the lowest score group, eliminating the variable coefficient common activity ($\Sigma\beta = 0$) to gain pure excess profit stream (Alpha).

- Behavioral psychology mechanism
- Eliminate the Market's two biggest emotional traps at the same time:

o Value Trap: Human psychology is easily anchored in superficial "cheapness" and gives up through internal rot. Quality and Momentum factors act as blocking factors mechanics, flatly reject cheap stocks but cash flow is evaporating and Price is in free fall. o Growth Blindness: Crowds are easily intoxicated by Narrative stories about the future (Narrative). Value factor (requires number price level and actual FCF cash flow) will pour cold water on the hot head, prevent paying an unrealistic price for an unrealized expectation verification data.

- Algorithmic coldness: Multi-factor models completely strip away "intuition",

The trader's "hunch" or "belief". It turns investing into a process cold treatment of data, with no room for pity or false hope.

- Note on real combat: When the advantage is flattened by the crowd

This highly quantitative model requires investors to strictly control systematic risks following system:

- "Factor Crowding" phenomenon: When funds are large and systematic

computers use the same source data set (for example, the same flocking Buy stocks with F-score = 9 and EV/EBITDA < 5), huge buying force will quickly quickly pushed stock prices up, disappearing the margin of safety and eliminating the mathematical advantage learning (Alpha) of that factor.

- Factor Cyclicality: No factor wins

in all macro contexts. There will be years when the Value factor wins big Momentum element is crushed (and vice versa). Therefore, the system must be realistic Rebalance periodically and strictly to readjust weight.

- Operational complexity: This strategy requires a clean, continuous data infrastructure

and good information processing and programming capacity. It's a lot more complicated than just Look at a technical chart or read a regular financial report.

- Advantages and Disadvantages

- Advantages:

- Absolute scientificity and objectivity: Completely eliminate mistakes due to emotions

caused by humans, delivering consistent and verifiable performance across calendar data Backtest.

- Optimal risk diversification: The portfolio does not depend on the success or failure of a few individual stocks but based on the combined strength of a whole set of factors.

- Disadvantages:

- Requires high-tech infrastructure: Difficult to apply in a standard way for houses

Individual investments lack Big Data filtering tools and information technology platforms.

- Category installation location: With large-scale portfolio management capacity and nature

Mechanical discipline, multi-factor modeling is the ultimate quantitative brain to install put into the Core or operate a sustainable family investment fund learn!

- Practical industry groups effectively apply Multi-Factor Investing

Because the multi-factor model requires a large Sample Space for scoring and mechanical sorting, this strategy maximizes efficiency when applied at scale entire market, especially sensitive in the following industry groups:

- Technology & Semiconductors industry group (Technology & Semiconductors): Place

The factors Quality (ROE > 20%) and Momentum (12-month price inertia are at the top market) converge most strongly in technological and technical boom cycles Accurate positioning of leading stocks (Leaders).

- Industrials & Basic Materials Industry Group (Industrials &

Materials): Capital-intensive industries often present private opportunities Value factor (EV/EBITDA is deeply below the historical average) when the cashew market adjusted, combined with the F-Score ≥ 8 filter to select businesses with financial structure the healthiest.

- Modern Consumer and Healthcare industry group (Consumer Discretionary &

Healthcare): Segment with stable cash flow, high gross profit margin (Gross Profitability stands tall). The multi-factor algorithm automatically scans this group to set

establish a high-quality defensive position for the portfolio when cyclical factors are different weakened. □ Group 4: Asset Allocation - Comprehensive portfolio optimization 10) Core & Satellite Category (Core & Satellite + Kelly) Summarized to solve the most difficult problem of current Investment Portfolio Theory (Modern Portfolio Theory - MPT), this is the ultimate real-world strategy to solve problems Trade-off between Desire to optimize profits (Alpha) and Fear of severe asset decline (Maximum Drawdown - Maximum capital loss). This strategy answers it completely for the question: How to allocate the overall capital ratio to preserve the Core and Go how much money per speculative position to optimize geometric asset performance (Satellite based on Kelly's Law)?

- School: Mixed structured investment combined with Quantitative Mathematical Trading (Hybrid Asset Allocation & Quantitative Position Sizing - Mixed Asset Allocation and Sizing quantitative position).

- Core philosophy: This strategy solves the most difficult problem of Name Theory

Modern investing: The trade-off between the desire to maximize returns (Alpha) and risk Fear of serious asset decline (Maximum\ Drawdown). By separating assets into two independent compartments and control the position size of the adventure compartment with work Strict mathematics, this portfolio allows investors to both "attack". strong" in technology super trends, while having an impossible "protective shield". penetrated.

- How to do it & Core indicators

Multi-layer risk monitoring system strictly controls the asset curve (Equity Curve), Ensure balance between attack and defense:

- Core/Satellite Ratio (Core/Satellite allocation ratio): Fixed capital allocation ratio

principle between two separate compartments. The standard for classic combat is 60%-70% for the Core compartment and 30%-40% for the Satellite compartment.

- Sharpe ratio (Sharpe Ratio) of total portfolio: A measure of profitability performance above one risk unit. The ultimate goal of this combination is to push up Sharpe's coefficient

the entire property to a much higher level than just standing alone in one compartment individually.

- Maximum Drawdown: Distance measurement index

the percentage from the account's highest peak to lowest trough in a variable period used to test the limits of investors' psychological tolerance.

- Beta coefficient of each compartment: Measures the sensitivity and fluctuation level of each compartment compared to the general market index (such as S&P 500 or VN-Index).

- Rebalancing Trigger (Rebalancing activation threshold) $\pm 5\%$: Amplitude deviation threshold

to enable the automatic catalog restructuring command. If the Satellite cavity grows too strong and expanding to account for $> 45\%$ of the total portfolio, the system will automatically force you to "reap profits" mechanically in Satellites to bounce back to the Core, locking in profits safely.

- Mathematical foundations of probability

The quantitative power of this strategy is based on the combination of financial system coefficients property and Kelly's Geometric Cumulative Growth Law (Kelly Criterion) for process optimization position model:

- Kelly's Law of optimal position size (f^*): To determine the exact percentage of capital

of the Satellite compartment is allowed to disburse to a specific investment without anvil threatening the survival of total assets, the system applies the formula: $f^* = W (1 - W)/R$ In which: f^* is the optimal capital percentage extracted from total portfolio assets to solve funds on a single trade (optimal capital ratio for satellite accounts), W is actual winning probability based on historical data (Win_rate); and R is the Profit/Loss ratio average when closing position ($\text{Avg_win} / \text{Avg_loss}$).

- Core mathematical reason: Kelly's formula finds the mathematical and physical equilibrium point

The idea is to help the portfolio achieve Maximum Geometric Cumulative Growth Rate (Maximum Geometric Growth Rate) in the long term. It maximizes the property magnification rate when A string of winning orders appears, and automatically reduces the size of the bet when a string is encountered losing order to protect balance.

- Behavioral psychology mechanism
- Exploiting and Controlling Prospect Theory: Professor Daniel

Kahneman has proven that people have a strong Loss Aversion mentality Double the fun of making a profit. When a portfolio is 100% growth stocks If you risk a 30% decline, the pressure of panic will break all your reason, forcing you to sell

Immediately remove the bottom of the adjustment span. Core & Satellite models solve the problem This is by anchoring yourself psychologically to your solid Core cavity – where your assets are Extremely low volatility, acting as a "safe anchor" to keep you alert to give make the right decisions in the Satellite compartment.

- Satisfying human Action Bias: The nature of the mind

Human logic is very uncomfortable with having to sit still (DCA is too relaxed in the Core compartment easily causes boredom, urging them to trade carelessly and destroy discipline). Satellite Compartment Acts as a "controlled playground" - where you can satisfy your passion Technical analysis, scalping, finding high-performing super stocks without doing anything harms the family's long-term financial foundation.

- Notes on real combat: "Over-betting" pitfalls and "Half-Kelly" solutions

This system requires a high degree of discipline to control receiving errors practical knowledge and mathematics:

- Overconfidence Bias on Win-rate: Big weakness

The advantage of the Kelly formula is that it is absolutely sensitive to the input parameters (W and R). In real trading, the market fluctuates continuously, and traders often tends to be overconfident, pushing the probability of winning W higher than it actually is based on short-term sentiment.

- The fierce destruction of Over-betting: Mathematically, if it works

Kelly's formula calculates $f^* = 20\%$ of satellite capital, but you greedily increase the order level to 30-40%, your wealth curve will plummet exponentially. Just need one A series of consecutive losing orders appears (Bad streak), the account will fall into a status Severe loss of assets (Destructive Drawdown) and permanent loss of recovery ability far.

- Actual solution "Half-Kell y" (Half the Kelly ratio): To compensate for the main error

human perspective and randomness of the Market, funds and professional traders never go 100% Kelly ratio. They apply Half-Kelly (disbursement only equal to 50% of the calculated f^* value). This only slightly reduces the growth rate peak but in return, it reduces the volatility (Volatility) of the account and creation by up to 50%. creating an extremely soft, safe margin for your sleep.

- Advantages and Disadvantages

Advantages:

- Optimize performance without sacrificing safety: Help accounts just take advantage

enjoy the resilience of technology super stocks, while also having a shield to protect assets impenetrable in the face of crisis.

- Excellent psychological balance: Relieve traders' thirst for active trading

but keeps risk completely within a circle of quantitative control. Disadvantages:

- Require accurate historical transaction data: If you are a new investor who does not have one yet

statistical trading log long enough to determine your actual W and R coefficients, Kelly formula will have large errors.

- Complexity in periodic management: Requires continuous monitoring of the coefficient of variation

and execute strict portfolio rebalancing orders when the bins are overrun prescribed threshold.

- Actual asset groups apply to each compartment

- Core Compartment (Core - Accounts for 60-70% of capital weight):

o Objective: Create a solid foundation, linear growth, low volatility ($\beta \sim 1.0$). o Real assets: Large low-cost index ETFs (like VOO that tracks S&P 500, VTI tracks the entire US market), sustainable growth dividend ETFs sustainable (like SCHD), or a basket of Blue-chip stocks that lead the economy with cash flow thick face.

- Satellite compartment (Satellite - Accounts for 30-40% of capital weight):

o Objective: Hunt for outstanding profits (maximum Alpha), accept high volatility ($\beta > 1.3$). o Real assets: Stocks belonging to upstream Megatrend industry groups (Lower AI data layer, Semiconductor technology, New generation nuclear energy), super ancient CANSLIM-filtered Momentum stocks, or options filter. 11) Risk Parity - All Weather Portfolio (Risk Parity - All Weather) Perfectly designed and operated by Ray Dalio and the world's largest hedge fund Bridgewater Associates, this is the ultimate real combat strategy based on the Balance map macro structural fluctuations (Structural Volatility Balancing - macro FA & TA). Strategy

This completely breaks the illusion of human prediction to answer the question: Construction How to structure assets so that the portfolio automatically generates sustainable, smooth profits EVERY macroeconomic scenario (Quantitative Risk Balancing)?

- School: Structural risk management and Quantitative Asset Allocation (Quantitative Asset Allocation & Risk Management - Asset Allocation and Quantitative Risk Management).

- Core philosophy: Completely eliminate forecasting what tomorrow's economy will be like. Model

This acknowledges a reality: Every financial asset is either raised or destroyed by two macro variables: Economic growth and Inflation. Instead of allocating categories According to Capital Weighting, Risk Parity is allocated based on Volatility Volatility Contribution, establishing a self-balancing structure mechanics to create sustainable profits despite all weather conditions of the economy.

- How to do it & Core indicators

Quantitative risk matrix monitoring system continuously scans market data for real performing mechanical self-balancing:

- Standard Deviation (σ - Standard Deviation) for each asset: Calculate the measure of variation

Historical performance of each core asset group (Stocks, Long-term Government Bonds, Physical Gold, Raw Commodities) in short, medium and long time frames term (30, 90, and 360 days).

- Correlation Matrix: Closely monitor the same displacement coefficient

direction or opposite direction (from -1.0 to +1.0) between asset pairs, ensuring diversity Optimized so that the compartments compensate for each other's losses.

- Covariance Matrix (Σ - Covariance Matrix): Ultimate input for the division algorithm

nutritious. This is a mathematical quantity that simultaneously combines individual volatility (σ) and systematic correlation of the entire portfolio.

- Sharpe Ratio of the total portfolio and Maximum Drawdown

maximum asset reduction): A pair of vital indicators used for backtesting and maintenance Maintaining a stable, smooth growth of the Equity Curve over the decades century.

- Mathematical foundations of probability

The quantitative nature of Risk Parity lies in solving complex systems of matrix equations to Equal Risk Contribution from each asset, instead Allocation according to capital:

- Formula to calculate Risk Contribution (RCi) of asset i:

$= \frac{1}{\sum w_i} \sum w_i \sigma_i^2$ In which: w is the capital density matrix; wT is the capital displacement matrix; and Σ is the risk covariation of the entire portfolio. System optimization mathematical rules: Algorithm automatically runs to solve star equations so that the risk premium contribution of all assets is exactly equal: $RC1 = RC2 = \dots = RCn$

- Mechanical operating mechanism:

o Assets with naturally low σ volatility (like Bonds) □ Algorithmic granting a very large proportion of capital (even applying financial leverage to amplify profit margin is equivalent to the stock price).
o Assets with naturally high σ volatility (like Stocks, Gold, Commodities) □ The algorithm forces down the capital density to a low level so as not to reduce overall assets.

- Behavioral psychology mechanism
- Exploiting and Controlling Macro Overconfidence Bias (Overconfidence Bias on

Macro Forecasting): People always tend to have illusions about forecasting ability your own. Traditional and individual fund managers continually place bets Treasury Department to "guess" whether the Fed is about to raise or lower interest rates, inflation has peaked Not yet, or when the recession will come. As a result, they constantly fall into emotional and conductive traps to the act of buying at the top and selling at the bottom when the macro structure unexpectedly reverses.

- Thinking acknowledges the limits of human intelligence: Risk Parity exploits errors of perception

This method is by staying out of the prediction game. Instead of guessing the day's weather Whatever happens tomorrow, it builds an All-Weather shelter bunker. When a decline chamber (e.g., a recession causes stocks to plummet), a reciprocal chamber (eg long-term bonds increase in price) will automatically trigger mathematical dampers to compensate perfect loss, freeing investors from the psychological pressure to follow the news sensational every day.

- Note on actual combat: Death point "Correlation cable broken"

The All Weather model is a defensive masterpiece, but it possesses two systemic risks severity that you must understand when operating:

- Leverage Risk: Because government bonds are volatile

Natural volatility is very low, if financial leverage (Leverage) is not used to exaggerate As the capital size of this section increases, the total profit of the entire portfolio will be extremely light

blurred and unable to overcome long-term inflation. However, the use of blows Leverage always comes with capital costs (Margin interest) and liquidation pressure if the market have extreme liquidity fluctuations.

- Correlation Breakdown: This is the big death point

of the model, which occurred during the period of historical monetary tightening (like 2022). When the central bank raises interest rates at too fast a rate and shock to quell inflation, both Stocks and Bonds were sold off strongly at the same time at. At this time, the traditional negative correlation coefficient is broken and turns into correlation positive (Stock-Bond correlation increases sharply), making the mathematical shield complete is completely disabled and the portfolio suffers a decline in assets (Drawdown) unexpectedly large.

- Advantages and Disadvantages

Advantages:

- Extremely low volatility, super smooth asset curve: Brings a good night's sleep

meaning for investors in the face of any major macro crisis or war ear.

- No operating time: Completely eliminate pressure on electrical panels or tables

Research complex financial reports, automatic self-balancing system. Disadvantages:

- Profitability performance is not sudden: Because of its nature as a comprehensive defense portfolio, it

will grow slowly like a tank and be completely outstripped by the older group Growth Investing or CANSLIM when the market enters a super market Technology Uptrend cycle.

- Category installation location: With the nature of safety, durability and immunity to time,

The Risk Parity - All Weather strategy is the strongest foundation to build Create a Core Compartment (Core) accounting for 60-70% of total assets, helping you preserve your career and comfortably go through all the storms of the global economy!

- Structure of 4 actual asset compartments according to the Macro scenario

The All Weather model divides assets equally based on risk weight (25% risk for each environment), representing two main drivers of the economy: Growth Economy (Growth) and Inflation (Inflation):

- Compartment 1: Economic growth higher than expected (Rising Growth): Economic period

The economy boomed, businesses expanded production.

Allocated assets: Common stocks (Equities), Growth stocks, Commodities (Commodities), Corporate credit.

- Compartment 2: Economic growth lower than expected (Falling Growth): Economic period

economic recession and freeze. Allocated assets: Long-term government bonds (Nominal Bonds), Anti-bonds inflation (TIPS).

- Compartment 3: Inflation higher than expected (Rising Inflation): Period of money loss

Prices and commodity prices escalated. Allocated assets: Physical gold (Gold), Raw commodities, Anti-inflation bonds (TIPS).

- Compartment 4: Inflation lower than expected (Falling Inflation): Deflation period or

Inflation cooled and stabilized. Allocated assets: Common stocks, long-term government bonds. Summary Below is a summary comparison table of 11 popular real-life investment strategies. Time Strategy Group Core question Fraud index Where does advantage come from keep Value Price is lower than P/E, P/B, 3-10+ Market reaction Investing real value? FCF Yield year is excessively pessimistic Determine GARP Growth PEG < 1.5 1-3 Anchoring bias Is the price being priced at a great P/E? Low intrinsic? opposite to Dividend Durable Dividend Div Yield, 5-30 Compound interest + buy under Steady growth and cheap annual FCF Payout value no? Growth Business has EPS CAGR, 1-5 Short market Increase Investing growth exceeds TAM year-end limit of strength dominant? Strong compound interest & Owner CANSLIM Is this super RS > 80, Week - Herd effect + Stock topic is increasing EPS Accel month anchored at the peak of the calendar break? history

Time Strategy Group Core question Fraud index Where does advantage come from keep Pick & Who will definitely Backlog, 1-5 Conclusion bias Shovel / benefited real Network N^2 five results caused the crowd Megatrend tells who wins? Ignore the platform Cycle This industry is at industry P/E 6 Near bias Investing at the bottom of the cycle? vs historical month - this makes the market 2 years of bad news lasted Dual Which asset is ROC 12M Months Price trend has The Momentum dynamic is the strongest and has - ongoing noble properties absolute amount of momentum? & Technical Multi- Which stock is good F-Score, Quarter - Risk compensation Factor technique is best when looking at the year-to-year EV/EBITD contract from many factors multi-dimensional time? A resonance element Core & How to balance Sharpe, Mixed Beta Optimize price Satellite stability and opportunity? reasonable expectations Feces (EV) equals Kell y nutritious Asset Risk Parity How Volatility, Long Diversification Works good in all Covariance scenarios according to risk, no economic version? capital only Through strategies from Intrinsic Valuation, Growth, Momentum to Structural models Modern risk architecture, hopefully you have turned investing from an emotional game into one The scientific system has profound calculations. Naturally, in addition to these strategies there are still countless others strategies of experts, Wall Street "wizards" that we can find everywhere, from books, internet, social networks, advertising... The important thing is not to collect enough items This strategy, let's find out which is the most suitable strategy for yourself. Always keep it a cool head, obeying mathematical discipline and operating this framework consistently to turn All market fluctuations turn into profit. Sincere advice for newbies: Investing is not about trying to prove you are smart smarter than the market. Start by choosing a pillar that you understand best (e.g. like When reading the financial report, select Value/Growth; If you like looking at graphs, choose Trend). Once Once you master that pillar, you can begin to "put" other pieces together to create one Unique customization system, suitable for your psychology and time.

4.2. Capital and risk management strategies

□ Group 1: Capital management system 1) Kelly's Law (Kelly Criterion) - Optimize position size Developed by physicist John L. Kelly Jr. at Bell Labs in the year 1956 (later applied by the legendary Edward Thorp to take down Blackjack casinos and sweep the financial market), this is the most classic quantitative strategy that helps optimize "Trade-level Capital Efficiency" (Trade-level Capital Efficiency). Chien This strategy solves the vital problem at the root of capital management: How much to bet percentage of money invested in a single specific opportunity to achieve cumulative asset growth The fastest solution that completely eliminates the risk of bankruptcy (Risk of Ruin)?

- Principles: Quantitative Risk Management and

Dynamic Position Sizing.

- Core indicators & Tracking standards

To operate this probability calculator, investors do not look at the graph carefully technical or macro news, but only strictly monitors the 3 internal parameters of the system itself Personal trading system:

- W (Win-rate - Probability of winning): The ratio of the number of profitable orders to the total number of orders closed in the past.

- Data standards: Requires a minimum sample space of 50

to the 100 most recent deals to ensure statistical stability and eliminate chance factors short term.

- R (Average Profit/Loss Ratio): Average profit value of winning orders divided

gives the average loss amount of losing orders (Avg Win/Avg Loss). (Note: This is The actual number comes from the trading log, not the theoretical expected rate when placing an order).

- Standard deviation of the Asset Curve (Variance/Volatility): Amplitude of fluctuation and

The amount of fluctuations in the account caused by large amounts of money.

- Mathematical foundations of probability

The quantitative power of Kelly's Law is based on optimizing the Growth Function Maximum Geometric Growth Rate of capital flows over a series Repeated testing is independent. 1) Full Kelly's Law Formula: $f^* = W(1 - W)/R$

- In which: f^* is the optimal capital percentage extracted from total portfolio assets to solve funds in a single transaction.

- Mathematical nature: This formula finds the ultimate Sweet Spot on the road

growth curve. If you take money lower than f^* , the asset grows below potential. If you go in excess of f^* , the downside risk of the asset will cancel out the mathematical advantage, drag The yield curve goes down exponentially. 2) Practical quantitative example: Your trading system after 100 statistical orders has a win rate of $W=0.55$ (55% win) and average profit/loss ratio $R=1.8$. $f^* = 0.55(1-0.55)/1.8 = 0.155/1.8 = 0.086 \approx 8.6\%$ 3) Fractional Kelly: Fractional Kelly: Because the market is random and people always tend to make mistakes: Overconfidence (Overconfidence Bias), applying Full Kelly often leads to declines Assets are extremely fierce if they have a series of consecutive losing orders (Bad Streak). The standardized real battle map divides the bet size into 3 insurance segments: o Full Kelly (100% f^* - Theoretical maximum growth): Provides talent velocity mathematically the fastest clause. However, the fluctuation (Variance) of the asset Accounts will be extremely fierce, assets may suffer severe declines (Drawdown 50-70%) at any time. Not recommended for fish investors multiply. o Half-Kelly (50% f^* - Optimal recommendation): The ultimate real combat solution. Rather Because if you spend 30% of your capital like the example above, you only spend exactly 15% of your capital. In return, you get to keep it up to 75% of the peak growth rate of Full Kelly but with a reduction of up to 50% degree account fluctuations. This is the perfect buffer zone for your psychology and safety capital source. o Quarter-Kelly (25% f^* - High safety zone): Only disburse 7.5% of capital per transaction. Suitable for newcomers to the market and trading system

has not been thoroughly tested through Market seasons (Backtest is not deep), or when you are testing a new strategy on the floor.

- Behavioral psychology mechanism
- Eliminate spontaneous greed and Over-betting Syndrome: When investors win

3-5 consecutive commands, the nervous system will secrete Dopamine causing excessive excitement, creating illusion I thought I was invincible and automatically increased the scale of my money making to a very large extent right in the area system cycle peak. On the contrary, when you lose several orders in a row, fear will take over. They cluster and miss opportunities with the highest probability of eating. Kelly formula stripped purely emotional, forcing the trader to move money like a machine based on cold probability strange.

- Solve the problem of "Overconfidence" thanks to Fractional thinking (Capital segmentation): Job

voluntarily retreating to play Half-Kelly or Quarter-Kelly is a behavioral action intelligent, recognizing the limitations of human intelligence in the face of randomness market, protect your account and survive periods when the system is out of phase with Market (Short-term Drawdown).

- Note on actual combat: Death point "Illusion Yang Edge"

Kelly's Law is a state-of-the-art mathematical weapon, but it has an "Achilles heel" deadly is directly related to the input data:

- Short-term sample bias (Small Sample Bias): Many traders just surf the winning wave

continuously during the Uptrend season, seeing statistics of 10-20 orders. Seeing that $W=70\%$ and $R=2.0$, I excitedly applied Kelly's formula to make big money. Here it is suicidal behavior. When the market changes phase to Sideways or Bear, the systems. The actual W and R numbers will drop dramatically. If you still keep the large bet size, success Kelly's formula will come back to wreak havoc, shredding your account at galloping speed exponentially.

- Rules of survival: Always use statistical data throughout both rising and falling seasons

market down season to get the most accurate input data. If not sure, always defaults to operating at Half-Kelly or Quarter-Kelly.

- Advantages and Disadvantages

Advantages:

- Optimize asset geometry growth rate: Is the only formula that helps launch

Increase account size to maximum based on the system's mathematical advantage (Edge). transaction.

- Completely eliminate bankruptcy risk: Theoretically, Kelly formula will automatically collect

shrink the size of your money to a smaller size as your account decreases, ensuring you don't lose money can now be wiped out (Risk of Ruin=0). Disadvantages:

- Requires serious discipline and statistical capacity: There is no room for laziness

lazy. You must keep a clean, detailed transaction diary Continuous calculation of W and R parameters.

- High asset volatility: If you do not use a damped version like Half-Kelly, pressure

The force of seeing your account fluctuate with each order will break the psychology of godly people weak menstruation. 2) Dynamic Capital Allocation System (Dynamic Allocation) Established based on the top asset management thinking of macro fund operators Globally, this is a real-world strategy operating at the level of "Entire system portfolio management (Portfolio-level Capital Preservation). This strategy addresses your biggest acupuncture points Individual investors: Always Full-Invested Bias Syndrome. System The system provides a mechanical answer to the question: When is it necessary to defend defensively? preserve the inheritance and When is it allowed to launch a macro attack (Portfolio-level Risk-on/Risk-off)? through adjusting the Cash and Assets ratio based on filters for objective data, instead of emotions.

- Principles: Strategic Portfolio Management and Definition

Market Regime Switching.

- Core indicators & Tracking standards

The system monitors and continuously scans macro and technical indicators of the general market (Index) to accurately position the environmental phase (Market\ Regime):

- MA200 (Moving Average - 200 session moving average): Measure

The life and death boundary separates the long-term uptrend (Uptrend) and the downtrend long term (Downtrend).

- VIX index (CBOE Volatility Index - Measure of panic sentiment): Measures the level

Expected volatility and independent sentiment of the Market (high VIX = panic extreme disorder; Long-term low VIX = subjectivity, excessive excitement).

- Market Breadth: Percentage of stocks above

Major trend lines (MA50, MA200) to check the quality of the trend are Is the cash flow really widespread or is it just a phenomenon of "green on the skin and red on the inside" (pulling the virtual pillar to discharge category).

- Valuation standard deviation ($P/E \sigma_{score}$): The position of the current market-wide P/E ratio

compared to the historical average value (μ) to quantify the expensive/cheap level of the financial bubble product.

- How to do it & Basis of Probability Mathematics

The mathematics of Dynamic Allocation is based on the theory of Normal Distribution of Pricing (σ - Degree standard deviation) and the principle of asymmetric risk transition. To completely eliminate the spontaneous "greed" or "fear" emotional factor, the financial structure ratio Total output must be mechanically adjusted according to the following Actual Status Filter Table: Stool ratio Phase Signs of receiving assets Core action strategy The market knows the quantitative promotion system recommendation Index works fine. Total attack: Dark activation set on MA200, 80% – 100% multi-cavity Venture satellite, pressure Strong Bull VIX index < 15, Stock uses strong strategies

- Accumulated market breadth magnifies performance

development (0% – 20% Cash Breadth such as CANSLIM and Growth large). Investing. Market P/E Actively withdraw: Take all the blows Exceeding 60% - 70% leverage (Margin), gradually reaping profits in codes Bull peak - threshold $+1\sigma$ calendar Speculative stocks belonging to the Satellite and dam compartment Be careful, the VIX index < capital returns to the Core room Bubble 12 lasts too long (30% – 40% prime (Quality / Value / Dividend) (Subjective psychology Cash) has the ability to value peak). (Pricing\ Power). Puncture index Automatic circuit breaker (Circuit Bear catches the MA200 line going 30% - 50% Breaker): Stop all activities top - down, appear Stocks bought to chase growth, locked tight Crossover signals from defensive positions have variable coefficients

Death Cross (50% – 70% low dynamic ($\beta < 0.8$), ohm amount maximum between MA50 and M Cash) large amounts of cash are kept waiting for the storm to pass. A200). Calculated Greed Panic Index: Activated VIX disorder > 35 , Disbursement re-thinks Value Investing and Cycle Deep Bear - Index drops deeply $>$ buy gradually Investing. Divide capital into deep pockets Accumulating 30\% from the peak, cash flow collects "Cheap and hated" assets in Huge opportunity, media floods, reserves at the bottom, priced at the same price Phased Entry (Averaging bankruptcy. Down).

- Behavioral psychology mechanism
- Breaking the herd mentality effect and FOMO pressure: Human nature is very susceptible

emotional assimilation by the surrounding crowd. When the market is at its peak excited, everywhere you look there are people making profits, the brain will be activated with intense greed, forcing you to put the last coins into the floor right at the top. System The dynamic allocation system operates like a cold programming machine. Indicators objective ($P/E > +1\sigma$) acts as a command forcing you to "Fear one scientific way" and withdrew troops to defend when the crowd was drunk with blood.

- Realizing Warren Buffett's principle with quantitative numbers: Everyone belongs

classic saying: "Be greedy when others are fearful", but the odd 99% will fail fail because they are "greedy" with intuition and feeling (leading to catching a falling knife top of the potty). This strategy offers Physical Data Milestones ($VIX > 35$, Index reduced by $>30\%$) to turn crowd panic into a behavioral trigger point Buy and collect assets logically and safely.

- Real battle notes: Discipline to withdraw cash and accept being outnumbered in the short term

Operating a dynamic allocation system requires an extremely strong psychological strength to overcome through the following practical barriers:

- Accept the loss of part of the profit in the fishtail area: When the system signals "Bull

peak" and forces you to withdraw 30-40% of your assets to defensive cash and the market on the floor It is entirely possible to continue to increase wildly by another 5-10% due to initial cash flow price pusher. At this stage, you will be under great psychological pressure when you see your account Mine grows slower than the crowd out there. You must accept to give up

the bony profits in the fishtail area in exchange for absolute safety for the whole body long-term inheritance.

- Death points from manual intervention: The system will completely collapse if the owner invests

Let your emotions override the rules. When the market penetrates MA200 (Bear starts), if You fool yourself with subjective reasons for not lowering your stock ratio stocks, you will pay the price by seeing the entire season's profit results The previous Uptrend was completely burned down.

- Advantages and Disadvantages

Advantages:

- Ultimate inheritance protection shield: Make sure your total portfolio is intact

now have to suffer a devastating decline in assets (Maximum Drawdown) when there is a boom economic crisis occurred.

- Holding an absolute advantage in Liquidity: Owning a huge amount of cash

huge (50-70%) at the bottom of the bear market (Bear Market) turns you into a hunter Full right to live and kill, freely choose the best quality assets at reasonable prices Very cheap liquidation discount price. Disadvantages:

- Failure to optimize 100% performance in steep acceleration waves: Due

always keep a defensive ratio and retreat early when there is a risk signal, the total performance of You will be somewhat "smooth and durable" rather than fiery and highly speculative like All-in full Margin traders. □ Group 2: Order entry strategy 3) Phased Entry Method Drawn from the bloody industry of Richard Dennis (father of the legendary Turtle Traders - Turtle Trading System) and Jesse Livermore, this is a real battle strategy Optimize disbursement behavior to handle the biggest risk of every trader: Pressure at the wrong time (Timing Risk). This strategy strips away the "all-or-nothing" gambling mindset of paying Answer to the question: How much should be disbursed at each step to preserve capital at the same time wrong, just overstating profits when right (Position Sizing based on confirmation structure)?

- Principle: Position Risk Management (Position Risk Management - Scale risk management)

and Optimize disbursement behavior (Execution Strategy).

- Core indicators & Tracking standards

The system operates not based on stock sentiment, but based on columns Cold technical and fundamental milestones to activate each piece of capital:

- Position Sizing Total - Total position size: Total block

the amount of capital expected to be allocated to a stock (for example, a maximum regulation of 20% of the total portfolio assets).

- Minimum Profit Buffer for Pyramid (medium strategy

bullish price): Minimum account green bullish amplitude +3% to +5% from instant buy position before being allowed to activate the next buy order.

- Technical volatility (Technical Retracement): The level of decline

Testing of hard support areas (MA20, MA50 or border below the price base) When fundamental analysis (FA) remains unchanged, it is used to trigger a buy order when falling.

- Trailing Stop - Dynamic stop-loss order: Automatic stop-loss line

Progressively move up the cost price step by step to protect the total allocated capital (Total Capital).

- How to do it & Basis of Probability Mathematics

The mathematical basis of the partial order entry method is based on the formula for calculating Cost Price Weighted Average Cost and asymmetric risk management principle – Minimize the amount of capital at risk (Capital at Risk) when the market turns unexpectedly. The system establishes the principle of dividing capital into 3 independent parts ($1/3 + 1/3 + 1/3$): 1) 1st time: Pilot Position (Initial / Pilot Position - $1/3$ Position)

- Timing: Disbursement immediately at the cumulative price base of depleted supply or at a discounted pricing zone

deep stage.

- Mathematical meaning: If the market crashes immediately and you have to cut your loss by 7%, level

The actual loss on total portfolio capital for that stock is just: Actual loss = $7\% \times 1/3 = 2.33\%$ □ Extremely safe 2) Second time: Confirmation Order (Confirmation Position - $1/3$ Position)

- Timing: Disbursement when the technical chart (TA) shows a signal confirming large cash flow

(Breakout from Pivot point for Trend Following or Successful bounce from support Hard support for Value Investing).

3) 3rd time: Full position order (Scale-in Position — 1/3 of the last position)

- Timing: Disbursement when super stocks are on the run and have a growing trend

Clear setup on major timeframes. Overall average cost price (P_{avg}) = $(P_1 + P_2 + P_3)/3$

- Core mathematical reason: This method creates a safe capital curve

Depending on the action strategy: o If you place an order using the Buy Increase strategy (Pyramiding): $P_2 > P_1$, average cost price The average increases, but in return your win-rate skyrockets because of the coins The upward trend has been confirmed by the market. o If you place an order using the Buying Down strategy (Averaging Down): $P_2 < P_1$, cost price average is optimally reduced, creating a Margin of Safety Safety) is extremely wide when the stock turns and breaks out.

- Behavioral psychology mechanism
- Eliminate Overconfidence Bias: Traders often have coins

tend to have the illusion that they have the ability to read the market and "buy in one shot." right at the bottom". All-in 100% capital in a single order creates psychological pressure puts pressure on the nervous system. If the price falls slightly, panic will trigger, breaking every reason. Phased Entry forces you to admit: "I don't know if the price will increase tomorrow or down, I let the market prove itself right or wrong through price action."

- Relieve Action Bias and Loss Aversion

Aversion): The disbursement of 1/3 of exploration capital acts as a psychological pressure release valve. It helps you both get on board so you don't feel left out (FOMO), and keep it leaving 2/3 of the cash as a "state-of-the-art weapon" to proactively handle in all scenarios by Market.

- Note on actual combat: Two mandatory principles of survival

1) Pyramiding Strategy (Add position when increasing) - Only applies to Trend Following / CANSLIM:

- Absolutely only increase the amount of capital (Scale-in) when the previous position is available

green profits.

- Apply the discipline of the Turtle system: The capital size of the following orders must be equal

or less than the previous order (for example: 1/3 □ 1/3 □ 1/3 or 50% □ 30% □ 20%). Absolutely prohibit the inverted pyramid move (10% □ 30% □ 60%), because only one

Short-term slight correction in the peak area will immediately cause the average cost price to be pulled up too high. Immediately burn all your profits. 2) Averaging Down Strategy (Buy more when reduced) - Forbidden area and strict conditions poor:

- Absolute prohibition zone: Buying average down prices for stocks is strictly prohibited

Speculators, junk stocks, or stocks that are breaking the trend are pushed aside without a foundation basic supporting foundation. This is the behavior of "sawing table legs" - the leading cause to bankruptcy very quickly.

- Allowed conditions: Only applies to Value Investing or GARP schools,

when you have analyzed, evaluated in-depth and firmly confirmed the background yourself. The internal foundation of the business (Fundamental Analysis - FA) is still extremely good, cash flow. The reality is still expanding, and this decline is entirely due to technical factors and panic. Short-term turmoil of the general market or temporary liquidity squeeze cycle □ "Cheap hated" (Buy in bulk).

- Advantages and Disadvantages

Advantages:

- Optimize permanent risk management: Absolutely protect the safety of total capital flows,

Never fall into the "dead standing" state of watching your account split in half because of a trap. Timing in the peak region.

- Maintain psychological initiative: Turn short-term market fluctuations into positive results

Milestones of data can be calculated for disbursement, instead of praying for luck. Disadvantages:

- Not optimal performance during super wave. Flash increase: If a super stock

V-shaped breakout and continuous increase to the ceiling without correction or cumulative price base. On the contrary, dividing capital into 3 parts will prevent you from entering the expected position in time, leading to. The total profit level (Total Return) is lower than going All-in right from the bottom. You catch forced to accept a partial exchange of efficiency for absolute security for the business long term. Additional information on Pyramid Up and Averaging Down. 4) Strategy of buying positions when prices increase (Pyramiding Up Strategy)

This strategy completely breaks the natural human instinct of "liking to buy cheap things". It helps answer a brave question: How to increase capital size to the maximum level Maximum when the market proves your thesis is CORRECT (Capital Scaling on Validation)? to eat the entire fish body of a super growth wave without disturbing it Confusing the safety structure of total assets.

- Turtle Traders Core Logic & Weight Decomposition Structure

Retail investors tend to like to buy more when the price drops because their psychology is anchored in "cheapness". But the Turtle system defines: Price increase is the only measure that confirms the position of you are right. When the market is giving you a profit cushion, that's when it's allowed to increase capital. To protect the portfolio against the risk of reversal at high price areas, the outflow structure is required must gradually narrow down in a pyramid shape (40% □ 30% □ 20% □ 10%): [1st time: Breakout] □ 40% Capital (Initial activation point - No interest cushion) [2nd time: Confirmation] □ 30% Capital (Price breakout +N times ATR) [Third time: Continuing] □ 20% Capital (Deeply established growth momentum) [Time 4: Acceleration] □ 10% Capital (Only when the trend is extremely strong) Explanation:

- 1st time - Initial Breakout Point (Initial Entry - 40% of position): Volume disbursement

largest as soon as the price breaks out of the cumulative price base or exceeds the top of the box. At this stage, you do not have an insurance profit cushion, so you must control it Strict initial bet size.

- 2nd time - Confirmation Entry - 30% of position: Activate the prize

when the price continues to grow a distance equal to N times the ATR indicator (N x ATR). Trends begin to prove your thesis correct.

- 3rd time - Continuation Entry - 20% of position: Stuff more

capital when the upward momentum shows clear strength across time frames and cash flows Whales stepped in to push prices aggressively.

- 4th - Acceleration Entry - 10% of position - Optional:

Only performed when the super stock enters the steep sprint phase. Scale away the smallest amount of money because the average cost price has now been pulled up, the risk of being regulated adjustment is the largest.

- Quantitative Mathematical Simulation: Circuit breaker mechanism for stage drop risk

The fatal point of the Buy Increase strategy is if the average cost price is pulled up too high, only A short-term correction at the peak will immediately burn the entire wall profit results. The Turtle System solves this problem with the Stop-loss lifting mechanism Dynamic Stop-loss Synchronization. Assume the system operates with super stocks with physical volatility index $ATR = 2,000$ VND. The initial stop loss rule is hard set at $-2 \times ATR$ below the most recent purchase price: Process of shifting risk management coordinates:

- Stage 1: 1st Buy at price 50,000 VND □ Set initial Stop-loss point:

Stop-loss = $50,000 - (2 \times 2,000) = 46,000$ VND

- Stage 2: The price breaks out on the right upward path, the system activates the second purchase at the price 52,000 VND. o Required action: Raise all Stop-loss points of both positions 48,000 VND mark. o Mathematical analysis of insurance: If Market suddenly turns the car and crashes mark 48,000 VND and activate a full stop loss order: First Time Profit = $48,000 - 50,000 = -2,000$ VND Second loss = $48,000 - 52,000 = -4,000$ VND Note: When calculating by weight of capital volume decreasing (40% and 30%), total The actual loss is brought to the strategic Breakeven level or a slight, insignificant loss. The second position completely eliminates the possibility of taking advantage of the account's security total.

- Stage 3: Super stocks enter the sprint, the system activates the 3rd purchase at price 54,000 VND. o Required action: Continue to move the translation, raising the entire Stop-loss to the 50,000 VND mark. o Mathematical analysis of insurance: If the market crashes and breaks the 50,000 VND mark: First Time Profit = $50,000 - 50,000 = 0$ VND (Breakeven) Loss 2nd, 3rd time... □ In this section, the entire overall position is owned a solid interest cushion. o Last-mile administration rules: From now on, the system switches to Vertical Sticking mode Trend line follows new high (Trailing Stop follows Higher High). Price increases Wherever it goes, the stop-loss moves up there according to the geometric ratio. Absolutely strict Prohibit the act of lowering the stop-loss mark in any situation.

- Behavioral psychology mechanism
- Breaking the Disposition Effect: Behavioral psychology

Humans are always obsessed with taking short profits on green stocks and holding them tight forced to lose money on red stocks because he did not dare to admit he was wrong. Pyramid Up squeezes the brain must operate in reverse: Accept to buy and chase a stock that is increasing in price higher, because we understand that today's peak may just be the foundation for the future tomorrow's even greater heights.

- Eliminating the complacency trap through the mindset of decreasing volume: Squeezing the size of residential capital down

The following stuffing orders (20%, 10%) are a smart action to control control greed. It prevents the subjective state of seeing that the account is profitable large, keeping your overall average cost of goods in the lower half of the line price growth curve.

- Note on actual combat: The death point of a Pyramid has no brakes

The increasing buying strategy is the most powerful asset amplification tool during the Uptrend season, but it will turn into a devastating suicide trap if the trader violates the principles following switch:

- Death point "Inverted Pyramiding": Fatal mistake

of amateur traders is to invest money according to the reverse pyramid structure (For example: exploratory buying 10%, seeing the price increase, jump in to buy another 30%, and All-in full Margin the remaining 60% right at the apex). Just a slight shake, a slight correction of 5% from the peak, the price level Average capital being pushed up too high will immediately trigger a Margin Call state and wipe out all of the account's assets in a few sessions.

- Absolute trading ban zone: Pyramid Up strategy is only allowed to operate

in a market with a clear strong trend (Strong Trend). If you intentionally apply This order stuffing technique in the sideways market phase, jerking continuously (Sideways / Whipsaw Market), the system will continuously activate chasing buy orders at the upper and lower border forcing you to cut losses at the lower margin, leading to your account being eroded at a rapid rate dizziness.

- Advantages and Disadvantages

Advantages:

- Absolute profit exaggeration (maximum Alpha): Helps the account's performance explode

equal to the times when catching super stocks leading the Megatrend thanks to accumulating scale the largest capital in the strongest asset group.

- Safeguarding total capital: The synchronous stop-loss shifting mechanism ensures you

Always trade with "market money" (profit cushion), eliminating the risk of heavy losses when turning trend.
Disadvantages:

- Requires steel discipline and high concentration: Standard calculations are required

Determine the ATR index and execute stop loss orders mechanically, there is no room for it hesitation or negotiation with Market. 5) Averaging Down Strategy Dubbed the sharpest "double-edged sword" in the financial kingdom, this is technique Disbursement technology requires the ability to appraise financial reports and a level of mental fortitude highest level of expertise. This strategy goes completely against the school's defensive rules technical team to answer a risky question: How to take advantage of declines market panic in order to collect a large volume of assets at discounted cost prices Optimum discount without committing financial suicide (Strategic Cost Minimization)?

- Three required conditions before pressing the Averaging Down button

The system prohibits any act of buying more positions when the price drops without scanning clean and satisfies all 3 cold testing filters at the same time:

- Filter 1 - Core fundamental analysis (FA) remains intact: Capacity indicators

Internal profitability such as ROE > 15%, EPS growth rate, FCF and actual cash flow The debt safety ratio D/E has absolutely no decline or decay structurally. The decline in stock prices is purely due to the pull of gravity Bear Market sell-off or excessive panic crowd □ "Cheap is hated".

- Filter 2 - Reduction points are technical in nature, not fundamental changes: Region

The adjusted price falls to the coordinates that establish a long-term hard support (MA200 line, border under the organizational accumulation box) or the rhythm of shaking off after the media news carries short-term disturbances. Absolutely not a decline due to profit margin collapse, Board of directors resign, legal scandals or business models are affected by new technology declare death.

- Filter 3 - Plan is set up before the first purchase: Before

To place the first exploratory order, traders are required to draw a disbursement map on paper:

Exact coordinates to buy more (Time 2, Time 3), corresponding capital allocation proportion and Ultimate Stop-loss if the investment thesis is rejected by the market quit. It is strictly forbidden to improvise or make commands by hand when the electrical panel is falling freedom.

- Quantitative Mathematical Simulation: Standardized Disbursement Scenario

To optimize the average cost of capital (P_{avg}) without pushing total portfolio risk beyond Tolerance threshold, the system applies the principle of dividing capital equally into 3 parts ($1/3 + 1/3 + 1/3$): Table to monitor command execution progress:

- 1st time - Buy Entry: Buy at price $P_1 = 50,000$ VND (Disbursement of $1/3$ position expected position).

- 2nd time - Accumulated Purchase (Scale-in): Price adjusted to $P_2 = 42,000$ VND (Additional disbursement $1/3$ position). Conditions: FA test is still excellent, price hits the correct calendar support zone strong history.

- 3rd time - Buy Full Position: Price falls to $P_3 = 37,000$ VND (Disbursement $1/3$ of last position). Conditions: Trading volume (Volume) decreased sharply important, signaling exhaustion of selling pressure (exhaustion of supply at the bottom). Average cost price $P_{avg} = (50,000 + 42,000 + 37,000)/3 = 43,000$ VND

- Mathematical probability management structure:
- Ultimate Stop-loss: Set at $33,000$ VND (Equivalent

a hard decrease of -23.2% calculated from the average cost price of $43,000$ VND). If the price breaks through At this point, the investment thesis is officially destroyed, the system automatically cuts all-out losses no negotiation.

- Target Take Profit Expectation (Target): Aiming towards the old peak at $65,000$ VND (Equivalent to $+51.1\%$ profit from average cost price).

- Set Profit/Loss ratio:

$$R:R = (Target - P_{avg}) / (P_{avg} - Stop-loss) = (65,000 - 43,000) / (43,000 - 33,000) = 2.2 : 1$$

- Meaning: R:R ratio = $2.2:1$ ensures the investment deal meets the criteria for setting the period

Positive asset expectation (Expected Value > 0) in long-term operation.

- Behavioral Psychological Mechanisms: When does it become a disaster?

- The "Cheaper than yesterday" trap (Anchoring Bias): The most common mistake of small retailers is to suffer psychological anchor is an obsession with the old peak price (for example: a stock drops from 100k to 80k I was quick to praise it for being cheap so I jumped in and kept buying more when it reached 60k, 40k without any success. never rechecked the financial statements). They buy more for only one emotional reason: "Today's market price is lower than yesterday."

- Martingale Trap: When not established

At the final stop-loss mark, the human brain will trigger the trap under pressure Sunk Cost Fallacy mentality. They kept throwing more money entering a losing position in the hope that the average cost of capital will drop even lower The better to get back to shore quickly. This "double the bet size when losing" strategy (Martingale) is the shortest and most brutal path to a clean burn Liquidity and permanent account bankruptcy.

- Pitfall of being blind to structural bad news: Proceed to buy the average down when

The business is sending out urgent signals internally (The company is being liquidated legal investigation, management dispersed assets, negative net profit margin for many consecutive quarters). This is not a technical reduction to consolidate goods - this is a warning bell Your original investment thesis was WRONG. Continuing to throw money in is a waste voluntarily committed suicide with the company.

- Advantages and Disadvantages

Advantages:

- Optimize maximum capital price: Allow value investors to own a large scale of assets

growing right at the bottom of the cycle with extremely low capital prices, creating a springboard for profits Explosive profits (large Alpha) when the market recovers.

- Wide margin of safety: The average cost price is pulled closer to the physical bottom of the stock,

Minimize drawdown pressure when the uptrend re-establishes. Disadvantages:

- Extremely heavy psychological pressure: Looking at the account temporarily displaying large negative numbers

The process of accumulating shares requires a steel nervous system and absolute trust in your skills the power to quantify one's own FA.

- Risk of burying long-term capital: If the general market takes many years to accumulate and create a bottom, Your capital will be completely frozen at one stock, causing loss of money opportunity costs in other momentum industry groups.

6) Optimal Technical Entry Point - Converged Setup System (Technical Confluence Setup) Drawn from the essence of stock wizards and the practice trading school Price Action, this is a real strategy that operates at the Point Optimization level single order trigger (Trade-level Execution Trigger). This strategy completely destroys it emotional trading habit of "guessing peaks and valleys" to answer the question: Timing Exactly which buy order has the highest probability of winning and the lowest downside risk (TA about Confluence region)? through finding the intersection of multiple layers of technical coverage independently at the same fixed price range.

- Principle: Technical Analysis (TA) and Trading accordingly

High-Probability Zone Trading.

- How to implement & Structure of Confluence Matrix (Confluence Matrix)

The system prohibits disbursement when only a single signal appears. Process The test requires scanning through the filter set of 6 structural elements below to score Setup classification: Weak Confirmation signal Important Meaning of mechanical nature of Quantitative technical elements of Market systems The old bottom is established first. The place where joint volume is concentrated That support zone, the lower border of the previous large order High zone, plays a role Long-term cumulative historical support is a psychological pedestal to prevent momentum (Support Zone). fall. Price adjustment test Measures the medium and long term trend MA lines determine (Test) the term success of large institutional cash flows. The important moving average is High. Price bounces here, proven Moving MA50 or MA2 trend is protected. 00.

Price adjustment falls main Exact regression to the proportional region Mathematical equilibrium point of one Golden Fibonacci 38.2% or 61.8 Average natural correction rhythm, where force % of short-term profit-taking selling growth wave has exhausted its strength. before. Indicator Relative Strength Index Oversold state in structure RSI for RSI cools down to the Growth Average (not necessarily Oversold area 35 – 45 in the coin must be <30), showing selling pressure Uptrend. Short-term selling has gone too far. Price regresses to the support zone. Indicator of material supply exhaustion Supportive mass comes with physical mass. Proof of sell-off force transaction decline (Volume) depleted High panic has ended, only exhausted, falling deeply below the loose supply floating above MA20 volume level. floor. Clusters of candles appear there is a long lower shadow Confirming signal in place (Live Reversal candles or strong Trigger reversals) show bottom-catching demand afternoon like Hammer (Hammer Candle) Average has officially entered the flash session or Bullish suddenly stops the sellers. Engulfing (Engulfing candles sink increases).

- Mathematical foundations of probability

The mathematical nature of the Convergent Setup strategy is based on the Independent Probability Theorem (Independence Probability) and the principle of optimizing the Risk/Reward asymmetric ratio:

- Probabilistic resonance mechanism: Assume that each technical element stands alone and has only one body

The natural win-rate is 50%. When you force the system to only enter orders when something happens interference (Convergence) of at least 4 independent factors appearing at the same price coordinate The probability of a false failure (Failure Rate) will decrease cumulatively exponentially. This turns the convergence zone into a High Win Probability Zone High-Probability Zone.

- Optimize geometric stop loss point (Asymmetric Risk): When disbursing at the convergence zone

With a confirmation candle, your Stop-loss will be extremely short – just place it

just below the bottom of the reversal candle cluster or below the MA200 line about 1-2%. Meanwhile, the profit taking target (Reward) is heading towards the old peak with a very wide amplitude Dynamically sets an R:R $\geq 1:3$ ratio that is extremely ideal for positive mathematical expectations.

- Behavioral psychology mechanism
- Eliminate the emotional trap of "Over-trading Bias": Being small in the market

Markets often lose money because of the syndrome of addiction to placing orders, seeing opportunities everywhere dominated by short-term minute-by-minute charts. Scoring rules Convergence forces traders must shift to the mindset of a sniper hunter: sit still, observe and point Pull the trigger when the prey is exactly at the intersection coordinates of the dot matrix.

- Setup classification to eliminate confusion when investing:

o Setup type A+ (Convergence of ≥ 4 factors): The system automatically activates the maximum deposit level multi-regulation (Full leg according to Half-Kelly formula). o Weak setup (Only 1–2 isolated elements): The system sends out high risk warning signals. Traders are forced to choose: Reduce bet size by 50% or Skip Absolutely to maintain discipline.

- Note on actual combat: Death point "Self-deception signal"

Convergence strategy requires an extremely cool head so as not to fall into mistakes the following subjective formula:

- Trap of drawing additional indicators to self-rationalize orders (Confirmation Bias): When a trader

are so "in love" with a stock and so desperate to buy it, they tend to buy it themselves cram, turn on dozens of different technical indicators on the chart until Find a few random lines pointing in the direction of buying to deceive yourself that This is Converged Setup. Remember: Only use the correct fixed core indicator framework Backtested.

- No setup is absolutely 100%: Even if a setup meets the A+ standard

If all 5-6 factors converge perfectly, the probability of failure still exists due to the variables Black swan macro surprise. Therefore, the brake to cut fixed losses and discipline to divide capital Making 3 parts of the Phased Entry strategy is still a mandatory condition, not possible subjective neglect.

- Advantages and Disadvantages

Advantages:

- Extremely high technical safety margin: Minimize chasing in the floating area, helping

Buying positions always have a solid foundation of institutional cash flow support right below.

- Optimize Risk/Reward ratio: Allows traders to place large orders with a short stop loss

Maximize profitability on each transaction deal. Disadvantages:

- Low frequency of opportunities: In a hot growth or deceleration market

steep slope, the price may not even bother to retrace to the convergence zones but run straight, causing Convergence players must accept standing outside holding cash and waiting for a long time. □ Group 3: Exit strategy 7) Layered Exit Strategy Summarized from the art of capital flow control of professional traders Leading the way in the world, this is a real-world strategy that operates at the level of Behavior Optimization Trade-level Liquidation Trigger. This strategy handles the hardest problem belongs to human greed and fear: How to lock in safe profits Always be right, just don't fall into the feeling of regret for selling short when the stock goes up keep flying far away? by breaking down the position structure into independent profit-taking layers at each level probability scale.

- Principle: Position Risk Management and Behavioral Optimization

Execution Profit-Taking Strategy.

- Core indicators & Tracking standards

The exit system operates entirely based on mathematical and variable rate milestones Actual price action, independent of subjective feelings of "regret" or "expectation":

- Risk/Reward ratio (R:R): Coefficient that measures the distance from the entry point to

Take profit target (Target) divided by the distance to the initial stop loss point (Initial Stop-loss).

- ATR indicator (Average True Range - Average actual fluctuation amplitude): Ruler

measures the natural volatility of a stock over the last 14 sessions (ATR_14), using as a catalyst for calculating the distance to place dynamic stop-loss orders.

- Break-even Stop: Initial cost price plus delivery costs

fluid, acting as an absolute insurance stopper after the first layer is exposed materialize.

- Weekly Low: Technical support milestone in large time frames to block

below for long-term holding stocks.

- How to do it & Basis of Probability Mathematics

The mathematics of the layered exit strategy is based on Shifting Risk Distribution system. By realizing a portion of the profits early, you immediately bring status status of a risky transaction to the status of Risk-Free Trade (Free Trade). The system establishes the principle of reaping profits in 3 independent layers (30% + 40% + 30%):

- Layer 1: Capital Preservation layer (Capital Preservation - Sell 30% of position)

o Trigger point: When stock price growth reaches R:R = 1:1 ratio (Example: Block loss 7%, price increase +7%).
o Required additional action: Raise all Stop-losses of the remaining 70% of positions Break-even Stop.
o Mathematical meaning: At this coordinate, your position officially becomes a "Free Trade". Even in the worst scenario, the market suddenly reverses direction If the car surpasses the cost price, you still end the deal with a positive total profit (+2.1% on initial position size). The risk of loss has been eliminated to 0.

- Layer 2: Core Target Layer (Core Target - Sell 40% of position)

o Trigger point: When the stock price continues to break out, reaching the ratio R:R = 2:1 (For example: Price increased +14% from original buy point). This is the area where most of the benefits will be realized Core profit of investment deal.

- Class 3: Runner class (Runner - Keep 30% of the final position)

o Trigger point: Do not set a fixed profit taking point. This class was born to eat whole The fish body of super stocks grows by times by applying Using an upward Trailing Stop:
o Method 1 (ATR Trailing): The lower intercept line is dynamically calculated according to the formula: $\text{Trailing Stop} = \text{New High} - 2.5 \times \text{ATR}_{14}$
o Method 2 (Weekly Structure): Raise the stop loss point right below the bottom of the candle latest week.
o Geometric translation principle: Dynamic hole stop points are only allowed to be raised later Each new peak (Higher High), absolutely never lower the stop-loss when the stock price adjusts downward.

- Behavioral psychology mechanism

- Exploiting and appeasing Prospect Theory: Professor Daniel

Kahneman has proven that humans always tend to seek short-term certainty term (Risk-seeking in losses, Risk-aversion in gains). When the account is light green, set The brain will create a huge pressure of anxiety for fear of losing existing profits, leading to the act of selling out all stocks too early (short selling FOMO). Taking profits early 30% in Grade 1 completely satisfy the psychological need "wanting to see real money and rice" yours.

- Releasing Ego and pressure to gain profit: After Layer 1 is locked and Stop-loss is raised

about breakeven, the trader's nervous system will enter a state of absolute relaxation because of knowing that this deal "cannot be lost anymore". This psychological relaxation is the ultimate key to help you have enough courage and patience to look at Grade 3 (Runner). Overcome short-term technical fluctuations to complete the long-term uptrend.

- Note on actual combat: Death point "Breaking the Trailing structure"

The layered profit-taking strategy is the ultimate art of psychological management, but it exists a strict practical barrier that you must comply with:

- Manual intervention of the acupuncture point due to Regret Aversion: When Grade 3 (Runner)

running far and bringing huge profits, the stock price suddenly fluctuated deep correction and penetrated the Trailing Stop line (or the bottom of the weekly candle). Trader at this time often make mistakes: turning off the automatic system, refusing to sell because of psychological attachment to the level The highest peak price has just passed and there is hope that the price will rebound. As a result, they turn A long-term profit position turns into a reverse loss position with a deep decline in assets. When When the system touches the Trailing Stop line, you must press the button to release the last position Let's go together without any negotiations.

- Advantages and Disadvantages

Advantages:

- Excellent psychological management: Completely eliminate the tormenting syndrome of "knowing how to sell early

more" or "know how to keep". You are always profitable in every Market scenario.

- Optimize long-term expected profit: Allows the account to fully capture the super

Non-linear growth wave of infrastructure stocks or megatrend thanks to 30% The mass of capital is let loose and runs freely. Disadvantages:

- The total profit (Total Return) will be lower than if you sell immediately

Peak: If you possess divine power, you can accurately predict the peak For stocks to go All-out on a single order, this layering strategy will reduce

reduce your maximum performance. However, in real probability trading, not one Who can do that consistently?

8) Cut-Loss Discipline - The Art of Survival Drawn from the classic survival philosophy of Paul Tudor Jones - the owner of the line hanging on the wall "Lose Money, Lose Your Edge" (Losing money is also losing wisdom and competitive advantage) and Market Wizard Mark Minervini, this is a real-world trading strategy operates at the Root-level Defense System level. This strategy breaks completely out of the habit of following the emotions of the crowd to answer the question: Where is the seat? It is mandatory to press the exit button to protect the permanent flow of assets (Structural Invalidation)? through positioning lower landmarks based on the physical structure of the Markets and asymmetric mathematics.

- Principle: Capital Preservation and Risk Management

Structural Risk Management.

- How to implement & Structure of Stop-Loss Matrix (Stop-Loss Matrix)

The system prohibits placing stop loss points based on the feeling of "I accept losing this amount how much money". The normalized stop loss must be placed at the Refutation Zone (Invalidation Zone) – where if price hits, the initial expected growth structure is completely logically broken: Stop type - Weight order placement technique Suitable for real strategy loss quantifies the number of battle systems Structure Set 1-2 ticks Swing Trade & Position Stop at the nearest bottom Trade: Suitable for hunting super stocks or right below the border of High infrastructure or clustered stock (Stop loss period. Price penetrates this mark According to the structure of the hard support box, it means that the sellers have broken out (Support Zone). historical defensive stronghold. ATR Stop Stop-loss = Entry Price High All time frames & All

- 1.5 x ATR_14 strategy: Mining only

(Stop loss (Multiply the Average True Range to by a margin of 2.0xATR for the code's natural noise calculation degree) is highly volatile). stocks, avoiding stop-loss sweeps due to careful shaking rhythms Randomization within sessions. Activation order when Trend Following & MA Stop closing price is above CANSLIM: Protect holding position completely below the cash flow breakthrough. (Stop loss MA20 (play Average short trend) or When the major trendline is broken direction) MA50 line (break, growth inertia of medium term). Super stocks have been paused. Percentage Set hard blockage Filter for human protection Maximum stop from 7% - new: Or apply when configuring (The 8% stop loss just below the Technical Invariance level is too loose, The purchase disbursement price acts like a fuse according to the rate of automatic circuit breaker to prevent determined) at the beginning. Prevent account fire disaster.

- Foundations of probability mathematics: The asymmetric nature of losses

The quantitative power of stop losses does not come from mere psychological theories, but Proven by the Exponential Non-linear Recovery structure. When you let a drawdown position deepen, the rate of return required to get the account back to the original breakeven point will accelerate along a curve brutally steep: $R_{\text{recovery}} = L/(1 - L)$ In which: L is the actual loss rate of the position (Loss %); and R_{recovery} is the gain rate Profit must be achieved to restore the original balance. The survival math table clearly quantifies the boundaries between stages:

- 10% loss □ Needs 11.1% growth to pay back capital □ Level: Easily compensated.
- 25% loss □ Need to grow 33.3% to pay back capital □ Level: Difficult start.

- 50% loss □ Need to grow 100.0% (Double account) to pay back capital □ Level:

Extremely unrealistic.

- 75% loss □ Need to grow 300.0% (Multiply four accounts) to pay back □ Level:

Clinical despair. The core math: When you lose 50% of your capital, you don't just lose That amount of money, which you have destroyed yourself takes 50% of the instrument (cash leverage) to rebuild your life. You are forced to use half of your remaining troops to fight a battle Double the performance of the old match just to return to the starting line. Cut losses early at 7-8% real substance is the act of protecting the mathematical sample space to drive compound interest (Compounding). can operate in the following commands.

- Behavioral psychology mechanism
- Eliminate Sunk Cost Fallacy and Loss Perception: Reason

Prospect theory has proven that when faced with losses, people tend to become a risk-seeking person. They keep looking Looking for macro reasons and good news on the sidelines to deceive yourself and turn into a skimming order Short-term momentum waves are mistaken as a "reluctant value investment" to Avoid having to face the pain of cutting losses. Mechanical Stop-loss orders take away autonomy of the ego, taking a cold position as soon as the argument is refuted.

- Turn Loss Loss into a Business Operating Cost: Professional investors

Businesses consider short-term 7% loss cuts as light as electricity and money costs Renting premises or purchasing insurance from a commercially operated enterprise. It is an essential part of the game of probability to exchange for super multi-time deals (Asymmetric Payoff).

- Practical notes: "Set and Forget" order placement rules (Set and Forget)
- It is strictly forbidden to lower the Stop-loss mark: When the stock price is about to plummet

Regarding the stop loss line, traders are often influenced by fear and arbitrarily modify and lower orders Stop-loss mark from 7% to 10%, then 15% with the reason "let the stock have more breathing time". This is an act of breaking discipline and financial suicide. Immutable rules of the system System: Stop loss points are only allowed to move up in the direction of price increase (Trailing Stop), downward movement is absolutely never allowed.

- Gap Down handling: In extreme scenarios news appears

black swan surprise overnight, stocks may open the morning session at a range The price drops sharply and penetrates your stop-loss mark. Discipline of real combat love demand: Activate market order (MP) to immediately exit stock at the session

Match orders periodically, absolutely do not hold out hope of waiting for price recovery for a stock Opening Gap Down devastates structures that will often continue free fall.

- Advantages and Disadvantages

Advantages:

- Absolute survival shield for accounts: Make sure you are never wiped out

from the market, keeping capital flows clean and ready to seize super opportunities just when the market stabilizes.

- Completely release mental pressure: Eliminate stress, loss of appetite and sleep

had to bear the bomb of a position with heavy losses overnight. Disadvantages:

- Suffering damage due to the phenomenon of "Stop-loss sweep" (Whipsaw): There are times

The general market shook strongly, stock prices fell and penetrated the support zone Exactly 1-2 ticks to wipe out retail stop loss orders and then immediately withdraw and increase code. You must accept this as part of the mandatory "fault insurance cost". of the game of probability in exchange for absolute security for the entire long-term career term.

4.3. The art of psychological management

1) Expected Value (Mathematical foundation of every decision) Considered the "Supreme Gravity" that governs the entire realm of probability (from Las Vegas, professional Poker tables to Wall Street hedge funds), this is the strategy Actual combat operates at the level of Core Decision-making Logic. This strategy destroys the crowd's mistaken obsession with the "right or wrong ratio" to answer for An essential question: Does a trading system really bring prosperity? Long-term Systemic Profitability? through quantification the correlation between the probability of occurrence and the size of the outcome.

- Principle: Quantitative Probability Management and

Evidence-based Systems Thinking.

- Core indicators & Tracking standards

The risk monitoring system completely strips the ego of the need to "always be right", just Focus on monitoring and optimizing two pairs of independent variables:

- P_{win} (Win-rate - Probability of winning): The ratio of profitable orders to the total number orders closed in the past ($0 \leq P_{win} \leq 1$).

- P_{loss} (Loss-rate - Probability of loss): Proportion of orders with stop losses ($P_{loss} = 1 - P_{win}$).

- R_{win} (Average Win): Value of average profit received when
The system is on track.

- R_{loss} (Average Loss): Value of average loss to be paid when betting
stop-loss system (usually specified as 1R - fixed base risk unit).

- Probability Mathematical Foundation: Asset Expectancy (EV) Formula

The nature of the financial market is a series of conditional random experiments. Mathematics proves that the outcome of a single command is unpredictable, but The results of a large set (≥ 100 instructions) will converge to the mathematical expectation curve: Expected Value (EV) = $(P_{win} \times R_{win}) - (P_{loss} \times R_{loss})$ Quantitative meaning: The EV coefficient is the amount (or number of R units) that your account has automatically created or lost on each trading order on a long-term average.

- Comparison problem: The illusion of win rate (Win-rate)

To clearly see why professional traders value EV more than Win-rate, let's take a look Separate and contrast the two practical trading systems below: 1) System A (Newbie's "Like many correct" system):

- Parameters: Win up to 70% of orders ($P_{win} = 0.70$), but avoid small profits and suffer deep losses making the average profit only half of the average loss ($R_{win} = 0.5R$; $R_{loss} = 1R$).

- EV calculation:

$EV_A = (0.70 \times 0.5R) - (0.30 \times 1R) = 0.35R - 0.30R = +0.05R / 1 \text{ transaction}$

- Evaluation: Extremely weak system. Nominal growth account is very slow, borderline

is too thin and can easily be destroyed into negative expectations if the win rate drops slightly when the Market changes phase. 2) System B (CASLIM / Trend Following style "Momentum Hunter" system):

- Parameters: Win less than half, only 44% of orders ($P_{win} = 0.44 \rightarrow P_{loss} =$

0.56), but apply a strict 7% stop loss discipline and hold target stocks minimum consumption of 21-25% ($R:R = 3:1 \square R_{win} = 3R; R_{loss} = 1R$).

- EV calculation:

$EV_B = (0.44 \times 3R) - (0.56 \times 1R) = 1.32R - 0.56R = 0.76R / 1 \text{ transaction}$

- Evaluation: Super strong system. Expected profit per order is 15.2 times higher

compared to System A ($0.76 / 0.05 = 15.2$), despite the high number of failed sniffs much better.

- Behavioral Psychology Mechanisms: Anatomy of Short-Term Pain

- Eliminate the error of mistaken perception of results (Outcome Bias): Human instinct

device designed to judge a decision based on the short-term outcome that has just occurred. If You entered an order that was against the rules (All-in on junk stocks), but luckily you won Damn, my brain thinks I'm a genius by default. If you enter an order that meets setup standards A+ converges, but gets stuck with a black swan sweeping to cut losses $\square$ you torment yourself thinking you were wrong. Tu EV adoption breaks this myopia: A decision with a losing outcome is still possible is a mathematically correct decision (if the system has a positive EV), and a command Taking money can still be a fatal mistake (if it has negative EV).

- Operate mentally like a Poker Professional: Legendary Poker players

They don't care if they win or lose money in this game. They only care at the moment Push the chip into the tray, the odds and the probability of the hand creating an $EV > 0$ or not no. If EV is positive then the total amount will decrease; If $EV \leq 0 \square$ discard the card immediately That is, no matter how beautiful or exciting the card looks. Trading is the main battle is a game that copies the original cold probability thinking.

- Practical note: Input blocking filter filter rule

To turn Mathematical Expectations into a shield to protect assets, traders must install it Rules for Liberating the Mathematical Margin of Safety Before Pulling the Trigger:

- Pre-transaction calculation filter: Before placing any buy order on the exchange, you

must manually fill in the equation with 3 parameters: Technical convergence area (Entry), Rejection point abandon the structure (Stop-loss: 1R) and the Historical Resistance Zone has a high probability of being achieved

(Target: $N \times R$). If the Target distance does not reach at least 2 to 3 times the range Stop-loss method (ie R coefficient < 2), the system automatically issues a CANCEL ORDER signal, Disbursement is strictly prohibited regardless of whether the graph is beautiful or the media is promoting it How big is the megatrend?

- Accept the Law of Large Numbers: When operating a system there is

Strong positive EV but low Win-rate (40%), you must prepare mentally for the fight Facing a series of consecutive losing orders of 5-7 orders is completely normal statistical aspect (Bad Streak). If you don't understand math, you will panic and throw the system away system right before the law of large numbers can operate to send the wave of winning orders spinning return to clone property.

- Advantages and Disadvantages

Advantages:

- Build absolute confidence and psychological stability: Help investors completely exit

from the state of confusion and fear after a few losing orders, because you clearly know the machine that prints predetermined money Your output will automatically generate sustainable profits when it reaches the end of the statistical cycle.

- Orient your thinking on system structure: Focus all your energy on work

control what can be controlled (Hole size $1R$ and choose Setup with R large) instead of predicting the random direction of the Market. Disadvantages:

- Requires large sample space and absolute consistency: EV formula will be complete

It completely loses its mathematical validity if the trader trades undisciplinedly and makes reckless orders The size of the losses is not equal (sometimes 1% loss, sometimes 20% loss). You oblige must keep the $1R$ average loss mark in a constant tightening state. EV mathematical expectation is the "soul", the red thread that connects the entire system manage your assets. From the FA filter membrane, the TA convergence zone, to the pre-Kelly formula or the order exit layer, all have the same ultimate goal: Increase the total EV coefficient of the entire inheritance to its maximum level. 2) Prospect Theory - Behavioral Finance Foundation

Developed by two cognitive psychologists Daniel Kahneman and Amos Tversky (brought home the Nobel Prize in Economics in 2002), this is the ultimate practical combat doctrine that exposes Ban Human irrationality when faced with risk and money (Cognitive Bias Analysis). This strategy does not seek the law of stock prices, but rather seeks answers to critical points Every investor's biggest question: Why our biological brains are on autopilot make the worst trading decisions at market turning points? from there Set up mechanical barriers to protect property.

- Principles: Behavioral Finance and Managing trading psychology

Quantitative Psychological Risk Management.

- Core indicators & Tracking standards

To control the phase difference between pure mathematical models and actual psychology, the system The system closely monitors the following behavioral parameters:

- λ (Loss Aversion Coefficient): A quantitative measure of negative psychology

reflects the sensitivity of the nervous system when facing losses compared to when receiving get profit.

- α, β (Diminishing Sensitivity Coefficients): Storm speed

harmonize the brain's emotions as the size of profits or losses swells over time time.

- Reference Point status: Initial cost price milestone (or financial peak

nearest property) that the brain automatically anchors to determine where it is located "Profit Zone" or "Loss Zone".

- Foundations of Probability Mathematics: Psychological Value Function (Value Function)

The old classic financial theory assumes people are always rational (Utility Theory). But Kahneman & Tversky demonstrated experimentally that the brain evaluates values based on on the change in assets from the reference point, not total net assets, and line This emotional curve is bent asymmetrically through the formula: $v(x) = x^\alpha$, if $x \geq 0$ $v(x) = -\lambda(-x)^\beta$, if $x < 0$ In which the experimental normalization constants include: $\alpha \approx \beta \approx 0.88$ and the loss fear coefficient Supreme coolness $\lambda \approx 2.25$.

Core mathematical reason: With the coefficient $\lambda \approx 2.25$, the equation proves a It's cruel: The pain from losing 10 million dong has a stimulating intensity Strong psychology is equivalent to the joy of earning 22.5 million VND. Axis The negative side ($x < 0$) is twice as steep as the positive side ($x > 0$). It's the asymmetry This biology has distorted the entire disbursement and capital management behavior of the above investor floor.

- Behavioral Error Anatomy & Mechanical Solution System

The human ego always seeks to avoid pain and maximize short-term pleasure term. Below is a standardized matrix that separates critical errors arising from the structure function $v(x)$ and the required emotional circuit breaker solution set: Common errors Essential causes System solutions of small fractions from mechanical Prospect Theory (Rules) Because the coefficient $\lambda = 2.25$. Clicking the Pre-commit Stop-loss button: Set Refusing to cut losses is equivalent to placing an automatic stop loss order The stop loss materializes an "extreme pain right on the floor before placing same". The brain will choose the buy order solution. Revocation of self-rights (Don't procrastinate, continue to make losses to grow term) hoping the price recovers to avoid the trader's decision psychological punishment at present. The price touches the invalidation zone.

Figures from PDF page 191

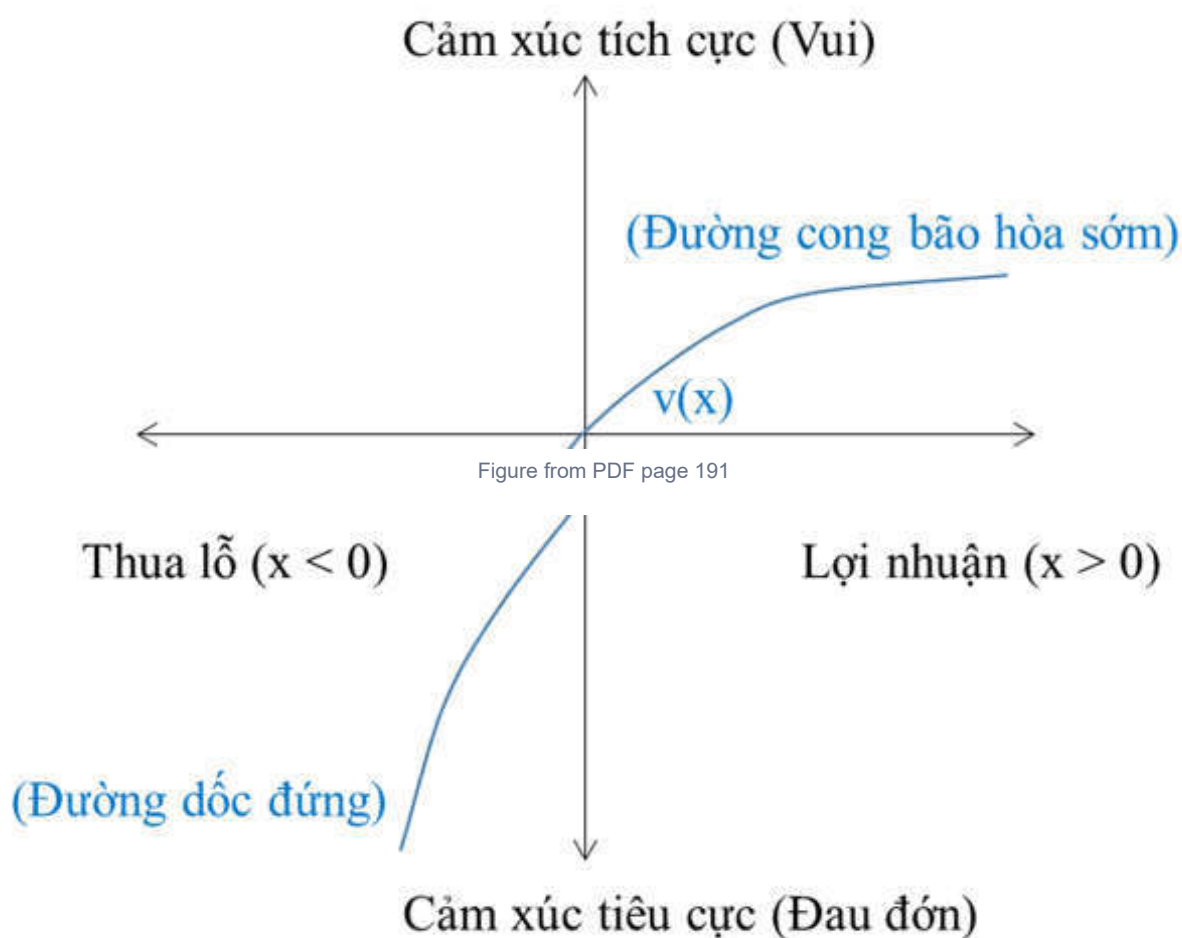


Figure from PDF page 191

Due to the layered exit sensitivity nature (Sold by ($\alpha = 0.88$). Class Interest Area Curve): Apply strategy Profit taking is too saturated very early: The joy of exiting a 3-layer order early (30%+40%+30%). Use (Selling super short adds the next 20% lower than the stop loss formula much more than the first 20%. Dynamic brain Trailing Stop/ATR stock) was urged to sell it all immediately to lock it up Tighten the safety reward. Stop to squeeze the remaining capital run out of trends. When in the Loss zone (Loss Anti-Martingale Rule: Domain), psychological graph changed. It is strictly forbidden to increase the size Double the risk to the state of Desire to risk money after a losing order. Catch Risk-seeking. Trader Losers are willing to accept bets that require a 50% reduction Bets have much greater risk than your betting capital (Satellite Trap if on a losing streak Martingale) (stuffed with large amounts of cash) only to consecutively (Bad Streak) to I hope the price will turn around to remove the general account protection. current pain. When in the Gain area (Gain EV-driven Execution: Hit Domain), people become extremely price opportunity completely by Risk-averse. Fear of formulas Mathematical expectations important when the market loses the displayed profit (EV) and the setup filter converges. The entry market makes traders not dare to act if $EV > 0$ and meets the standard A+ buy order stuffing technique wave, disbursement forcing algorithm, (Pyramiding), miss the optimal opportunity to ban looking at the account balance to cash flow. transaction.

- Practical notes: "Cash flow independence" rule and reference point anchor

To neutralize the ravages of Prospect Theory, professional traders are required Master the concept of Reference Point:

- Capital Price Anchor: Retail always uses "Your own purchase price" as an anchor

Supreme to judge the market. Market does not know and does not care about the cost price How much do you buy? Whether a stock is worth buying or selling depends only on: Current Business Intrinsic (FA) and Onsite Technical Probability (TA).

- Solution to erase the anchor: Get into the habit of looking at graphs and financial data

of the business as if you never owned any shares of that stock. Ask yourself the cold question: "If I were holding 100% cash today, With the current price and financial structure, should I put down money to buy this stock or not?". If the answer is NO, the required action is to press the EXIT button, great Don't keep it just because it's negative compared to the historical cost price.

- Pros and Cons of mastering Prospect Theory

Advantages:

- Achieve a state of psychological calm (Quantitative Intuition): Understand the pitfalls

Your brain's biology helps you separate yourself from panic or mania crowd, operating the system like a pre-programmed robot.

- Save long-term assets: Identify when the brain begins to switch

the state of "thirst for risk when trying to lose money" to proactively pull the brake to cut off the circuit and prevent it permanent account fire disaster. Disadvantages:

- Fighting against biological instincts: Working against our biases

Prospect theory (cut losses decisively, build up profits) will create conflicts psychology, causing discomfort and stress to the nervous system in the early stages when it is trained into a natural mechanical reflex. 3) Law of Large Numbers & Edge Proven by mathematician Jacob Bernoulli in 1713, this is the supreme law Establishing an absolute boundary between Speculative Gambling and Professional Probability Trading Statistical Trading. This strategy breaks the brain's short-term myopia to pay answer to the core question: How many samples are needed for the mathematical advantage (Edge) to actually develop? effective and how not to go bankrupt before reaching the point of statistical convergence (Gambler's Ruin)?

- School: Quantitative Statistics and Long Probability Management

Long-term Probability Management.

- Core indicators & Tracking standards

The risk management system tightens the monitoring of the chain of command structure based on parameters rigorous number of times and sample spaces:

- n (Sample Size - Size of sample space): Total number of trading orders

execute consistently according to the same set of setup rules.

- σ (Standard Deviation): Amplitude of fluctuation and degree of dispersion of

Actual results compared to theoretical expectations.

- (Standard Error): A measure of statistical noise; The larger n is, the greater the error

This number gradually approaches 0.

- P_{ruin} (Probability of Ruin): Probability of the account being completely wiped out

before the system reaches the point of convergence of the Law of Large Numbers.

- Foundations of Probability Mathematics: Short-term noise dilution

The nature of the market in the short term is a set of random fluctuations the influence of liquidity noise. However, as the number of trials n approaches infinity, The actual occurrence frequency will converge exactly to the theoretical probability. Let's say you run a strong edge trading system with a positive Mathematical Expectation maximum EV = +0.6R per command:

- Stage 1 - After 10 orders: Standard deviation σ takes absolute control. Results

completely random. You may be unlucky and have a string of 7-8 consecutive losing orders (Bad Streak) causes your account to decline, or you are lucky enough to have a consecutive winning streak.

- Stage 2 - After 50 orders: The asset curve begins to have a clear trend of separation.

The silhouette of the positive EV coefficient begins to take shape and emerge.

- Stage 3 - After 100 - 200 orders: The standard error $\sigma/\sqrt{n}$ is significantly narrowed. Trong

The force of mathematics pulls the actual results steadily closer to the expected line. This time is fierce The new data has statistical significance (Statistical Significance) to properly evaluate the system or wrong.

- Stage 4 - After 300+ orders: Short-term randomness is completely eliminated. Results

Actual transactions coincide with theoretical calculations. Immutable rule of survival: 10 losing trades in a row does not prove your system bad; 10 consecutive winning orders does not prove your system is great. All is one the blink of an eye of short-term noise.

- Gambler's Ruin disaster: Why does All-in destroy the positive Edge?

The biggest pitfall of traders who have a half-hearted understanding of mathematics is that they think they only need systems. If the system has $EV > 0$, then any bet will win, leading to the behavior of spending too much capital on each bet command (Over-betting / All-in). Insurance mathematics provides a formula to calculate the Probability of property bankruptcy (P_{ruin}): $\approx 1 - p^{\frac{1}{\beta}}$ In which: p is the system's probability of winning (Win-rate); Capital is the total scale capital (100%); and Bet Size is the maximum percentage of risk capital to cut loss for each deal. Map comparing two capital investment scenarios: 1) Scenario 1 - Greedy speculator (Large bet):

- Parameters: Possessing a system with extremely good advantages with Win-rate $p = 0.55$ (55% winning).

However, because he was too confident, he bet up to 20% of his capital on each order

- Calculate P_{ruin} :

$$\% \approx 1 - 0.55^{\frac{1}{0.2}} = 36.6\%$$

- Mechanical disaster: Even with a strong positive advantage, he still carries the burden of probability

Bankruptcy is up to 36.6%. As long as the market shakes slightly, a series of 5 consecutive losing orders will follow appears early in the first leg (which is completely normal in a random distribution). However, he will be wiped out of the game before he can see the Law of Large Numbers onions. 2) Scenario 2 - Probability manager (Bet size tightened):

- Parameters: Investors apply steel discipline, only betting exactly 2% of capital for each order

- Calculate P_{ruin} :

$$\% \approx 1 - 0.55^{\frac{1}{0.02}} = 0.0044\%$$

The actual calculation results pin the risk threshold to 0%.

- Mechanical survival: Thanks to dividing the bet size, the administrator's account has enough

space and stamina to overcome even the worst losing streaks, patience. Wait for the law of large numbers to dilute the noise and send the explosive compound interest flow spinning return.

- Behavioral psychology mechanism

- Eliminate Gambler's Fallacy Cognitive Bias: Brain

Humans are very poor at processing independent data sequences. When you lose 5 orders in a row, Traders often tend to think that "the 6th order must definitely win because it's impossible black forever", thereby arbitrarily increasing the size of the position to very large to remove the problem. Law of numbers Big confirms: Each test is completely independent, Market has no memory to record Remember your losing streak. Increasing order size is a voluntary act of surrendering to the network Gambler's Ruin, the god of death.

- Build the mindset of "Trading Journal" as an asset: Investors

Professional investors don't look at the board for emotions, they operate accounts like a clean data lab. Tracking and recording each parameter cleanly of at least 100-200 commands helps completely free the mind from the pressure of one a few single losing orders, looking at the asset curve with the calm eyes of a family statistics.

- Practical note: Rule "Uniform data environment"

The law of large numbers only exerts its ultimate mathematical effect when you ensure it counts Strict consistency of the sample space:

- It is absolutely forbidden to change the rules of the game in the middle of a cycle: If you continuously change

Trading method (this order is based on Value Investing to buy and reduce, the next order is again Jumped to swing to the top of CANSLIM, then traded short-term waves based on emotions). you have single-handedly destroyed the structure of the mathematical sample space. At this point, the chain of command Your account turns into a mess with no edge (Edge = 0), and the account will self-destruct The dynamic is eroded to zero.

- Control the nature of "Industry Consensus" (Cluster Risk): If you disburse the same

Enter 5 stocks in the AI infrastructure hardware group at the same time Point is, mathematically it is not 5 independent commands, but essentially just 1 command large are divided into smaller parts because they experience the same macroscopic impact force and have similar coefficients Correlation is close to +1.0. If that industry group adjusts, your system will miscalculate the bet size and push the account into danger.

- Advantages and Disadvantages

Advantages:

- Build an inviolable psychological foundation: Bring absolute calm first

every series of short-term losing orders, completely eliminating spontaneous fear and greed.

- Turn trading into a business with clear probabilities: Allows you to do

Master your financial game the same way casinos operate: always Make money in the long term by keeping the mathematical advantage on your side. Disadvantages:

- Requires a long journey and extreme patience: Does not bring wealth

After a few days, it was necessary to go through hundreds of tightening trading orders discipline to let mathematics carry out the task of magnifying assets. Conclusion of chapter 4: The convergence of the three-legged stool This chapter has introduced to you practical investment strategies and resource management strategies capital and risk, and psychological management strategies. These three elements are not separate pieces discrete, but is the three-legged stool that determines your survival in the market: if you fight An investment strategy gives you a weapon to attack, then capital and risk management is your dark armor Your boss helps you defend, and psychological management is the captain who keeps your head cool so you can operate Practice the above two tools in a disciplined manner. Remember that possessing an excellent but lacking strategy capital management, you are just a hunter risking his life to go into the deep forest; On the contrary, there is a management system Strict risk but loose psychology, you will easily panic and run to the bottom right away on the threshold of a super wave of growth. Only if all three strategies converge and operate synchronized like a machine, you will truly cross the boundary of a lucky dreamer Become a professional trader, comfortably master the game and weather all storms of the market.

Chapter 5: Wandering on the sidelines of the electronic board

It's time to temporarily put aside concepts, technical terms, or management strategies with all kinds of names that make new readers think they are studying for Economics exams. This part There will be no secret formula to making money in three days, nor is there any magic formula helps you guess the market correctly. Instead, I just want to sit down and wander home with you The words "engraved in my heart" have followed me through many times of excitement, many times of insomnia and also Many times... have to pay tuition to the market. These things sound very simple, but Because we are so familiar, we often forget, until we have to "pay the price" in the market. I hope these lines of sharing will become anchors to keep calm in times of greed emerges, a wake-up call when confidence begins to exceed ability, and a companion silently reminds us every time we are faced with an investment decision.

5.1. Mr. Market and "unruly" personalities

1) Losing right is better than winning wrong This is the ultimate line that separates a disciplined trader from a gambler likes to pray. "Losing correctly" is when you absolutely comply with the system but still have your orders scanned cut losses due to market reversal; you lose money but win in terms of discipline, this loss is okay control and just operating costs in the game of probability. On the contrary, "wrong win" is when You break all the rules, rush in to buy a stock that is falling based on rumors, didn't set a stop loss but was lucky enough to win big thanks to some random variable. The tragedy of "winning wrongly" is that it injects into your head the illusion of being a genius, creating habits Running a red light is extremely dangerous. Mr. Market really likes to pamper amateurs A few false wins at first make them drunk, and then when they are confident, they put all their assets into it In the next game, a "great flop" will take place to confiscate both principal and profit. Remember, In this fierce market, if you're lucky you'll run out one day, it's important to know clearly why Losing to preserve capital is always worth a hundred times more than a profit falling from the sky don't understand the reason. 2) The market is always right, only our wallets know the pain

Never stand in front of the electronic board and scream: "Why are stocks so good? decrease? Nonsense!". Mr. Market is a supreme and extremely cold referee. He doesn't Pay attention to how many investment books you've read, or evaluate your business carefully How careful? When the cash flow withdraws, the price will decrease. If you argue with the market, you will lose The school doesn't lose a penny, only your account is negative by a few percent every day stop. It's like it's raining and thundering, but you still confidently wear your shirt walked out on the street because "according to the weather forecast, it should be sunny today". God is not wrong, there is just you just have a cold! 3) The market was born in gloom, grew up in doubt, thrived on optimism and die in satisfaction This is Mr. Market's "classic" psychological cycle. When everyone is depressed, bar When the money is low, when you go on social networks, you only see people complaining about leaving the floor, that's usually the area bottom. Then the market slowly went up amid the crowd's doubts. Until everyone sees it "Easy to eat", optimism reigns and everyone is satisfied with their profits, then it's time A big storm is about to make landfall. It's like you're at a party. At first, with only a few people coming to set up, it was very boring (bleak). When the music started, people invited each other to dance to try a few songs (skeptically). It's about time The room was dancing, alcohol was flowing (optimistic) and everyone was drunk (satisfied). Well, the owner stood up, turned off the music, turned on the lights and took the bill! 4) Trend is friend (Trend is friend) Going upstream always takes more effort than going downstream. In an uptrend market, Even if you close your eyes and buy a stock, you still have a chance to make money, because "when the tide rises, the tide rises." up". But when the trend has reversed to a downtrend, even if you are a genius Technical analysis, your stocks can easily hit the ground. Choose to make friends with an uptrend, and absolutely stop playing when this "friend" shows signs of turning around multiple. Just like when you ride a motorbike on a one-way street. If you go in the right direction (uptrend), you Just take it easy on the accelerator and you'll reach your destination. But if you deliberately turn your head in the opposite direction (downtrend), Even if your car is a large displacement supercar, there is a high possibility that you will be "hit" head-on.

5) There is no stock that is too high to continue rising, nor is there a stock which is too low to be reduced further. The mistake of newbies is to be afraid to buy a stock that has increased sharply because they think it is "too high". Then he rushes into buying junk stocks that are falling deeply because he thinks, "Is it this cheap? can be reduced further". In reality in the market, good stocks have strong cash flows and stories growth can absolutely continue to break the peak. On the contrary, a business is on With the momentum of collapse, today's "cheap" price can still be divided in half tomorrow. 6) The market also needs to breathe. The stock market is not a rocket that can launch in a straight line. Stands up on Mars without refueling. Even the strongest uptrend (uptrend) also requires downward corrections. That's when the market "stops to breathe", Get rid of speculative money flows and weak-hearted "dreamers", thereby changing the bloodline. New money is more sustainable to prepare for the next price increase. If you just saw it. After a few sessions of the red electronic board, I panicked, lost sleep, went everywhere asking "collapse yet?" then that only proves two things: One is that your buying position is too wrong (swinging to the top), two Your fighting mentality is still too immature. Imagine you are climbing a high mountain. You can't just keep running network from the foot of the mountain to the top of the mountain without stopping. You have to go one way, climb over one down the slope, then stop and sit down to rest, drink a sip of water, and take a few deep breaths (correct rhythm strong) then you will have the strength to continue climbing. It's over for the market to fall for a few sessions to "breathe". With normal health, those who have bought need to take profits, those who have not yet bought need this breathing rhythm get on the boat. 7) The market can stay irrational longer than you can endure losses. Your analysis is correct, the business is very good, the valuation is super cheap. But Mr. Market is here "had a fit" and continued to push the stock price down for 6 consecutive months. If you use it. Financial leverage (margin) or borrowing to compete with the market, you will be punished by the company. Securities are liquidated from your account before you have time to wait for the day your business shines. Don't try to prove yourself right when your account is bleeding. You know for sure this bus will go to station A. But this bus may have to run through many potholes... and you may be thrown out before the car can reach the dock.

8) Don't try to explain a floor drop, just accept it Every time stocks fall to the floor, witnesses often have the habit of searching everywhere forums to ask: "Hey guys, is there any bad news?", "Why is it so low?". We try Find a reason (rumor, macro, war...) to reassure yourself that you are not wrong. But the reality is very harsh: The session hit the floor simply because the sellers were selling off goods that day like a flood, and the buying side disappeared. Instead of being a detective looking for reasons when the situation has already happened, take action Act according to the risk management plan. Just like when the house leaks, the water is overflowing. The first thing you need to do is bring it catch the basin and find shelter, rather than sitting still in the middle of a puddle of water to turn on Google See what tropical depression forms from the ocean!

5.2. Excellent technique for "entering orders" and managing portfolios

9) Timing is golden: A good stock is not necessarily a good investment a wrong time Choosing the right good stocks is just a necessary condition, choosing the right time to buy is the key sufficient condition. If you buy an industry-leading super tech stock right when the market is hot Reaching the peak of the bubble, you will still have to hold on to losses for several years as usual. On the contrary, You can still buy a normal stock but right at the base of the growth wave make money very fast. Like when you buy a super luxurious, super quality, quality fleece jacket I hate it but I bought it in the middle of a hot summer at 40 degrees Celsius. The shirt is very good, but the timing is bad It was a complete mistake to buy! 10) Don't try to buy the bottom and sell the top, buy the knee and sell the neck Buying right away at the lowest price (bottom) and selling right away at the highest price (top) is impossible task. There are only two objects that can do this: One is the crew (creator game), two are liars. Smart investors accept to skip the fish head (ambiguous bottom area, easy to get caught in traps) and the fish tail (risky, disputed top area), just practice Just eat the whole fish body, that is, buy when the uptrend is clear (at the knee) and sell when there is a weakened signal (in the neck).

When going to a buffet, don't try to be the first to arrive to clean the hall, don't be The last person to stay is to wash the dishes. Just arrive at peak time and eat your fill of delicious food Then leisurely go home. 11) Never catch a falling knife Seeing a stock that is plummeting, many people eagerly rush in to buy it thought "this price is too good". As a result, today's bottom is tomorrow's top. The trying Stopping a strong market downtrend usually only brings scars deep into the account. Be patient and wait for the knife to fall to the ground, bounce a few times and lie down quiet (ie the stock has accumulated and created a bottom) then gently pick it up. Just like no one buys a burning house just because the selling price is 50% off. They will wait for the soldiers Firefighters extinguish the fire, check to see if the house is still stable before deciding to go down money. Cheap stocks do not mean opportunities. Many times, a deep decline is just a symptom of a problem that has not yet been fully reflected by the market. Wait for confirmation of trend reversal It's not about missing out on opportunity, it's about paying a small premium for safety. 12) Never average down on a stock that is holding its head Seeing stocks falling in price, many people have the mentality of buying more to "lower the cost price" with depression I think as long as it recovers slightly I will break even. This tactic is extremely dangerous if applied indiscriminately. If you average down on a stock that is on the decline or sticky cheating scandal, you are personally pumping more blood into a bottomless ship. Instead limit your losses, you are magnifying those losses many times over. It's like you're walking in a muddy puddle and one foot sinks. Instead of looking for ropes Holding on to pull your leg up, you use your other leg to stomp down in hopes of... pushing him people up. As a result, you sink both feet. 13) Buy for any reason, then sell for that reason This is a consistent principle to maintain discipline. If you buy stocks because the business has an announcement The financial report shows good growth, sell it when the business situation starts to decline. If you Buy because the technical chart has money flowing in, sell when the chart breaks the trend. Never Bought it because a "brother" bought a surf product, but when I lost money, I consoled myself and switched to it as a "long-term value investor".

Like when you decide to date a girl just because she's beautiful. Then come The day she stops taking care of her appearance and becomes messy, you can't use it as an excuse "her soul is not compatible" to justify the rift. 14) The biggest mistake is pulling out the flowers and watering the weeds Human psychology is very strange: In the portfolio, there is one stock that is profitable 20% and one stock that is losing money 20%, we often rush to sell the profitable code to "secure it", then keep the losing code, even pump more money in to hope it returns capital. This action unintentionally causes you to commit suicide Cut off the source that brings the best profit (flowers) and keep the biggest burden on wealth clause (weed). It's like you open a company with two employees. A very good worker delivers Big turnover, one person is always late and makes mistakes. You decide to fire good people and raise salaries for stupid people in the hope that stupid people will... improve. Sounds backwards life? 15) Don't put all your eggs in one basket, but don't spread them all over the basket either Diversifying your portfolio to spread risk is right. But if your capital is only a few dozen million if you buy 20-30 stocks, that is not investing, that is you walking Supermarket collects goods! Buying too many codes makes it impossible to closely monitor the business, And when the market changes, you will never press the sell button in time for those codes. Name The ideal item for an individual should only contain 5 to 7 quality codes. Just like when you raise 3 children, you can take care of, educate and understand each child's personality. But if you adopt 30 children at once, you won't remember which one has eaten, Anyone who hasn't and their home will soon turn into a broken market. 16) A portfolio is like a tree, if the branches are not deeply pruned, it will grow cannot produce sweet fruit After a period of time in the market, your portfolio will appear with stocks "immovable" shares, holding steady losses from month to year. They are like branches Withered trees, pests and diseases, are sucking away your vitality and capital flow every day. Be brave Pick up the scissors and decisively cut off those weak codes to free up cash flow and concentrate your efforts Invest in healthy stocks with higher profitability.

5.3. "Keep a cool head" before rumors and crowds

17) If you want to profit, go ahead of the crowd, if you want to lose money, follow the crowd east The stock market is where the few make money from the many. If you buy a stock Just because I saw people on social networks praising me, and groups cheering loudly, There's a high chance you'll be the last to arrive. When the crowd went crazy, that is when the big players prepare to clear the table and cede the stage to the "new mats". go to pay the bill. Seeing people lining up for miles to buy a hot trend cake makes you excited Waiting in line took 3 hours. When it's your turn to buy it, that cake will be... It's cold and people have already moved on to craving something else. 18) The crowd is often right in the trend, but often wrong in the reversal point Following the crowd in a clear uptrend will help you win. Crowd has the power to push stock prices very high. However, the tragedy is that the crowd is the people people are most blind at the decisive turns (peak or trough). When the market reaches its peak, the crowd's excitement will reach its maximum and they will not realize the danger is near. Like a group of people running a marathon excitedly moving forward. Follow them It was very happy and reassuring, until the leader suddenly ran too far and fell into the abyss The group of people behind followed the momentum of inertia and also... crashed down because they couldn't brake in time. 19) Buy rumors, sell real news Stocks are a market of expectations. People buy stocks because of "expectations" for the future The business will have huge profits, is about to be acquired, or is about to launch a big project. Stock price will gradually increase based on those whispered rumors. Until the official information is posted lurking in the newspapers, it means all expectations have come true and have been reflected Price is on. That is when experienced investors take profits. Like a blockbuster movie about to be released, the sparkling trailer makes everyone curious curious, eager (rumor). Movie ticket prices are pushed up. On the day of the main screening of the movie (true news), after watching the movie, the audience went out and criticized the movie as bad, and ticket prices immediately plummeted.

20) Listening to news to buy stocks is like eating leftovers others When a scoop about a stock is spread publicly on social networks or mainstream newspapers for readers, ask yourself the question: "What kind of person am I? How many people know this news?". In fact, business leaders, large investment funds and others Smart money knew this news a few months ago and they gathered enough goods at cheap prices. When the news hits the newspaper, that's when they need to "find someone to cover their losses" to take profits. It's like when you arrive late to a party when everyone has eaten enough and is standing up go home. You rush to the dining table, eager to clean up the remaining plates of food, leaving it at the end The waiter brings out the bill and makes you... pay for the entire party. 21) Don't listen to the broker, look at your own portfolio Brokers or online experts can shoot out dozens and dozens every day Hundreds of buy and sell recommendations to create liquidity for the market. Their job is to advise, The person who is ultimately responsible for the survival of your account is you. When talented Your account is "burned" or at a heavy loss, without a single broker putting in money The bag comes out to pay for you. Arm yourself with knowledge and trust your own analysis. It's like when you go to the doctor and the doctor prescribes you a basket of expensive supplements because they can eat percentage of commission from the pharmaceutical company. The right to drink or not is up to you, because if you overdose causes liver and kidney failure, the person who suffers the consequences is your body, not your uncle doctor. 22) Don't look at your neighbor's account to invest Seeing his colleague sitting next to him brag that he had just eaten the same amount of code, the neighbor boasted Just changed the car thanks to winning that stock, your heart suddenly feels like it's on fire. Feelings of envy and heat That FOMO can easily push you into crazy decisions: Rushing to sell your stocks My good votes are accumulating to chase other people's hotly increasing codes. Please Remember, each person has a different capital size and risk tolerance level. It's like if your neighbor is a professional race car driver, he drives around The speed of 150km/h on the pass is very smooth. You are a novice driver, see also stepped on the accelerator for fear of being "annoying". You can guess what the result will be okay.

5.4. Set up a "protection" for your wallet

23) Cutting a hole is like cutting a tumor, it hurts once and then it's over Human psychology is very afraid of admitting we are wrong, so we often choose to do it avoid by holding on to losses. Looking at the negative 5% account, I refused to cut it out of regret money, then it goes negative to 50%, then I can only cry helplessly. Change your thinking: Cut The loss is the insurance cost to protect your remaining capital. Hurt once, lose a little money, But you keep your life to start a new game. Just like when you have appendicitis, you have to go to the operating table so the doctor can remove it. It's better to endure the pain of a small incision for a few days than to stubbornly keep it until the tumor bursts and causes danger life-threatening. 24) If you have money, you still have opportunity The biggest risk in the stock market is not that you miss out on a super stock, but when the super opportunity clearly appears, your pocket is completely empty because is busy "getting lost" in a far away place. As long as you can keep your original capital, the market will be the same day is also open and every day there is a new opportunity for you to correct your mistakes. When money runs out, movies run out! Just like when you go to a casino, the lottery game takes place 24/7. You can lose 9 consecutive games, but if in the 10th game you still have money to bet, you still have a chance to win again. If you go all in from the first game, you can only stand outside and be a spectator pretend to watch others get rich. 25) Profit taking is never wrong Many people, after seeing their stock prices increase, begin to get greedy If you want it to increase further, it will increase forever before you will sell it. The result is a market reversal, a profit suddenly disappeared and turned into a reverse loss. Remember, take profits and get money back A bank account is never a wrong decision. You may not be able to sell right at the top, but you took home real money. It's like picking apples from a tall tree. You picked a basket full of delicious apples, but Because of greed, you still try to climb to the top to pick one more fruit. The branch breaks, you fall down and the entire apple basket was completely crushed.

26) The profit on the screen is only virtual profit, the money in your pocket is real money. Looking at the account showing bright green color, the profit figure jumped up to more than ten percent, I felt excited at that time as if I were a millionaire. But please stay awake! As long as you haven't pressed the "Sell" button and the money hasn't arrived in your bank account, those numbers are just inanimate pixels on the phone screen. The market turns over faster than rice paper, smiling brightly in the morning and crying in the evening is a daily occurrence if you like to watch "profit and fame." meaning". It's like playing a game and picking up a precious sword worth 99,999 gold in the virtual world. That number makes you happy, but when you turn off the phone and go out to buy a loaf of bread, the baker will not accept payment in virtual gold! 27) Hundreds of wins are not equal to one match of keeping the money. During the uptrend period, making money is so easy that you blindly buy a code that is also profitable. At that time, everyone confidently thought they were "financial masters". But the school only needs to "turn the wheel" and let two sessions collapse, and it will bring many achievements of the whole year completely wiped out, even with a deficit in original capital. It doesn't matter how many matches you win. The important thing is that when a storm comes, who gets to keep the money and bring it home? Achieving profits is attack, keeping money is defense. Just like a boxer can throw 99 punches that hit the target, causing the opponent to stagger. But as long as he subjectively neglects defense for exactly 1 second, the opponent only needs to launch one shot. A single hook punch is enough to knock out that boxer right in the ring. 28) The winner is not the person who earns the most money during the market when the market goes up, but who loses the least money when the market goes down. When the market enters the festive season (uptrend), who crows louder, who risks using leverage higher, the person earns more money. But that is not the final result. The stock market is like a beach, when the tide recedes you will know who is bathing nude. The person who truly survives and becomes rich sustainably is the one who knows how to gather troops and take precautions. Defend and keep most of the profits when the market enters the icy winter (downtrend). Like a Formula 1 racing car going very fast on a straight road (uptrend) to get ahead. But if you come to a sharp turn full of slippery mud (downtrend).

If the driver does not know how to apply the brake to slow down, the car will crash into the median and explode. Giving victory to the person behind but with more certainty at the wheel. 29) Watching from the outside can also be a good position Newcomers to the market often have a classic "disease": not placing a bet every day The order to buy, sell, and sell makes my hands and feet itchy and my heart unbearably restless. They are afraid I'm left behind (FOMO). But they don't know that, during these stages of marketing Risky market, ambiguous and unclear trend, patiently holding money, standing still Beyond observation is a top strategy. Sometimes, it doesn't matter if you don't lose money One bad market is already a glorious victory compared to the rest! Just like a good hunter doesn't run around the forest shooting at every shaking bush shake. Most of the time, he just sits still, watching and waiting for the real prey to appear in sight. Just one well-timed shot is enough for the whole day. In investing also so. Not everyone who trades the most will make the most money. Usually people Knowing how to wait is the one who keeps the most profits. 30) Don't use borrowed money to buy hope Using your own blood money to invest is stressful, using borrowed money (as leverage). margin, borrowing from relatives, banks) to rush into the market, the pressure will increase tenfold times. When you use borrowed money, your head is no longer alert to analyze, but only There is still room for fear and false hope. Mr. Market naturally loves to tease, If it just shakes a little, you'll have to impatiently sell it in panic because it's empty withstand loan interest pressure. Only invest money that if you lose, you can still sleep well. Just like when you go swimming in a deep beach. If you swim under your own power, you can If you're tired, swim to shore. But if you borrow an oxygen tank with limited hours, others to dive to the bottom, you will always live in extreme fear that the vase will run out of air before you can reach the surface. 31) Don't try to predict whether the market will increase or decrease tomorrow, prepare a scenario for both At the end of the day, the groups would ask each other: "Is tomorrow green or red?" Uncle?". Trying to predict the future with 100% accuracy is impossible even with supercomputers. Professional investors do not sit and predict tomorrow's market

Wherever the market goes, they are busy planning: If the market rises to this area, we will take a profit How many %, and if it breaks through that support, where will I cut my loss? Instead of being a fortune teller, Be a general who has a battle plan for every situation. Like before going out, if you're not sure if it will rain or shine today, just apply Simply open the trunk and stuff a raincoat and sunglasses in there. It's raining Wear a raincoat, wear sunglasses when it's sunny, that's it, regardless of the weather.

5.5. Managing personal emotions

32) Electronic boards have no emotions, only viewers act out their own plays The electronic board senselessly jumps from green to red. It doesn't know if you are happy or sad. are running at a loss or are out of pocket. When you are angry, place an order to "revenge" the market, or hope Worshipping and hoping for stocks to rise to the ceiling, you are just performing a psychological drama by yourself. Thi The school is extremely cold, and the only way to beat it is to keep an equally cold head like that. It's like going to see a horror movie in theaters. You sit in the audience The audience screams, cries, and begs the murderer not to kill the main character. But the curtain The inanimate projector still kept running according to its script, it didn't hear any sound your heart. 33) Mastering basic tools is good, but don't turn yourself into one mobile dictionary Many new investors entering the market rush to study day and night, investing in surrender Hundreds of complex technical indicators: RSI, MACD, Ichimoku, Bollinger Bands, Elliott wave... As a result, when looking at a stock chart, these indicators start to "fight each other": Some say buy, some say sell, some say stay out. Turning yourself into a word book The mobile dictionary is full of empty theories that only drain your energy without meaning effective in real combat. Select 1-2 most suitable tools and use them carefully pine. Like when you go to cook a soup. Instead, just salt, onion and a little pepper is enough delicious, you open the spice cabinet again and pour into the pot a little bit of everything: Five spice, curry powder, soy sauce. black, sauces from pomegranate to vinegar... Your pot of soup will soon turn into a toxic chemical Harm that no one can swallow.

34) Don't love stocks, don't hate the market The biggest mistake investors make is letting personal emotions overwhelm their reason. Someone won big One horse immediately turns to "love" it unconditionally, the one who criticizes it jumps into an argument, then hugs it tightly even though it has entered a recession. On the contrary, some people lose money and immediately crash "hate", curse the market as gambling and fraud. Remember: Stocks are just vehicles helps you increase your assets, while the market is an objective environment. Treat They have a cool head, neither blind love nor extreme hatred. Just like when you work as a technology car driver. The motorbike is your breadwinner. You can't because you love your car so much that you don't dare to drive it when it rains, nor can you One day the car had a punctured tire and used a stick to smash the car. It's just a tool, no fix it, change it if it's old. 35) Believing in a stock unconditionally is the beginning of a financial disaster main Many investors, after carefully researching a business, begin to fall into a state of confusion "worship" of idols. They see that business as a perfect entity, with great trust rely on every promise of management and blindly ignore all risk warning signals from the market. When businesses show signs of decline, they still blindly buy more goods because believe that "the president will never lie to me". Be alert, in the financial markets, Belief without actual data is a VIP ticket that takes you to a deserted island. It's like when you fall in love with a guy who looks handsome and vow to take care of him take care of you for life (the president promises). Even if you catch him going out with another girl (no business decline), you still deceive yourself that "it's probably just his cousin". As a result, you are stuck in bitterness. 36) Don't turn a one-night stand into a reluctant marriage Initially, you jumped in to buy this stock just because you intended to "surf" to earn a few percent coffee then run. But people don't calculate as much as the market calculates. As soon as you buy it, the price head down. Instead of decisively cutting losses as originally planned, you start looking for reasons, Read financial reports, find out the business's potential in the next 10 years to comfort yourself and Switch to the "long-term value investment" system. Forcing yourself to be "faithful" to a stock Going down just because of a loss is a mistake that will cause you to bury your capital and hold on to long-term resentment.

It's like when you go to a bar and have a fun speed date with someone. The next morning when you wake up, instead of decisively blocking everyone's numbers and going your separate ways, you click your tongue: "Okay By mistake, I... registered my marriage so we could overcome difficulties together!". You are literally digging yourself burial pit. 37) The stock market is not the place for you to prove you are smart than others Many people have too big egos, they like to buy stocks that no one else dares to buy, or Go completely against the market trend just to prove your perspective is "biased". talented" and unique. But Mr. Market doesn't care about your degree or IQ you. The stock exchange is a place to make money, not a place to show off your ego. Smart person Minh is really someone who knows how to bow to the market and admit he is wrong when it comes to electronic boards warning, not the one who tries to argue to the last penny. It's like seeing a big truck coming straight towards you. Ordinary people will go the other way. The "genius" stood still, raised his hand and tried to analyze the laws of matter reason to prove that in theory the truck should stop in front of you. Truck no stop, and the genius... goes to heaven. 38) Tuition fees in the stock market never have a refund invoice Going to university, if it's not suitable, you can reserve or withdraw your application. Go shopping, if it's your fault can be returned. But on the stock exchange, every time you make a wrong decision due to lack of knowledge Consciously or out of bitterness, the money that evaporated was the actual "tuition" that Mr. Market collected you. And remember, this "school" is very cold, there is no warranty, none Red invoice and absolutely no refunds in any form. The only way to get back to school The waste is having to memorize the lesson so you don't make the same mistake next time. 39) People who are rich by luck will return money to the market with real ability their Earn a large amount of money by being lucky in the right uptrend without any background knowledge A rock is an extremely dangerous thing. It gives the illusion that "making money is so easy" and causes investors to subjectively increase their capital many times over. Until the market enters the phase During the period of adjustment or collapse, incompetence in risk management will be exposed. Mr. Thi

The school will reclaim both principal and interest in the most brutal way. Remember: Money is earned through luck. Luck is just money that keeps the market, money earned through ability is your money. 40) Investing is a marathon, not a sprint. Many people enter the market with the mindset of wanting to get rich overnight, wanting x2, x3 accounts in one month. They use maximum leverage (margin), betting on risky speculative codes network. They may win brilliantly in the first few steps, but in the end they all "collapse" before hit the finish line. The ultimate winner is the one who allocates endurance and manages risk well to go a long way of 10 years, 20 years. Like running a 42km marathon. As soon as the greedy people set out, they used up all their strength. He launched himself like flying to take the lead and gain prestige. After about the first 2km, they were exhausted. Lying panting on the side of the road and watching the joggers leisurely and steadily pass me to reach the finish line. 41) The best investment is one that helps you sleep well at night. If every night you have to wake up at 2 a.m. to check to see if the US market is rising or a decrease, or a weekend where my heart is on fire because I'm worried about my stocks yourself, then you have failed, at least in terms of quality of life. An investment portfolio. It's supposed to bring prosperity in the future and peace in the present, right? not a VIP ticket to the cardiology department. You buy a super risky stock in the hope of making a profit. At night, you lie down with your arms up forehead, heart pounding, not eating well and not sleeping because I'm worried about delivery being suspended tomorrow translate. The amount of profit, if any, is not enough for you to buy heart medicine. 42) The winner is the one who knows when to leave and get up and leave. Making money in the market is difficult, but knowing when to stop at the right time to protect your results. That's even more difficult. Many people, after a series of consecutive wins, begin to fall into a state "drunk" attitude, complacency and increasing the scale of capital to an unreasonable level. They think they can't lose. But the moment you are most subjective is when the market is about to recoup both principal and interest. Please know enough. Once you have achieved your financial goals or when you see the market starting to take off. Systemic risks appear, shutting down the app, withdrawing cash and going on vacation is the action of the smartest investor on the planet.

Many people go to casinos and are winning big from 1 million to 100 million. Wise person will immediately exchange the chip for cash, put it in his pocket and take the car to go home to cook with his wife. Greedy person Lam will think "today is lucky, I have to bet again to 1 billion". And the ending is usually him Had to plug in my motorbike to walk home at midnight. 43) It's better to drool than wipe away tears Watching other people's stocks continuously increase to the ceiling while I was holding the money and standing on the sidelines, felt emotional The feeling of "craving" and restlessness (FOMO) is incredibly uncomfortable. But it's better to accept swallowing It's better to salivate at the opportunity passing by than just jump in because of impatience and end up losing it In the days that followed, I had to hug my pillow and wipe away my tears as I watched my account evaporate. The market does not Lack of opportunity, just lack of money. Conclusion of chapter 5: The mirror reflects the mind The stock market has always had the appearance of intermittent rain and sunshine Usually, because behind every increase or decrease are very human emotions: greed when manic excited and scared when insecure. Technology may change, algorithms may become increasingly sophisticated, but The nature of the market is almost unchanged. So, the only thing we can control It's not the market, it's yourself. Every day learn a little more, understand more deeply With a little more discipline, we will gradually know how to turn seemingly chaotic changes chaos into profit-making opportunities. After all, the market is not a battlefield where investors have to win before cold algorithms or giant financial institutions. The market is like one The mirror most honestly reflects each person's greed, fear and patience. These Mathematical models, technical indicators or behavioral psychology effects are just supporting tools help on that journey. The bravery of a mature investor lies in knowing when to stop Meet expectations, know how to say "enough" when your account grows, and still keep a clear head when marketing The school shakes or a storm comes. The long-term winner is not the one who guesses correctly the most, but the best at managing emotions and managing risks. Wishing you always be calm enough to keep your money tight during adjustments, and be patient enough to wait Wait for the opportunity, and be decisive enough to act when the right moment appears. Hopefully, each When the market redeals our cards, we can proactively pocket the profits instead Because I just stood there watching and regretting two words: "if only".

Conclusion Step through the storm to become a true investor When you turn to these final pages, our theoretical journey has officially come to an end again, but your journey in the market may just be the beginning. Cam Cam This guide is actually just a review of common concepts that you often encounter when entering market. When diving into any index or strategy, you will see a new horizon open out, it is truly immense. Therefore, besides technical terms and quantitative indicators, Popular investment methods have been mentioned, what we chat about together The past chapters are also a mental map. That map reminds us that the stock market is not a casino to try fortune, but a grand school where money is simply a reward transferred from one's pocket Those who are impatient and greedy will go to the pockets of those who are patient and disciplined. The difference between Being a gambler and being a true investor doesn't depend on who makes money faster a few waves, but who can keep the money and survive the longest. You don't need to be a genius mathematics, there is no need to race against algorithmic machines or go head-to-head face the giant "Shark" forces. Your golden key is simply sobriety to see the psychological traps, follow the currents of the giants, and know how to protect your assets when there is a storm in the market. There will be days when the market will test you with breathtaking drops that will crowd the crowd fled in panic. There will be times when you have to accept short-term losses. But I hope even in the darkest times, you will still smile and be proud because I "lost correctly" - a calculated loss, strictly following the principles of defense never crave the illusory "false wins" from the game of reckless red light running of the bewildered crowd out there. The fee you pay to Mr. Market today is the main fee is the foundation brick to build a prosperous and solid financial fortress for future. The stock market has a very beautiful human law: After each step, shake off the pain, then... Every stormy season that sweeps through to eliminate loose cash flows, the market will start over again The new cycle is more elegant and more brilliant. The person you are after going through ups and downs The same goes for the electrical panel. What you get is not just account growth, but one Steel spirit, a cool head and a profound outlook on life. Thank you for choosing to take the path of seriousness and discipline, a path few people take but is the only path to sustainable financial freedom. Please close this book Again, open the electronic board with a completely new attitude: leisurely, freely, patiently standing outside when the market is risky and act decisively when the opportunity is ripe. Wishing you always keep it Have peace of mind and reap sweet fruits on your investment journey! The market never rewards the smartest, it only pays the disciplined only the most.